



Internal Auditing Standards for the Philippine Public Sector (IASPPS)

with Philippine Application Guidelines (PAG)



Internal Auditing Standards for the Philippine Public Sector (IASPPS)

with Philippine Application Guidelines (PAG)

Published by the Commission on Audit
Quezon City, Philippines
2017 Edition

Internal Auditing Standards for the Philippine Public Sector

FOREWORD

This Internal Auditing Standards for the Philippine Public Sector (IASPPS) with Philippine Application Guidelines (PAG) is another milestone in the Philippine Government insofar as auditing is concerned. Section 2 (2), Article IX-D of the 1987 Constitution, vests in the Commission on Audit (COA) the exclusive authority to promulgate auditing rules and regulations. Further, it provides that where the internal control system of the audited agency is inadequate, the Commission may adopt such measures, including temporary or special pre-audit, as are necessary and appropriate, to correct deficiencies.

The IASPPS has been developed primarily to provide general guidelines on a basic framework of internal auditing. It draws on important international studies, which are acknowledged benchmarks of international good practices while, at the same time, takes into account the current situation of the Philippine public sector. It is upon these guidelines that the practice of internal auditing adopted by the agencies shall be evaluated.

The IASPPS comprises two main components, which are the Attribute Standards and the Performance Standards. The Attribute Standards address the necessary characteristics and traits of agencies and individuals performing internal auditing. On the other hand, the Performance Standards describe the nature of internal auditing services, and provide quality criteria against which the delivery of these services can be measured. The IASPPS should help government officers and employees understand and implement the requirements of the standards, and formulate their own internal auditing procedures that are customized to the specific circumstances, and characteristics of their operations.

The IASPPS seeks to supplement the efforts of government agencies to foster effectiveness, efficiency, transparency, and accountability in the government.



MICHAEL G. AGUINALDO
Chairperson

ACKNOWLEDGMENT

The Internal Auditing Standards for the Philippine Public Sector (IASPPS) is one of the initiatives of the Commission on Audit (COA), developed by the Internal Auditing Research and Development Committee (IARDC), to provide assistance in the strengthening of internal auditing in government agencies. However, the endeavor would not have been realized without the support of the following members of the COA Commission Proper:

Chairperson Michael G. Aguinaldo,
Commissioner Jose A. Fabia, and
Commissioner Isabel D. Agito;

and their vision of a paradigm shift to uplift the Commission's level of public service, with the goal stated in the COA Strategic Plan for 2016-2022 to "Enable and Empower Government Agencies" through the promulgation of internal control and internal auditing standards/guidelines;

the Goal Champions, Assistant Commissioners Elizabeth S. Zosa, Commission Proper Adjudication and Secretariat Support Services Office; and Manolo C. Sy, Systems and Technical Services Sector, for their untiring guidance and direction in the development of the IASPPS; and

the following officers and members of IARDC, for their hard work and selfless commitment:

Directors Edna D. Santos - Chairperson, Angelina B. Villanueva - Co-Chairperson, Members of the Committee: Directors Fidela M. Tan, Lorna D. Cabochan, Lorna V. Anacay, Maribeth F. de Jesus, Gloria M. Bacani, Julia E. Moreno, Supervising Auditors Marilyn C. Briones, Ricardo R. Selda, Jr., Service Chiefs Angela T. Perseveranda, Atty. Dainelee V. German, Editha L. Aguilar, and Antonia C. de Jesus.

Recognition is also given to the following personnel for providing inputs and support services:

Ms. Emily D. Y. Obcena, Ms. Brigida A. Panis, Mr. Joseph Bar Paulo V. Moises, Ms. Mydalene A. Mercado, Mr. Jan Marcopaulo U. Dela Cruz, Mr. Muammar M. Cabugatan, Ms. Priscilla T. Exconde, Ms. Cherrelou Faith D. Birginias, Mr. Andrian Francis A. Echarri, Mr. Humphry G. Torres, and Mr. Sharcope Stephen R. Manimog.

The gathering of valuable inputs, opinions and comments, through the conduct of Group Discussions were successfully done with the unwavering support of the Assistant Commissioners, Directors, selected auditors, and personnel of the National Government Sector, Local Government Sector, and Corporate Government Sector, under the leadership of Assistant Commissioners Susan P. Garcia, Rizalina Q. Mutia, and Winnie Rose H. Encallado, respectively.

The written comments submitted and group discussions participated by the internal auditors/representatives from the following government agencies, who unselfishly shared their meaningful recommendations on how to make the IASPPS more useful to its intended users, are much appreciated:

National Government Sector: Office of the President, Philippine Air Force, Department of Budget and Management, Department of Environment and Natural Resources, Department of Finance, Department of Foreign Affairs, Department of Health, Department of the Interior and Local Government, Department of Justice, Department of Public Works and Highways, Department of Social Welfare and Development, Department of Tourism, Land Transportation Office, Eulogio “Amang” Rodriguez Institute of Science and Technology, and Office of the Solicitor General;

Local Government Sector: Caloocan City, Municipality of Cainta, Municipality of Pateros, Muntinlupa City, Naga City, Pasay City, Pasig City, Province of Occidental Mindoro, and Quezon City;

Corporate Government Sector: Bangko Sentral ng Pilipinas, Bases Conversion and Development Authority, Development Academy of the Philippines, Government Service Insurance System, Home Development Mutual Fund, Land Bank of the Philippines, Light Rail Transit Authority, National Food Authority, National Tobacco Administration, Philippine Amusement and Gaming Corporation, Philippine Deposit Insurance Corporation, Philippine Health Insurance Corporation, Philippine Ports Authority, Social Security System, National Irrigation Administration - Magat River Integrated Irrigation System, and Philippine Charity Sweepstakes Office; and

Others: Association of Government Internal Auditors, Inc. (AGIA) and Institute of Internal Auditors - Philippines (IIA-P).

And to all those who in one way or another have assisted for the successful completion of this IASPPS, we acknowledge their contributions.

Most importantly and above all, we thank **GOD**, for without HIS guidance and blessings, the success of this endeavor would not have been possible.

TABLE OF CONTENTS

Description	Page No.
Foreword	
Acknowledgment	
Introduction	i
Philippine Internal Auditing Framework for Public Sector	
A. Mission	iii
B. Core Principles	iv
C. Definition of Internal Auditing	v
D. Standards	vi
• Philippine Application Guidelines (PAG)	
• Supplemental PAG	
E. Code of Ethics	viii
Glossary of Terms	ix
Internal Auditing Standards for the Philippine Public Sector (IASPPS) – Attribute Standards	1
1000 Purpose, Authority, and Responsibility	2
1010 Recognizing Guidance in the Internal Audit Charter	7
1100 Independence and Objectivity	8
1110 Organizational Independence	11
1111 Direct Interaction with the Head of Agency or the Governing Board/Audit Committee	14
1112 Roles of the Head of Internal Audit Beyond Internal Auditing	15
1120 Individual Objectivity	19
1130 Impairment to Independence or Objectivity	22
1200 Proficiency and Due Professional Care	27
1210 Proficiency	29
1220 Due Professional Care	36
1230 Continuing Professional Development	40
1300 Quality Assurance and Improvement Program	42

TABLE OF CONTENTS

	Description	Page No.
1310	Requirements of the Quality Assurance and Improvement Program	47
1311	Internal Assessments	49
1312	External Assessments	54
1320	Communicating Results of the Quality Assurance and Improvement Program	64
1321	Use of “Conforms with the Internal Auditing Standards for the Philippine Public Sector”	69
1322	Disclosure of Nonconformance	72
	Internal Auditing Standards for the Philippine Public Sector (IASPPS) – Performance Standards	74
2000	Managing the Internal Audit Service	75
2010	Planning	78
2020	Communication and Approval of Internal Audit Service Plans	86
2030	Resource Management	89
2040	Policies and Procedures	92
2050	Coordination and Reliance	95
2060	Reporting to the Head of Agency or the Governing Body/Audit Committee	101
2100	Nature of Work	105
2110	Governance	107
2120	Risk Management	115
2130	Control	126
2200	Engagement Planning	134
2201	Planning Considerations	139
2210	Engagement Objectives	141
2220	Engagement Scope	145
2230	Engagement Resource Allocation	147
2240	Engagement Plan and Work Program	149
2300	Performing the Engagement	151
2310	Identifying Information	152
2320	Analysis and Evaluation	154
2330	Documenting Information	158
2340	Engagement Supervision	161

TABLE OF CONTENTS

	Description	Page No.
2400	Communicating Results	164
2410	Criteria for Communicating	166
2420	Quality of Communications	169
2421	Errors and Omissions	172
2430	Use of "Conducted in Conformance with the Internal Auditing Standards for the Philippine Public Sector"	174
2431	Engagement Disclosure of Nonconformance	175
2440	Disseminating Results	177
2450	Overall Opinion	184
2500	Monitoring Progress	188
2600	Communicating the Acceptance of Risks	192

Appendices

1	COA Resolution No. 2018-007 dated February 01, 2018	195
2	Code of Ethics	
	2.1 RA No. 6713 - Code of Conduct and Ethical Standard for Public Officials and Employees	197
	2.2 Code of Ethics - Institute of Internal Auditors (IIA)	209
3	References	211

INTRODUCTION

Article IX-D of the 1987 Constitution vests in the Commission on Audit (COA) the exclusive authority to promulgate auditing rules and regulations. Further, it provides that where the internal control system of the audited agency is inadequate, the Commission may adopt such measures, including temporary or special pre-audit, as are necessary and appropriate to correct deficiencies.

In line with the current goal of the COA to empower and enable government agencies through the strengthening of Internal Control System and effective functioning of internal audit services, the Internal Auditing Research and Development Committee (IARDC) was created pursuant to COA Office Order No. 2016-301 dated April 13, 2016, tasked to develop Internal Control Framework (ICF) and the Philippine Internal Auditing Standards (PIAS).

In compliance with the aforesaid Office Order, the IARDC conducted a review of the provisions of the International Professional Practices Framework (IPPF) promulgated by the Institute of Internal Auditors (IIA), Internal Control-Integrated Framework (ICIF) 2013 by Committee of Sponsoring Organizations of the Treadway Commission (COSO), International Organization of Supreme Audit Institutions Guidance for Good Governance (INTOSAI GOV) 9100 to 9199, Philippine Government Internal Audit Manual (PGIAM), National Guidelines on Internal Control System (NGICS), Government Accounting and Auditing Manual (GAAM) Volume III, and other relevant laws, rules and regulations, and recommended the adoption of the Philippine Internal Auditing (PIA) and Philippine Internal Control (PIC) Frameworks for Public Sector, which were approved through COA Resolution No. 2016-016 issued on September 30, 2016.

The PIA Framework for Public Sector, consisting of the Mission, Core Principles, Definition of Internal Auditing, Code of Ethics, and the Standards, as aligned with the prevailing international standards, enhances the quality and uniformity of internal auditing practices among Philippine government agencies.

Based on the approved frameworks, the IARDC developed the Internal Auditing Standards for the Philippine Public Sector (IASPPS) with Philippine Application Guidelines (PAG), which was approved for adoption under COA Resolution No. 2018-007 dated February 01, 2018. The IASPPS provides guidance for the professional practice of internal auditing to improve the effectiveness of governance, risk management, and control processes in all agencies of the government.

The IASPPS focuses on the elements/components of the Philippine Internal Auditing (PIA) Framework for Public Sector. It does not provide detailed policies, procedures and practices for implementing internal control but gives Management the discretion to develop the detailed controls to address those risks that may deter the achievement of the agency's mandate.

This IASPPS is a “living document,” where continuous effort shall be made to update its contents whenever necessary to maintain its relevance, acceptability, and usability to the intended users.

PHILIPPINE INTERNAL AUDITING FRAMEWORK FOR PUBLIC SECTOR



The Mission of Internal Audit articulates what internal audit aspires to accomplish within an agency:

“To enhance and protect organizational value by providing risk-based and objective assurance, advice, and insight.”

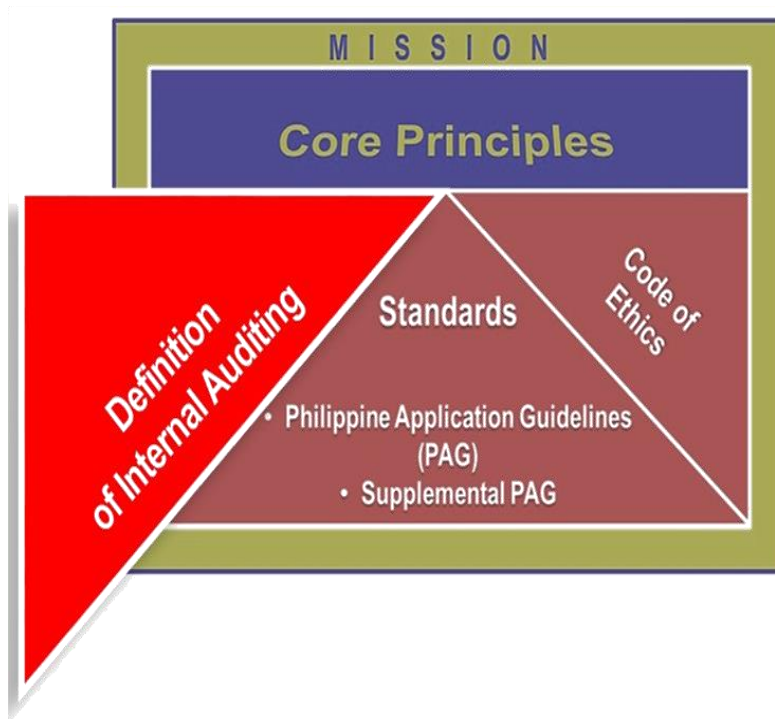
PHILIPPINE INTERNAL AUDITING FRAMEWORK FOR PUBLIC SECTOR



The core principles highlight what effective internal auditing looks like in practice as it relates to the individual auditor, the internal audit function, and internal audit outcomes. The 10 core principles are the following:

1. Demonstrates integrity;
2. Demonstrates competence and due professional care;
3. Is objective and free from undue influence (independent);
4. Aligns with the strategies, objectives, and risks of the government agency;
5. Is appropriately positioned and adequately resourced;
6. Demonstrates quality and continuous improvement;
7. Communicates effectively;
8. Provides risk-based assurance;
9. Is insightful, proactive, and future-focused; and
10. Promotes improvement of government operations.

PHILIPPINE INTERNAL AUDITING FRAMEWORK FOR PUBLIC SECTOR



Internal Auditing is an independent, objective assurance and advisory activity designed to add value and improve government operations. It helps government accomplish its objectives by bringing a systematic, disciplined approach to evaluate and improve the effectiveness of governance, risk management, and control processes.

PHILIPPINE INTERNAL AUDITING FRAMEWORK FOR PUBLIC SECTOR



The purposes of the Standards are the following:

1. Delineate basic principles that represent the practice of internal auditing;
2. Provide a framework for performing and promoting a broad range of value-added internal auditing;
3. Establish the bases for the evaluation of internal audit performance; and
4. Foster improved agency's processes and operations.

The Standards are principle-focused, consisting of the following:

- Statements of basic requirements for the professional practice of internal auditing and for evaluating the effectiveness of performance, which are internationally applicable at organizational and individual levels.
- Interpretations, which clarify terms or concepts within the standard statements.

The IASPPS comprises two main components, which are the Attribute Standards and the Performance Standards.

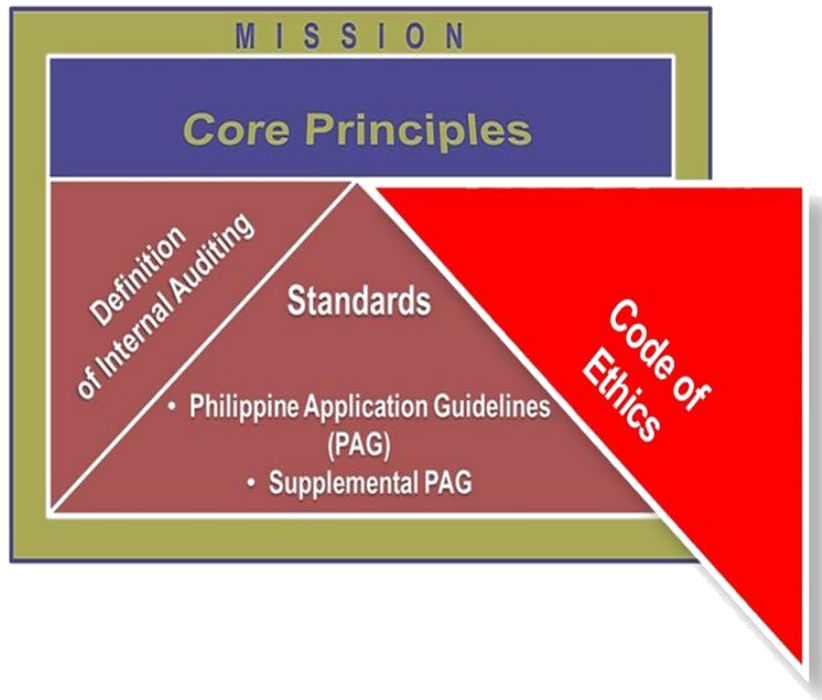
The Attribute Standards address the necessary characteristics and traits of agencies and individuals performing internal auditing. On the other hand, the Performance Standards describe the nature of internal auditing services and provide quality criteria against which the delivery of these services can be measured.

The IASPPS should help government officers and employees understand and implement the requirements of the standards and formulate their own internal auditing procedures that are customized to the specific circumstances and characteristics of their operations.

Philippine Application Guidelines (PAG) outline elaborations that need to be considered in the implementation of IASPPS.

Supplemental PAG outlines additional modifications or updates on the PAG.

PHILIPPINE INTERNAL AUDITING FRAMEWORK FOR PUBLIC SECTOR



The Code of Ethics to be observed in the professional practice of internal auditing are embodied in the following:

- a. Republic Act No. 6713, also known as Code of Conduct and Ethical Standards for Public Officials and Employees (General Application); and
- b. Code of Ethics of the Institute of Internal Auditors (Specific Application).

GLOSSARY OF TERMS

Add value

The internal audit service (IAS) adds value to the agency (and its stakeholders) when it provides objective and relevant assurance, and contributes to the effectiveness and efficiency of governance, risk management, and control processes.

Agency

Any of the various units of the Government, including a department, bureau, office, instrumentality, or government-owned or -controlled corporation, and its subsidiaries, or any self-governing board or commission of the government, or a local government or a distinct unit therein.

Advisory services

Advisory and related service activities, the nature and scope of which are agreed with the auditee, are intended to add value and improve an agency's governance, risk management, and control processes without the internal auditor assuming management responsibility. Examples include counsel, advice, facilitation, and training.

Assurance services

An objective examination of evidence for the purpose of providing an independent assessment on governance, risk management, and control processes for the agency. Examples may include financial, performance, compliance, system security, and due diligence engagements.

Audit committee

A committee of the governing body whose role typically focuses on aspects of financial reporting and on the agency's processes to manage business and financial risk, and for compliance with significant applicable legal, ethical, and regulatory requirements.

Audit universe

A list of all the possible audits that could be performed. The head of internal audit may obtain input on the audit universe from senior management and the head of agency, or the governing body/audit committee.

Auditee

The department, office, division, branch or unit, and subsidiary within the government or government agency subject of the audit.

Code of Ethics

Principles relevant to the profession and practice of internal auditing, and rules of conduct that describe behavior expected of internal auditors. The purpose of the code of ethics is to promote an ethical culture in the global profession of internal auditing. It includes the Code of Conduct and Ethical Standards for Public Officials and Employees (Republic Act No. 6713), and the Code of Ethics of the Institute of Internal Auditors (IIA).

Compliance

Conformity and adherence to policies, plans, procedures, laws, regulations, contracts, or other requirements.

Conflict of interest

Any relationship that is, or appears to be, not in the best interest of the agency. A conflict of interest would prejudice an individual's ability to perform his or her duties and responsibilities objectively.

Control

This refers to any action taken by management, the head of agency or the governing body/audit committee, and other parties to manage risk and increase the likelihood that established objectives and goals will be achieved. The goal of control is to prevent losses to the agency arising from the different hazards in government operations.

Engagement

A specific internal audit assignment, task, or review activity, such as an internal audit, control self-assessment review, fraud examination, or advisory. An engagement may include multiple tasks or activities designed to accomplish a specific set of related objectives.

Engagement objectives

Broad statements developed by internal auditors that define intended engagement accomplishments.

Engagement work plan

The engagement work plan documents the engagement's objectives and scope, key risks and controls in the area or process in review, resources available, approach and methodologies to be used, technology-based audit and sampling techniques, period of audit, significant dates, and assignment of area/process to be reviewed. It is approved by the head of the internal audit.

Engagement work program

The engagement work program documents the resource deployment plans and describes the techniques or methodologies that will be used to conduct the engagement (e.g. sampling techniques). It states the specific tests or audit steps necessary to assess the risks in the area or process under review and to test the existing controls. It communicates the roles, responsibilities, and tasks to the members of the engagement team. It may include signoff for completed work, the names of the internal auditors who completed the work, and the date the work was completed. It is to be approved by the head of the internal audit before the commencement of engagement fieldwork.

External service provider

A person or firm outside the agency that has special knowledge, skill, and experience in a particular discipline.

Fraud

Any illegal act characterized by deceit, concealment, or violation of trust. These acts are not dependent upon the threat of violence or physical force. Frauds are perpetrated by parties and organizations to obtain money, property, or services; to avoid payment or loss of services; or to secure personal or business advantage.

Governance

The combination of processes and structures implemented by the head of agency or the governing body/audit committee to inform, direct, manage, and monitor the activities of the agency toward the achievement of its objectives.

Governing body

This refers to the group of persons charged with the responsibility to direct and/or oversee the activities and management of the agency. Typically, this includes an independent group of directors (e.g., a board of directors, a supervisory board, or a board of governors or trustees). Although governance arrangements vary among jurisdictions and sectors, typically the governing body includes members who are not part of management.

Government

This shall mean the Government of the Republic of the Philippines.

Head of agency

This refers to any appointed or elected official charged to oversee the day-to-day operations of a government agency. It also refers to Department Secretary, Chairperson or President (in national government agencies, constitutional

commissions, government financial institutions, and state universities and colleges) who has the power to appoint, as well as Governors or Mayors.

Head of internal audit

The highest official in the IAS of an agency concerned who is responsible for effectively managing the internal audit service in accordance with the internal audit charter and the Definition of Internal Auditing, the Code of Ethics, and the Internal Auditing Standards for the Philippines Public Sector. The specific job title and/or role of the head of internal audit may vary across agencies.

Impairment

Impairment to organizational independence and individual objectivity may include personal conflict of interest; scope limitations; restrictions on access to records, personnel, and property (assets); and resource limitations (funding).

Independence

The freedom from conditions that threaten the ability of the IAS to carry out internal audit responsibilities in an unbiased manner.

Inherent risk

The risk to an agency in the absence of any actions management may take to alter either the risk's likelihood or its impact.

Information technology controls

Controls that support management and governance as well as provide general and technical controls over information technology infrastructures, such as applications, information, infrastructure, and people.

Information technology governance

Consists of the leadership, organizational structures, and processes which ensure that the enterprise's information technology supports the agency's strategies and objectives.

Institute of Internal Auditor (IIA)

An organization that establishes ethical and practice standards, provides education, and encourages professionalism for its members.

Integrity

The quality or state of having sound moral principle; uprightness, honesty and sincerity; the desire to do the right thing, to profess and live up to a set of values and expectations.

Internal audit charter

A formal document that defines the internal audit service's purpose, authority, and responsibility. The internal audit charter establishes the internal audit service's position within the agency; authorizes access to records, personnel, and physical properties relevant to the performance of engagements; and defines the scope of internal audit activities.

Internal audit service (IAS)

A department, division, unit, office, or other practitioner(s) that provides independent, objective assurance and advisory services designed to add value and improve an agency's operations. It helps an agency accomplish its objectives by bringing a systematic, disciplined approach to evaluate and improve the effectiveness of governance, risk management, and control processes.

Internal audit plan

The risk-based audit plan includes audit engagements and/or other procedures to obtain sufficient, appropriate audit evidence about all major operating units and agency functions to be assessed, as well as a review of the major control processes operating across the agency.

Internal Auditing Standards for the Philippine Public Sector (IASPPS)

A professional pronouncement promulgated by the Commission on Audit that delineates the requirements for performing a broad range of internal audit activities and for evaluating internal audit performance.

Internal auditor

An individual who examines and contributes to the ongoing effectiveness of the internal control system, through evaluations and recommendations, but does not have primary responsibility for designing, implementing, maintaining, and documenting of the system.

Internal control

An integral process that is effected by an agency's management and personnel, and is designed to address risks and provide reasonable assurance that in pursuit of the agency's mission, the general objectives are being achieved.

Internal control system (or process, or architecture)

A synonym for Internal Controls, applied in an agency. It refers to an agency's whole system or network of methods, procedures, and plans which govern its activities to accomplish its goals and objectives.

Must

The Internal Auditing Standards for the Philippine Public Sector (IASPPS) uses the word “must” to specify an unconditional requirement.

Objectivity

An unbiased mental attitude that allows internal auditors to perform engagements in such a manner that they believe in their work product and that no quality compromises are made. Objectivity requires that internal auditors do not subordinate their judgment on audit matters to others.

Overall opinion

The rating, conclusion, and/or other description of results provided by the head of internal audit addressing, at a broad level, governance, risk management, and/or control processes of the agency. An overall opinion is the professional judgment of the head of internal audit based on the results of a number of individual engagements and other activities for a specific time interval.

Philippine Internal Auditing Framework for the Public Sector

The conceptual framework that organizes the authoritative guidance promulgated by the Commission on Audit.

Public sector

This refers to the government (national, provincial, municipal, or city government) and related governmental entities (for example, agencies, boards, commissions, and enterprises) and government corporations and instrumentalities.

Residual risk

The risk remaining after management takes action to reduce the impact and likelihood of an adverse event, including control activities in responding to a risk.

Risk

The possibility of an event occurring to have an impact on the achievement of objectives. Risk is measured in terms of impact and likelihood.

Risk appetite

The amount of risk to which the agency is prepared to be exposed before it judges an action to be necessary. It is the broad-based amount of risk an agency is willing to accept in pursuit of its mission or vision.

Risk assessment

The process of identifying and analyzing relevant risks to the achievement of the agency's objectives and determining the appropriate response.

Risk evaluation

Means estimating the significance of a risk and assessing the likelihood of risk occurrence.

Risk management

A process to identify, assess, manage, and control potential events or situations to provide reasonable assurance regarding the achievement of the agency's objectives.

Risk profile

An overview or matrix of the key risks facing an agency or sub-unit which includes the level of impact (e.g., high, medium, low) and with the probability or likelihood of the event occurring.

Risk tolerance

This refers to the acceptable level of variation in performance relative to the achievement of objectives.

Senior management

Senior management is generally a team of individuals at the highest level of management who have the day-to-day tasks of managing the agency. It consists of senior managers, headed by the highest ranking official responsible for planning and directing the work of a group of individuals, monitoring their work, and taking corrective action when necessary. The composition varies for each class of government whether national, local or government-owned or -controlled corporation.

Should

The Internal Auditing Standards for the Philippine Public Sector uses the word "should" where conformance is expected unless, when applying professional judgment, and where circumstances justify deviation.

Significance

The relative importance of a matter within the context in which it is being considered, including quantitative and qualitative factors, such as magnitude, nature, effect, relevance, and impact. Professional judgment assists internal

auditors when evaluating the significance of matters within the context of the relevant objectives.

Technology-based audit techniques

Any automated audit tool, such as generalized audit software, test data generators, computerized audit programs, specialized audit utilities, and computer-assisted audit techniques (CAATs).



Internal Auditing Standards for the Philippine Public Sector (IASPPS)

with Philippine Application Guidelines (PAG)

ATTRIBUTE STANDARDS

Standard 1000

Purpose, Authority, and Responsibility

The purpose, authority, and responsibility of the internal audit service (IAS) must be formally defined in an internal audit charter, consistent with the Mission of Internal Audit, the Core Principles, the Code of Ethics, the Internal Auditing Standards for the Philippine Public Sector (IASPPS), and the Definition of Internal Auditing. The head of internal audit must periodically review the internal audit charter; present it to the senior management, for additional input/ enhancement, if any; and submit, for approval, to the head of agency or the governing body/audit committee.

1000.1 - The nature of assurance services must be defined in the internal audit charter.

1000.2 - The nature of advisory services must be defined in the internal audit charter.

Interpretation

The internal audit charter is a formal document that defines the IAS's purpose, authority, and responsibility. The internal audit charter establishes the IAS's position within the agency, including the nature of the head of internal audit's functional reporting relationship with the head of agency or the governing body/audit committee; authorizes access to records, personnel, and physical properties relevant to the performance of engagements; and defines the scope of IAS. Final approval of the internal audit charter resides with the head of agency or the governing body/audit committee.

Philippine Application Guidelines 1000

1. The internal audit charter is a critical document, as it serves as the official record of the approved purpose, authority, and responsibility of the IAS of a government agency. To develop this document, the head of internal audit must understand the Mission of Internal Audit, the Core Principles, the Code of Ethics, the IASPPS, and the Definition of Internal Auditing.

-
2. This understanding provides a foundation to the head of internal audit for a discussion with the senior management, and the head of agency or the governing body/audit committee to collectively or mutually agree upon the following internal audit concerns:
 - 2.1 Internal audit objectives and responsibilities;
 - 2.2 The expectations for the IAS;
 - 2.3 The head of internal audit's functional and administrative reporting lines;
 - 2.4 The level of authority (including access to records, personnel, and physical properties) required for the IAS to perform engagements and fulfill its objectives and responsibilities;
 - 2.5 Scope of IAS; and
 - 2.6 Engagement protocols, among others, which need to be discussed and resolved with the aforementioned agency authorities/officials.
 3. The head of internal audit may need to confer with the agency's legal counsel or the secretary of the governing body, regarding the preferred format for the audit charter; and how to effectively and efficiently submit the proposed internal audit charter to the head of agency or the governing body/audit committee for approval.
 4. An internal audit charter may vary by agency, and may include, but not limited to, the following:
 - 4.1 **Introduction** - Statements about the agency and the establishment of IAS.
 - 4.2 **Purpose of the IAS** – Narrations of the need and reasons/justifications for the IAS based on Administrative Order (AO) No. 278, s. 1992; AO No. 70, s. 2003; and Republic Act (RA) No. 3456, as amended by RA No. 4177 creating IAS.
 - 4.3 **Authority** – Statement of IAS's full, free, and unrestricted access to any and all of the agency's records, personnel, and physical properties, pertinent to carrying out any engagement, with emphasis on strict

accountability for confidentiality and safeguarding of records and information.

- 4.4 **Organization and reporting structure** – Statement on the dual reporting relationships, where the head of internal audit functionally reports to the governing body/audit committee and administratively reports to the head of agency. In the absence of a governing body/audit committee, the head of internal audit functionally and administratively reports to the head of agency.
- 4.5 **Independence and objectivity** – Description on the importance of internal audit independence and objectivity, and how these will be maintained, such as through prohibiting internal auditors from having operational responsibility or authority over areas audited.
- 4.6 **Responsibilities** – Lay out of major areas of ongoing responsibility such as defining the scope of assessments; writing an internal audit plan; submitting the plan to the head of agency or the governing body/audit committee for approval; performing engagements; communicating the results; providing a written engagement report; and monitoring corrective actions taken by management.
- 4.7 **Internal audit plan** – Consists of a work schedule, as well as budget and resource requirements to be submitted, at least annually, to the head of agency or the governing body/audit committee for approval.
- 4.8 **Reporting** – Submission of a written report for every concluded audit engagement. An internal audit report includes the auditee's views and corrective actions taken or to be taken, in regard to the specific observations and recommendations. Periodic reporting by the head of internal audit to the head of agency or the governing body/audit committee on the IAS's purpose, authority, responsibility, and performance or accomplishments relative to its plan.
- 4.9 **Monitoring** – Responsibility of IAS for appropriate follow-up on engagement observations and recommendations. All observations and recommendations will remain in the open issues file until cleared.
- 4.10 **Quality assurance and improvement** – Description of the expectations for developing, maintaining, evaluating, and communicating the results

of the quality assurance and improvement program which covers all aspects of the IAS.

4.11 Signatures – Documentation of agreement between/among the head of internal audit and the head of agency or the governing body/audit committee. This section includes the date, names, and titles of signatories.

5. Once drafted, the proposed internal audit charter should be discussed by the head of internal audit with senior management, to gather additional inputs/enhancements; and head of agency or the governing body/audit committee, to confirm that it accurately describes the agreed-upon role, responsibilities, and expectations; or to identify desired changes.
6. Once the draft is accepted, the head of internal audit formally presents it during a meeting with the head of agency or the governing body/audit committee, to be further discussed, when necessary, and approved. They may also agree with the head of the internal audit on the frequency with which to review the internal audit charter and reaffirm whether the provisions continue to enable the IAS to accomplish its objectives, and whether any changes are warranted.
7. The charter is a dynamic document to be periodically reviewed and to be amended when necessary, for IAS to promptly respond to changes in its role, developments in technology and communication, variation in expectations by stakeholders, and other changes in the agency and community/environment, which materially affect the efficient or effective discharge of the IAS.

Philippine Application Guidelines 1000.1

8. As regards assurance services provided by the IAS, this is an objective examination of evidence for the purpose of providing an independent assessment on governance, risk management, and control processes of the agency. Among the examples are financial, performance, compliance, system security, and due diligence engagements. Assurance engagements should comply with the provisions of the internal audit charter.

Philippine Application Guidelines 1000.2

9. On the other hand, the IAS may also be called upon to render advisory services, which is an advice-giving and auditee-related service, the nature and scope of which are agreed upon with the auditee. These are intended to add value and improve an agency's governance, risk management and control processes, without the internal auditor assuming management responsibility. Examples of which include counsel, facilitation, and training. Advisory services should observe the requirements of the internal audit charter.

STANDARD 1010

Recognizing Guidance in the Internal Audit Charter

The nature of the Core Principles, the Code of Ethics, the Internal Auditing Standards for the Philippine Public Sector (IASPPS), and the Definition of Internal Auditing must be reflected in the internal audit charter. The head of internal audit should discuss the Mission of Internal Audit and the elements of the Philippine Internal Auditing Framework for Public Sector with senior management, and the head of agency or the governing body/audit committee.

Philippine Application Guidelines 1010

1. To recognize the nature of the elements of the Philippine Internal Auditing Framework for Public Sector in the internal audit charter, the head of internal audit may make specific statements that would add value and inculcate in the minds and hearts of all concerned, the importance and necessity of observing the IASPPS.
2. The head of internal audit's discussion of the internal audit charter with senior management, the head of agency or the governing body/audit committee, and the staff of IAS provides a good opportunity to explain the Mission of Internal Audit and the elements of the Philippine Internal Auditing Framework for Public Sector, as well as how the charter recognizes the nature of these elements. After the charter has been adopted, it is important for the head of internal audit to monitor the operation of the elements and discuss any changes in the charter that may be warranted, during the next charter review.
3. The ethical standards or Code of Ethics to be observed in the professional practice of internal auditing are, at the least, those provided in the following:
 - 3.1 RA No. 6713, also known as Code of Conduct and Ethical Standards for Public Officials and Employees; and
 - 3.2 Code of Ethics of the Institute of Internal Auditors.

In case of conflict, RA No. 6713 prevails.

STANDARD 1100

Independence and Objectivity

The internal audit service (IAS) must be independent, and internal auditors must be objective in performing their work.

Interpretation

Independence is the freedom from conditions that threaten the ability of the IAS to carry out internal audit responsibilities in an unbiased manner. To achieve the degree of independence necessary to effectively carry out the responsibilities of the IAS, the head of internal audit has direct and unrestricted access to senior management, and the head of agency or the governing body/audit committee. This can be achieved through a dual-reporting relationship. Threats to independence must be managed at the individual auditor, engagement, functional, and organizational levels.

Objectivity is an unbiased mental attitude that allows internal auditors to perform engagements in such a manner that they believe in their work product, and that no quality compromises are made. Objectivity requires that internal auditors do not subordinate their judgment on audit matters to others. Threats to objectivity must be managed at the individual auditor, engagement, functional, and organizational levels.

Philippine Application Guidelines 1100

1. The head of internal audit needs support from senior management, and the head of agency or the governing body/audit committee, to determine and effectuate the IAS independence and placement, for IAS to address independence effectively. They should reach a shared understanding of internal audit's responsibility, authority, and expectations, which lays the groundwork for a discussion on, and resolution of, IAS independence and organizational placement.
2. Depending on senior management, and head of agency or the governing body/audit committee's experiences and expectations, reaching a common vision may require numerous discussions to increase their awareness on the

importance of IAS independence, the means of achieving it, and key considerations, such as reporting lines, professional and regulatory requirements, benchmarking, and agency's cultural issues.

3. Generally, the internal audit charter reflects the decisions reached regarding internal audit's responsibility, authority, and expectations, as well as organizational placement and reporting lines.
4. The head of internal audit works with senior management, and head of agency or the governing body/audit committee, to avoid conditions that would affect IAS's ability to perform its responsibilities in an unbiased manner. Often, the head of internal audit has a direct functional reporting line to the governing body/audit committee and an administrative reporting line to the head of agency. In the absence of the governing body/audit committee, the head of internal audit has both functional and administrative reporting lines direct to the head of agency.
5. These direct reporting lines to the abovementioned agency officials provide the head of internal audit with direct access to them for sensitive matters, sufficient organizational status, as well as authority to perform duties without impediment. These likewise accorded the head of internal audit the flexibility to promptly address difficult issues with other senior leaders. An example of IAS independence and placement is when the head of internal audit does not report to a comptroller or mid-level manager, who may be routinely subject to audit.
6. Since the head of internal audit reports administratively to the head of agency and is clearly a senior position, it is not positioned within an operation that is subject to audit. The head of internal audit should also be aware of any requirements from regulators or other governing bodies that may specify a required reporting relationship.
7. The head of internal audit does not have operational responsibilities beyond internal audit, as these other responsibilities may, themselves, be subject to audit. In some agencies, the head of internal audit is asked to assume operational responsibilities, such as for risk management or compliance. In such situations, the head of internal audit typically or necessarily discusses the independence concerns and the potential objectivity impairment with the senior management, and head of agency or the governing body/audit committee, who will implement safeguards to limit the impairment. Safeguards are oversight or control activities, generally undertaken by the head of agency

or the governing body/audit committee, to monitor and address independence conflicts. Examples include periodically evaluating the head of internal audit responsibilities, developing alternative processes to obtain assurance related to the additional areas of responsibility, and being aware of the potential objectivity impairment when considering internal audit risk assessments.

8. To effectively manage internal audit objectivity, the head of internal audit service has an internal audit policy and operational manual or handbook that describe expectations and requirements for an unbiased mindset. Such policy manual or handbook may describe the following:
 - 8.1 The critical importance of objectivity to the internal audit profession.
 - 8.2 Typical situations that could undermine objectivity, due to self-interest, self-review, familiarity, bias, and undue influence. Examples include auditing in an area where an internal auditor recently worked; auditing a family member or a close friend; or assuming, without evidence or based solely on prior positive experiences that an area under audit is acceptable or operating aboveboard.
 - 8.3 Actions that staff internal auditor should take if he or she becomes aware of the current or potential objectivity concern, such as discussing the concern with the head of internal audit.
 - 8.4 Reporting requirements where each staff internal auditor periodically considers and discloses conflict of interest.
9. To reinforce the importance of these policies and help ensure that all internal auditors internalize and observe their importance, some heads of internal audit hold routine workshops or training on these fundamental concepts. Such training sessions often allow internal auditors to better understand objectivity, by considering objectivity-impairing scenarios, and determine how best to address them. Further, when assigning internal auditors to specific engagements, the head of internal audit considers potential objectivity impairments and avoids assigning team members who may have a conflict.

STANDARD 1110

Organizational Independence

The head of internal audit must report to a level within the agency that allows the internal audit service (IAS) to fulfill its responsibilities. The head of internal audit must confirm to the head of agency or the governing body/audit committee, at least annually, the organizational independence of IAS.

1110.1 The IAS must be free from interference in determining the scope of internal auditing, performing work, and communicating results. The head of internal audit must disclose such interference to the head of agency, or the governing body/audit committee, and discuss the implications.

Interpretation

Organizational independence of IAS is effectively achieved when the head of internal audit reports functionally to the head of agency or the governing body/audit committee. Examples of the functional reporting are their actions such as the following:

- i. Approving the internal audit charter;*
- ii. Approving the risk-based internal audit plan;*
- iii. Approving the internal audit budget and resource plan;*
- iv. Receiving communications from the head of internal audit on the IAS's performance relative to its plan and other matters;*
- v. Approving decisions regarding the appointment and removal of the head of internal audit;*
- vi. Approving the remuneration of the head of internal audit pursuant to existing laws, rules, and regulations; and*
- vii. Making appropriate inquiries of management, and with the head of internal audit, to determine whether there are inappropriate scope or resource limitations.*

Philippine Application Guidelines 1110

1. Support from senior management, and head of agency or the governing body/audit committee, assists the IAS in gaining the cooperation of auditees, and performing their work free from interference. Therefore, it is necessary to consider the organizational placement and supervisory oversight/reporting lines of internal audit, to ensure organizational independence.
2. The head of internal audit, reporting functionally to the head of agency or the governing body/audit committee, or in their absence, reporting functionally and administratively to the head of agency, facilitates organizational independence.
3. To facilitate oversight, the head of internal audit routinely provides the head of agency or the governing body/audit committee with performance updates. Often, the head of internal audit is involved in crafting meeting agendas and planning for sufficient time to discuss internal audit performance, as well as other matters, including key findings or emerging risks that warrant the attention of the head of agency or the governing body/audit committee. Further, to ensure that organizational independence is discussed annually, as required by this Standard, the head of internal audit often creates a standing agenda item for a specific meeting each year.
4. Functional reporting to the head of agency or the governing body/audit committee ensures that the head of internal audit has unrestricted access to sensitive matters. It enables the head of the internal audit to have sufficient organizational status and opportunity to report unwelcome interference that would affect independence in determining scope of internal auditing, performing work, and communicating results.
5. Administrative reporting is the reporting relationship within the agency's management structure that facilitates the day-to-day operations of the IAS. The head of internal audit's administrative reporting line to the head of agency further enables the requisite stature and authority of internal audit to fulfill responsibilities; and enhances credibility, for the head of internal audit to clearly be in a senior position, with the authority to perform duties unimpeded.

Administrative reporting typically includes the following:

- 5.1 Budgeting and management accounting;

-
- 5.2 Human resource administration, including personnel evaluations and compensation in accordance with existing laws, rules, and regulations;
 - 5.3 Internal communications and information flow; and
 - 5.4 Administration of the IAS policies and procedures.
- 6. In the determination of the scope of internal auditing services, performance of work, and communication of results, the head of internal audit should not allow any interference thereon. Otherwise, any attempt should be immediately reported to the head of agency or the governing body/audit committee.
 - 7. The head of internal audit should be able to document the reality of the attempt to interfere, which would leave no room for doubt or misinterpretation, of the negative influence on the efforts of IAS to properly discharge its functions.

STANDARD 1111
**Direct Interaction with the Head of Agency
or the Governing Body/Audit Committee**

The head of internal audit must communicate and interact directly with the head of agency or the governing body/audit committee.

Philippine Application Guidelines 1111

1. It is necessary that the head of internal audit has a direct communication with the head of agency or the governing body/audit committee. A direct communication allows them to give insights directly to the head of internal audit on new and emerging issues and concerns facing the agency. It also allows them to monitor the ability of internal audit to operate independently and fulfill its charter.
2. Direct communication occurs when the head of internal audit regularly attends and participates in meetings that relate to the head of agency or the governing body/audit committee's oversight responsibilities for auditing, financial reporting, organizational governance, and control. The head of internal audit's attendance and participation at these meetings provide an opportunity to be apprised of strategic and operational developments; allow to raise high-level risk, systems, procedures, or control issues at an early stage; provide an opportunity to exchange information concerning the internal audit service's plans and activities; and keep each other informed on any other matters of mutual interest.
3. The head of internal audit will have the ability/access to contact the head of agency or the governing body/audit committee to directly communicate sensitive matters or issues facing the internal audit or the agency. At least annually, a private meeting with the head of agency or the governing body/audit committee, and the head of internal audit (without senior management present) is formally conducted to discuss such matters or issues.

STANDARD 1112

Roles of the Head of Internal Audit Beyond Internal Auditing

Where the head of internal audit has or is expected to have roles and/or responsibilities that fall outside of internal auditing, safeguards must be in place to limit impairments to independence or objectivity.

Interpretation

The head of internal audit may be asked to take on additional roles and responsibilities outside of internal auditing, such as responsibility for compliance or risk management activities. These roles and responsibilities may impair, or appear to impair, the organizational independence of the internal audit service (IAS) or the individual objectivity of the internal auditor. Safeguards are those oversight or control activities, often undertaken by the head of agency or the governing body/audit committee to address these potential impairments, and may include such activities as periodically evaluating reporting lines and responsibilities, and developing alternative processes to obtain assurance related to the areas of additional responsibility.

Philippine Application Guidelines 1112

1. In certain circumstances, the head of agency or the governing body/audit committee may find it appropriate for the agency to expand the head of internal audit's role beyond internal auditing.
2. Examples of situations when the head of internal audit may be asked to perform roles for which management is normally responsible include the following:
 - 2.1 A new regulatory requirement prompts a pressing need to develop policies, procedures, controls, and risk management activities to ensure compliance.
 - 2.2 The agency needs current risk management activities to be adopted for the addition of a new agency segment or geographical market.

-
- 2.3 The agency's resources are too constrained, or the agency is too small to afford a separate compliance function.
- 2.4 The agency's processes are immature, and the head of internal audit has the most appropriate expertise to introduce risk management principles in the agency.
3. In some cases, the head of internal audit may be expected to assume responsibilities in the areas of risk management, design and operation of controls, and compliance. For example, if a head of internal audit is asked to take on a role that reports functionally to senior management instead of the head of agency or the governing body/audit committee, the head of internal audit's independence related to internal audit responsibilities may be impaired.
4. The head of internal audit must have a clear understanding of the Code of Ethics and the concepts of independence and objectivity.
5. Additionally, several core principles address the independence and objectivity of the head of internal audit. The IAS's mission statement and internal audit charter, as well as the agency's policies and Code of Ethics may include additional relevant guidance specific to the agency.
6. To address the risks of impairment, the head of internal audit should gain an understanding of any proposed role that falls outside of internal auditing and speak with the head of agency or the governing body/audit committee about the reporting relationships, responsibilities, and expectations related to the role. During the discussion, the head of internal audit should emphasize the standards related to independence and objectivity, the potential impairment presented by the proposed role, the risks associated with the proposed role, and the safeguards that could mitigate those risks.
7. The Internal Auditing Standards for the Philippine Public Sector (IASPPS) emphasizes the importance of safeguards, such as oversight activities often undertaken by the head of agency or the governing body/audit committee, to address potential impairments to the head of internal audit's independence and objectivity. One safeguard is the head of internal audit's organizational position and reporting relationship.
8. Changes in the agency and its key personnel may lead to the repositioning or redefinition of roles and responsibilities. The head of internal audit's review

of the internal audit charter, and discussion with senior management, and head of agency, or the governing body/audit committee, as described in Standard 1000, should include any changes in roles or responsibilities that may affect the IAS, particularly those that have the potential to impair the head of internal audit's independence and objectivity either in fact or appearance.

9. If the head of internal audit's non-audit responsibilities will be ongoing or long-ranged, the internal audit charter should describe the nature of the work. However, if such responsibilities will be short-term, changes to the internal audit charter and other documents may not be necessary. In such cases, a plan to transition these responsibilities to management may be implemented to safeguard the head of internal audit's independence and objectivity. The transition plan would ensure the proper resources and timeline to facilitate management's acceptance of these responsibilities.
10. Standard 1130 requires the head of internal audit to disclose the details of any impairment to independence or objectivity, whether in fact or appearance. Disclosures, which enable the head of agency or the governing body/audit committee to evaluate the overall risk of potential impairments, typically take place during a meeting of the governing body/audit committee and may include a discussion of related topics such as the following:
 - 10.1 Roles and responsibilities that the head of internal audit is being asked to undertake;
 - 10.2 Risks related to the undertaking;
 - 10.3 Safeguards to the head of internal audit's independence and objectivity, including consideration of appearances;
 - 10.4 Controls in place to validate that the safeguards are operating effectively;
 - 10.5 Transition plan, if the assignment is short-term; and
 - 10.6 Agreement with the head of agency or the governing body/audit committee.
11. The head of agency or the governing body/audit committee can monitor the head of internal audit's objectivity by increasing the level of scrutiny applied to

the head of internal audit's risk assessment, internal audit plan, and engagement communications; and considering any potential bias the head of internal audit may have, related to an area for which he or she performed duties beyond internal auditing.

12. To help safeguard the head of internal audit from impairments to objectivity, Standard 1130.1 prohibits internal auditors from providing assurance services for which they were responsible within the previous year, and Standard 1130.2 requires a party outside the IAS to oversee assurance engagements for functions over which the head of internal audit has responsibility.

STANDARD 1120

Individual Objectivity

Internal auditors must have an impartial, unbiased attitude and avoid any conflict of interest.

Interpretation

Conflict of interest is a situation in which an internal auditor, who is in a position of trust, has a competing professional or personal interest. Such competing interests can make it difficult to fulfill his or her duties impartially. A conflict of interest exists even if no unethical or improper act results. A conflict of interest can create an appearance of impropriety that can undermine confidence in the internal auditor, the internal audit service, and the profession. A conflict of interest could impair an individual's ability to perform his or her duties and responsibilities objectively.

Philippine Application Guidelines 1120

1. Objectivity refers to an internal auditor's impartial and unbiased mindset, which is facilitated by avoiding conflicts of interest. Therefore, to implement this Standard, the head of internal audit and staff need to understand policies or activities within the agency and within internal audit that could enhance or hinder such mindset.
2. Conflict of interest arises when a public official or personnel is the head of agency or the governing body/audit committee, and is also the officer, substantial stockbroker of a private corporation, or owner of, or has a substantial interest in a business, and the interest in such corporation or business, or his rights or duties therein, may be opposed to, or affected by the faithful performance of official duty.
3. The internal auditor should avoid conflict of interest at all times, thereby maintaining objectivity and impartiality, and upholding public interest. The internal auditor should maintain an impartial and unbiased attitude, characterized by integrity; have an objective approach to work; and be constantly conscious of, and alert to, factors which may give rise to conflict of

interest. Conflict of interest arises when an internal auditor puts his personal interest first, before the interest of the public or the agency. The internal auditor's judgments should not be highly influenced by his/her own or other people's interest. Conflict of interest has a big impact on the objectivity of the internal auditor to perform his duties and responsibilities.

4. To effectively manage internal audit objectivity, the head of internal audit service has an internal audit policy and operational manual or handbook that describe expectations and requirements for an unbiased mindset. Such policy manual or handbook may describe the following:
 - 4.1 The critical importance of objectivity to the internal audit profession;
 - 4.2 Typical situations that could undermine objectivity, such as auditing in an area in where an internal auditor recently worked; auditing a family member or a close friend; or assuming, without evidence, that an area under audit is acceptable, based solely on prior positive experiences;
 - 4.3 Actions the internal auditor should take if he or she becomes aware of a current or potential objectivity concern, such as discussing the concern with the head of internal audit; and
 - 4.4 Reporting requirements, where each internal auditor periodically considers and discloses conflicts of interest. Often, policies require internal auditors to indicate that they understand the conflict of interest policy, and to disclose potential conflicts. Internal auditors sign annual statements indicating that no potential threats exist or acknowledging any known potential threats.
5. To reinforce the importance of these policies and help ensure all internal auditors internalize their importance, the head of internal audit holds routine workshops or training on these fundamental concepts. Such training sessions allow internal auditors to better understand objectivity, by considering objectivity-impairing scenarios, and determine how best to address them. Another commonly related training topic is professional skepticism. Such training reinforces the nature of skepticism, as well as the criticality of avoiding bias and maintaining an open and curious mindset.
6. Further, when assigning internal auditors to specific engagements, the head of internal audit should consider potential objectivity impairments and avoid assigning team members who may have a conflict, as described above. For

example, when internal auditors move to internal audit from other departments, the head of internal audit must follow Standard 1130.1. This requires internal auditors to refrain from assessing operations for which they were previously responsible, for at least one year after leaving the operation.

7. In addition, the head of internal audit should discuss with potential team members the nature of an assignment, the individuals and departments involved, and explore whether there is a conflict that would impair (or appear to impair) an internal auditor's objectivity. Internal auditors are encouraged to share any concerns they may have, for the internal audit management to determine whether the internal auditor may participate in the engagement.

STANDARD 1130

Impairment to Independence or Objectivity

If independence or objectivity is impaired in fact or appearance, the details of the impairment must be disclosed to appropriate parties. The nature of the disclosure will depend upon the impairment.

1130.1 - Internal auditors must refrain from assessing specific operations for which they were previously responsible. Objectivity is presumed to be impaired if an internal auditor provides assurance services for an activity, for which the internal auditor had previous responsibility within the previous year.

1130.2 - Assurance engagements for functions over which the head of internal audit has responsibility must be overseen by a party outside the internal audit service (IAS).

1130.3 - IAS may provide assurance services where it had previously performed advisory services, provided the nature of the advisory did not impair objectivity, and provided individual objectivity is managed when assigning resources to the engagement.

1130.4 - Internal auditors may provide advisory services relating to operations for which they had previous responsibilities.

1130.5 - If internal auditors have potential impairments to independence or objectivity relating to proposed advisory services, disclosure must be made to the engagement auditee prior to accepting the engagement.

Interpretation

Impairment to organizational independence and individual objectivity may include, but is not limited to, personal conflict of interest; scope limitations; restrictions on access to records, personnel, and properties; and resource limitations, such as funding.

The determination of appropriate parties to which the details of an impairment to independence or objectivity must be disclosed is dependent upon the expectations of the IAS's and the head of internal audit's responsibilities to senior management, the head of agency or the governing body/audit committee, as described in the internal audit charter, as well as the nature of the impairment.

Philippine Application Guidelines 1130

1. Internal auditors shall report to the head of internal audit any situation in which an actual or potential impairment to independence or objectivity may reasonably be inferred, or if they have questions about whether a situation constitutes impairment to objectivity or independence. If the head of internal audit determines that impairment exists or may be inferred in the assignment of a certain staff auditor to the particular engagement, the head of internal audit needs to reassign the auditor.
2. A scope limitation is a restriction placed on the IAS that precludes the activity from accomplishing its objectives and plans. Among other things, a scope limitation may restrict the following:
 - 2.1 Scope as defined in the internal audit charter;
 - 2.2 IAS's access to records, personnel, and physical properties relevant to the performance of engagements;
 - 2.3 Approved engagement work schedule;
 - 2.4 Performance of necessary engagement procedures; and
 - 2.5 Approved staffing plan and financial budget.
3. A scope limitation, along with its potential effect, needs to be communicated, preferably in writing, to the head of agency or the governing body/audit committee. The head of internal audit needs to consider whether it is appropriate to inform the head of agency or the governing body/audit committee regarding scope limitations that were previously communicated to and accepted by the same.

-
4. Internal auditors must not accept fees, gifts, or entertainment from an employee, auditee, customer, or supplier which may create the appearance that the auditor's objectivity has been impaired. The appearance that objectivity has been impaired may apply to current and future engagements conducted by the auditor.
 5. The status of engagements is not to be considered as justification for receiving fees, gifts, or entertainment. However, the receipt of promotional items (such as pens, calendars, or samples) that are available to employees and the general public, and have minimal value, do not hinder internal auditors' professional judgments. Internal auditors are to report immediately the offer of all material fees or gifts to their supervisors.
 6. Internal auditors shall observe the provisions in RA No. 6713, otherwise known as "The Code of Conduct and Ethical Standards for Public Officials and Employees," under Sections 3(i) and 7(d).
 7. This Standard requires the head of internal audit to disclose real or perceived impairments to independence or objectivity. Therefore, the head of internal audit must have a clear understanding of independence and objectivity requirements, as described in the Code of Ethics and Standards 1100, 1110, 1111, 1112, and 1120.
 8. Further, by communicating these requirements to the head of agency or the governing body/audit committee, the head of internal audit helps ensure that they understand the criticality of independence and objectivity for an effective IAS. Generally, they discuss how and to whom impairments are disclosed, depending on the nature and potential impact of the impairment.
 9. To fully understand and appreciate independence and objectivity, it is important that internal auditors consider the perspectives of their various stakeholders and the conditions that can be perceived as undermining (or appearing to undermine) independence or objectivity. Often, the head of internal audit develops an internal audit policy manual or handbook that includes, among others, a discussion of organizational independence and internal auditor objectivity, the nature of impairments, and how internal auditors should handle potential impairments.

Philippine Application Guidelines 1130.1

10. Internal auditors should not accept assurance services for which they have a previous responsibility. It is presumed that objectivity is impaired. The internal auditor's former job assignment has a big impact to influence his ability to make fair judgments. A period of at least one year must pass before the internal auditor engages to audit those areas.

Philippine Application Guidelines 1130.2

11. There are situations that senior management asks an internal auditor to assume responsibility for non-audit operational activities. Internal auditors should not accept such non-audit activities that are subject to periodic internal audit assessments. Acceptance of non-audit operational activity may appear to impair independence or objectivity. Thus, safeguards must be put in place.
12. The head of internal audit must assess first the impact on independence or objectivity. If senior management insists that an internal auditor assume responsibility for operations, the head of internal audit must carefully review the internal audit charter on restrictions regarding the internal auditor assuming non-audit operational activities. He should also disclose and discuss with the head of agency or the governing body/audit committee the restrictions in the internal audit charter.

Philippine Application Guidelines 1130.3

13. Internal auditors can perform assurance services to operations of their past job assignments, where they have previously rendered advisory services, provided they perform their work with independence or objectivity.

Philippine Application Guidelines 1130.4 and 1130.5

14. While internal auditors can perform advisory services to operations for which they had previous responsibilities, before accepting the advisory engagements, internal auditors must disclose to the auditee the potential impairments to independence or objectivity. By being straight forward on this information, both the auditor and the auditee stand to benefit the comfort of a

clean slate from the start of their auditor-auditee relationship. They will also be aware and guided in disposing with wisdom, any matter that may develop and be deduced to have a bearing on such disclosure or information.

STANDARD 1200

Proficiency and Due Professional Care

Engagements must be performed with proficiency and due professional care.

Philippine Application Guidelines 1200

1. Proficiency and due professional care are responsibilities of the head of internal audit and each internal auditor. As such, the head of internal audit ensures that persons assigned to each engagement collectively possess the necessary knowledge, skills, and other competencies to conduct the engagement appropriately.
2. The head of internal audit is responsible for ensuring conformance with this Standard by the internal audit service (IAS) as a whole. As part of managing the IAS, the head of internal audit establishes policies and procedures that enable internal auditors to perform engagements with proficiency and due professional care. This involves the head of internal audit's recruitment and training of internal auditors, as well as the proper planning, staffing, and supervising of engagements.
3. To start, the head of internal audit may review the responsibilities established in the internal audit charter and internal audit plan. He should reflect on the knowledge, skills, and other competencies that the IAS needs to possess to complete the planned audit engagements.
4. Internal auditors generally develop individual proficiency throughout their careers by obtaining and maintaining appropriate certifications, experience, and professional education, which includes continuing professional development. Additionally, the head of internal audit may develop a strategy for recruiting, assigning, training, and professionally developing staff, in order to establish a proficient IAS and ensure that its competencies remain current and sufficient.
5. To ensure due professional care is applied, the head of internal audit must establish policies and procedures (see Standard 2040), which generally incorporate the Philippine Internal Auditing Framework for Public Sector and

provide a systematic and disciplined approach to the engagement process. The head of internal audit may require individual auditors to sign forms acknowledging that they understand the policies and procedures.

STANDARD 1210

Proficiency

Internal auditors must possess the knowledge, skills, and other competencies needed to perform their individual responsibilities.

The internal audit service (IAS) collectively must possess or obtain the knowledge, skills, and other competencies needed to perform its responsibilities.

1210.1 - The head of internal audit must obtain competent advice and assistance if the internal auditors lack the knowledge, skills, or other competencies needed to perform all or part of the engagement subject to existing laws, rules, and regulations.

1210.2 - Internal auditors must have sufficient knowledge to evaluate the risk of fraud and the manner in which it is managed by the agency, but are not expected to have the expertise of a person whose primary responsibility is detecting and investigating fraud.

1210.3 - Internal auditors must have sufficient knowledge of key information technology risks and controls, and available technology-based audit techniques, to perform their assigned work. However, not all internal auditors are expected to have the expertise of an internal auditor whose primary responsibility is information technology auditing.

1210.4 - The head of internal audit must decline the advisory engagement or obtain competent advice and assistance if the internal auditors lack the knowledge, skills, or other competencies needed to perform all or part of the engagement subject to existing laws, rules, and regulations.

Interpretation

Proficiency is a collective term that refers to the knowledge, skills, and other competencies required of internal auditors to effectively carry out their professional responsibilities. It encompasses consideration of current activities, trends and emerging issues to enable relevant advice and recommendations.

Philippine Application Guidelines 1210

1. To achieve the Proficiency Standard, it is essential that internal auditors understand and apply the Internal Auditing Standards for the Philippine Public Sector (IASPPS) and have certain knowledge, skills, and competencies.
2. Ensuring the collective proficiency of the IAS is the overall responsibility of the head of internal audit, who must effectively manage the IAS and its resources to accomplish the internal audit plan and add value to the agency.
3. The knowledge, skills, and competencies referred to in this Standard include the following:
 - 3.1 Application of the IASPPS, procedures, and techniques in performing engagements;
 - 3.2 Accounting principles and techniques used when internal auditors work extensively with financial records and reports;
 - 3.3 Ability to identify indicators of fraud;
 - 3.4 Knowledge in information technology risks and controls, and technology-based audit techniques;
 - 3.5 Understanding of management principles;
 - 3.6 Appreciation of the fundamentals of subjects, such as:

▪ Accounting	▪ Quantitative methods
▪ Economics	▪ Information technology
▪ Commercial Law	▪ Risk management
▪ Taxation	▪ Fraud
▪ Finance	▪ Other disciplines; and
 - 3.7 Interpersonal skills, as well as oral and written communication skills.
4. The head of internal audit has additional obligations related to ensuring the collective proficiency of the IAS. These include managing the IAS in conformance with the IASPPS and ensuring that the IAS has the appropriate mix of knowledge, skills, and other competencies to fulfill the internal audit plan (see Standard 2030).
5. If the IAS does not have appropriate and sufficient resources on staff, the head of internal audit is expected to obtain competent advice or assistance to fill any gaps. The head of internal audit can use the criteria defined in a

competency assessment tool to identify gaps in the IAS's collective proficiency and to develop plans for filling coverage gaps through hiring, training, outsourcing, and other methods. (see Standard 2050 and its respective implementation guide, addressing the details of coordinating activities with other internal and external providers of assurance and advisory services.)

6. To enhance the proficiency of IAS, the head of internal audit would encourage professional development and pursuit of professional certifications of internal auditors through on-the-job training, attendance at professional conferences and seminars, or taking of certification exams. By regularly reviewing the performance of internal auditors, the head of internal audit may gain insight of training needs and provide feedback to help develop individuals.
7. This Standard also requires individual internal auditors to possess the knowledge, skills, and competencies needed to effectively carry out their responsibilities. Individuals may use a competency assessment tool as a basis for self-assessment.
8. Moreover, the Standard encourages internal auditors to obtain appropriate certifications and qualifications, to further support the professional growth and increased proficiency of the individual and the IAS as a whole. Likewise, Standard 1230 requires internal auditors to enhance their competencies through continuing professional development. Internal auditors should keep themselves informed about the continuing education that may be required to maintain any professional certifications they hold.
9. Because this Standard requires proficiency that encompasses consideration of current activities, trends, and emerging issues, continuing education could include opportunities to learn about changes in the industry that may affect the agency or the internal audit profession. The head of internal audit may help ensure the IAS's overall proficiency in this regard. For example, the head of internal audit could subscribe to industry news services or e-mailed newsletters, which are likely to include information about recently published studies and white papers. The head of internal audit may also attend or recommend to the audit staff an online or in-person seminar. Periodically, the head of internal audit may schedule internal staff training events to introduce new technology or changes in internal audit practices.

-
10. At the level of the individual engagement, the head of internal audit assumes overall responsibility for supervising the engagement to ensure quality, achievement of objectives, and staff development (see Standard 2340). The proficiency and experience of internal auditors help determine the extent of supervision required. To stay informed, the head of internal audit may periodically reassess the skills of individual internal auditors. Also, as an engagement is completed, the head of internal audit or the engagement supervisor may survey and/or interview the auditees (formally or informally) to solicit feedback about the internal auditor's proficiency in performing the engagement.
 11. The individual responsibilities of internal auditors at the level of engagement planning include considering the appropriateness and sufficiency of resources to achieve engagement objectives (see Standard 2230). Internal auditors usually review the objectives and scope of audit engagements, and then discuss with the head of internal audit, any limitations in their competencies that may prevent them from achieving those engagement objectives.

Philippine Application Guidelines 1210.1

12. Each member of the IAS does not need to be qualified in all disciplines. The IAS may use external service providers or internal resources that are qualified in disciplines such as accounting, auditing, economics, finance, statistics, information technology, engineering, taxation, law, environmental affairs, and other areas needed to meet the IAS's responsibilities.
13. An external service provider is a person or firm, independent of the agency, with special knowledge, skill, and experience in a particular discipline. External service providers include actuaries, accountants, appraisers, culture or language experts, environmental specialists, fraud investigators, lawyers, engineers, geologists, security specialists, statisticians, information technology specialists, and other experts. An external service provider may be engaged by the senior management, or the head of agency or governing body/audit committee, or the head of internal audit.
14. External service providers may be used in audit activities wherein their special skills and knowledge are needed. Among others, these are the following:
 - 14.1 Information technology, statistics, taxation, language translations, etc.;

-
- 14.2 Valuation of assets (land and buildings, equipment, precious gems, investments, financial instruments);
 - 14.3 Determination of quantities or condition of assets (mineral and petroleum reserves);
 - 14.4 Measurement of work on contract in progress;
 - 14.5 Fraud and security investigations;
 - 14.6 Actuarial determinations using specialized methods;
 - 14.7 Interpretation of legal, technical, and regulatory requirements;
 - 14.8 Evaluation of IAS's Quality Assurance and Improvement Program;
 - 14.9 Mergers and acquisitions; and
 - 14.10 Advisory services on risk management.
15. When the head of internal audit intends to use and rely on the work of an external service provider, the head of internal audit needs to consider the competence, independence, and objectivity of the external service provider, as it relates to the particular assignment to be performed. The assessment of competency, independence, and objectivity is also needed when the external service provider is selected by senior management, or the head of agency or governing body/audit committee; and the head of internal audit intends to use and rely on the external service provider's work.
16. When the selection is made by others, and the head of internal audit's assessment determines that he or she should not use and rely on the work of the external service provider, communication of such results to senior management, or the head of agency or governing body/audit committee, as appropriate, is needed.
17. The head of internal audit determines if the external service provider possesses the necessary knowledge, skills, and other competencies to perform the engagement by considering the following:
- 17.1 Professional certification, license, or other recognition of the external service provider's competence in the relevant discipline;

-
- 17.2 Membership of the external service provider in an appropriate professional agency, and its adherence to that agency's Code of Ethics;
 - 17.3 Reputation of the external service provider, which may be done through contacting others familiar with the external service provider's work;
 - 17.4 Experience of the external service provider in the type of work being considered;
 - 17.5 Extent of education and training received by the external service provider, in disciplines that pertain to the particular engagement; and
 - 17.6 Knowledge and experience of the external service provider in the industry in which the agency operates.
18. The head of internal audit needs to assess the relationship of the external service provider to the agency and to the IAS, in order to ensure that independence and objectivity are maintained throughout the engagement. In performing the assessment, the head of internal audit verifies that there are no financial, organizational, or personal relationships that will prevent the external service provider from rendering impartial and unbiased judgments and conclusions, when performing or reporting on the engagement.
19. The head of internal audit assesses the independence and objectivity of the external service provider by considering the following:
- 19.1 Financial interest the external service provider may have in the agency;
 - 19.2 Personal or professional affiliation the external service provider may have to the senior management, or head of agency or governing body/audit committee, or others within the agency;
 - 19.3 Relationship the external service provider may have had with the agency or the activities being reviewed;
 - 19.4 Extent of other ongoing services the external service provider may be performing for the agency; and
 - 19.5 Compensation or other incentives that the external service provider may have.

-
20. To ascertain that the scope of work is adequate for the purposes of the IAS, the head of internal audit obtains sufficient information regarding the scope of the external service provider's work. It is prudent to document these and other matters in an engagement letter or contract. To accomplish this, the head of internal audit reviews the following with the external service provider:
- 20.1 Objectives and scope of work, including deliverables and time frames;
 - 20.2 Specific matters expected to be covered in the engagement communications;
 - 20.3 Access to relevant records, personnel, and physical properties;
 - 20.4 Information regarding assumptions and procedures to be employed;
 - 20.5 Ownership and custody of engagement working papers, if applicable;
 - 20.6 Confidentiality and restrictions on information obtained during the engagement; and
 - 20.7 Conformance with the IASPPS for working practices, where applicable.
21. In reviewing the work of an external service provider, the head of internal audit evaluates the adequacy of work performed, which includes sufficiency of information obtained to afford a reasonable basis for the conclusions reached and the resolution of exceptions or other unusual matters.
22. When the head of internal audit issues engagement communications, and an external service provider was used, the head of internal audit may, as appropriate, refer to such services provided. The external service provider needs to be informed and, if appropriate, concurrence should be obtained before making such reference in engagement communications.
23. Engagements of external service providers shall be in accordance with existing laws, rules, and regulations.

STANDARD 1220

Due Professional Care

Internal auditors must apply the care and skill expected of a reasonably prudent and competent internal auditor. Due professional care does not imply infallibility.

1220.1 - Internal auditors must exercise due professional care by considering the following:

- Extent of work needed to achieve the engagement's objectives;
- Relative complexity, materiality, or significance of matters to which assurance procedures are applied;
- Adequacy and effectiveness of governance, risk management, and control processes;
- Probability of significant errors, fraud, or noncompliance; and
- Cost of assurance in relation to potential benefits.

1220.2 - In exercising due professional care, internal auditors must consider the use of technology-based audit and other data analysis techniques.

1220.3 - Internal auditors must be alert to the significant risks that might affect objectives, operations, or resources. However, assurance procedures alone, even when performed with due professional care, do not guarantee that all significant risks will be identified.

1220.4 - Internal auditors must exercise due professional care during an advisory engagement by considering the following:

- Needs and expectations of auditee, including the nature, timing, and communication of engagement results;
- Relative complexity and extent of work needed to achieve the engagement's objectives; and
- Cost of the advisory engagement in relation to potential benefits.

Philippine Application Guidelines 1220

1. Due professional care includes conforming with the Code of Ethics and, as appropriate, with the agency's code of conduct as well as the codes of conduct for other professional designations the internal auditors may hold. The Code of Ethics extends beyond the Definition of Internal Auditing and includes the following:
 - 1.1 Principles that are relevant to the profession and practice of internal auditing: integrity, objectivity, confidentiality, and competency;
 - 1.2 Rules of conduct that describe behavioral norms expected of internal auditors. These rules aid in interpreting the principles into practical applications and are intended to guide the ethical conduct of internal auditors; and
 - 1.3 RA No. 6713, otherwise known as the "Code of Conduct and Ethical Standards for Public Officials and Employees."
2. Obtaining appropriate education, experience, certifications, and training helps internal auditors develop the level of skill and expertise required to perform their duties with due professional care. Additionally, internal auditors should understand and apply the Philippine Application Guidelines of the Internal Auditing Standards for the Philippine Public Sector. They may also find it helpful to become familiar with the agency's internal audit competency assessment tools.
3. At the engagement level, applying due professional care involves comprehending the objectives and scope of the engagement, the competencies that will be required to execute the audit work, and any policies and procedures specific to the internal audit service (IAS) and the agency.
4. For internal auditors, due professional care requires conformance with the Code of Ethics. It may also entail conformance with the agency's code of conduct, and any additional codes of conduct relevant to other professional designations attained. The IAS may have a formal process that requires internal auditors to sign an annual declaration related to Code of Ethics or the agency's code of conduct.

-
5. Along with the IASPPS, the IAS's policies and procedures should provide a systematic and disciplined approach to planning, executing, and documenting internal audit work. By following this systematic and disciplined approach, internal auditors essentially apply due professional care. However, what constitutes due professional care partially depends upon the complexities of the engagement.
 6. Standards 1220.1, 1220.2, 1220.3, and 1220.4 describe the elements that internal auditors must consider in exercising due professional care. For example, internal auditors must consider the possibility of significant errors, fraud, and non-compliance. They are expected to conduct examinations and verifications to the same extent as a reasonably prudent and competent internal auditor in the same or similar circumstances will do. Yet, this Standard also specifies that due professional care does not imply infallibility. Therefore, internal auditors are not expected to give an absolute assurance that non-compliance or irregularities do not exist.
 7. To ensure due professional care at the engagement level, Standard 2340 requires engagements to be properly supervised. This generally involves supervisory review of the engagement workpapers, results, and conclusions to be reported. After such reviews, supervisors usually provide feedback to the internal auditors who conducted the engagement, often through post-engagement meetings. Input about internal auditors' due professional care may be solicited through post-engagement surveys of auditees.
 8. In managing the IAS (the 2000 series of Standard) and implementing a quality assurance and improvement program (the 1300 series of Standard), the head of internal audit assumes overall responsibility for ensuring that due professional care is applied. Thus, the head of internal audit typically develops measurement tools, such as self-assessments; metrics, such as key performance indicators; and a process to assess the performance of individual internal auditors and the IAS as a whole. In addition to surveys of auditees, tools to evaluate individual internal auditors could include peer and supervisory reviews. The IAS as a whole may be evaluated through internal and external assessments, in accordance with Standards 1310 through 1312, as well as surveys or similar methods of feedback.
 9. To ensure due professional care is applied, the head of internal audit must establish policies and procedures (see Standard 2040) that in general, incorporate the IASPPS and provide a systematic and disciplined approach to the engagement process. The head of internal audit may require individual

auditors to sign forms acknowledging that they understand policies and procedures.

10. Internal auditors can use their knowledge to assess the engagement's scope and objectives, and determine how to effectively complete the engagement. By following the IASPPS and the internal audit policies and procedures for planning, executing, and documenting audit engagements, internal auditors are essentially exercising due professional care. This Standard identifies fundamental elements that internal auditors must address to demonstrate due professional care.
11. After engagements are completed, the head of internal audit or the engagement supervisor generally reviews the engagement process, results, and conclusions. This may be followed by a meeting with the internal audit staff that conducted the engagement, to discuss relevant observations and have a supervisory assessment of how diligently the established procedures were followed.
12. Internal auditors' due professional care may be evidenced in engagement work papers or other forms of documenting the procedures and processes used during the audit engagement. Documented supervisory reviews of engagements, post-engagement surveys of auditees, or other forms of feedback could indicate the proficiency and due professional care exhibited by individual internal auditors. Independent external assessments performed as part of the quality assurance and improvement program may provide additional assurance that engagements were performed with proficiency and due professional care.

STANDARD 1230

Continuing Professional Development

Internal auditors must enhance their knowledge, skills, and other competencies through continuing professional development.

Philippine Application Guidelines 1230

1. In order to enhance their competencies and continue their professional development, internal auditors may want to reflect on their job requirements, including the training policies and the professional education requirements of their profession, agency, industry, and any certifications or areas of specialization.
2. Additionally, internal auditors may consider feedback from recent performance reviews, assessment results regarding their conformance with Internal Auditing Standards for the Philippine Public Sector (IASPPS), and the results of self-assessments based on agency's internal audit competency assessment tools or a similar benchmark. Reflecting on career goals may help internal auditors with long-term planning of their professional development.
3. An internal auditor may use a self-assessment tool as a basis for creating a professional development plan. The development plan may encompass on-the-job training; coaching; mentoring; and other internal and external training, volunteer, or certification opportunities. Typically, the internal auditor discusses the plan with the head of internal audit, and the two may agree to use the professional development plan as the basis for developing measures of the internal auditor's performance (i.e., key performance indicators), which could be incorporated into supervisory reviews, surveys of auditees, and annual performance reviews. The result of the reviews can help the head of internal audit and the internal auditor to prioritize areas for continuing professional development. Ultimately, the individual internal auditor is responsible for conforming with this Standard.
4. Opportunities for professional development include participating in conferences, seminars, training programs, online courses and webinars, self-study programs, or classroom courses; conducting research projects; volunteering with professional organizations; and pursuing professional

certifications. Continuing professional development related to a certain industry or specialization (e.g., data analytics, financial services, information technology, taxation law, or systems design) may lead to additional professional competencies that could enhance internal audit work in those specific areas.

5. At times, surveys of auditees may reveal a concern regarding internal auditors' agency acumen. The head of internal audit and internal auditors can address such concerns, by participating on various training or opportunities offered within their agency to better understand the operations.
6. To ensure internal auditors have the opportunity to enhance their knowledge, skills, and other competencies, the head of internal audit may establish a training and development policy that supports continuing professional development. Such policy may specify the minimum number of training hours for each auditor, such as 40 hours, which is consistent with many professional certification requirements. Head of internal audit may consider using benchmarking to assess current and emerging needs of the internal audit profession, as well as specific trends within the industry or specialized area.
7. To ensure their internal audit knowledge stays current on a day-to-day basis, internal auditors may seek guidance on Standards, best practices, procedures, and techniques that could affect the internal audit profession, or their agency and specific industry. This may involve maintaining current memberships in professional organizations, networking at local events, and monitoring or subscribing to feeds or notification services related to the internal audit profession and industry-specific news.

STANDARD 1300

Quality Assurance and Improvement Program

The head of internal audit must develop and maintain a quality assurance and improvement program (QAIP) that covers all aspects of the internal audit service (IAS).

Interpretation

A QAIP is designed to enable an evaluation of the IAS's conformance with the Internal Auditing Standards for the Philippine Public Sector (IASPPS) and an evaluation of whether internal auditors apply the Code of Ethics. The program also assesses the efficiency and effectiveness of the IAS and identifies opportunities for improvement. The head of internal audit should encourage oversight by the head of agency or the governing body/audit committee on the quality assurance and improvement program.

Philippine Application Guidelines 1300

1. This Standard tasks the head of internal audit with developing and maintaining a QAIP. The QAIP should encompass all aspects of operating and managing the IAS — including advisory engagements — as found in the elements of the Philippine Internal Auditing Framework for the Public Sector. It may also be beneficial for the QAIP to consider best practices in the internal audit profession.
2. The QAIP is designed to enable an evaluation of the IAS's conformance with IASPPS and to determine whether internal auditors apply Code of Ethics. As such, it must include ongoing and periodic internal assessments, as well as external assessments by a qualified independent assessor or assessment team (see Standard 1310).
3. The head of internal audit must have a thorough understanding of the elements of the IASPPS and the Code of Ethics. Generally, the head of internal audit meets with the head of agency or the governing body/audit

committee to gain an understanding of their expectations for the IAS, to discuss the importance of the IASPPS and the QAIP, and to encourage the support to QAIP.

4. Typically, the head of internal audit finds examples of how QAIPs are developed and implemented in other agencies — particularly those that are similar in nature and maturity — for benchmarking purposes.
5. A well-developed QAIP ensures that the concept of quality is embedded in the IAS and all of its operations. The IAS should not need to assess whether each individual engagement conforms with the IASPPS. Rather, engagements should be undertaken in accordance with an established methodology that promotes quality and, by default, conformance with the IASPPS. Additionally, the methodology should by itself spontaneously promote continuous improvement of the IAS.
6. As this Standard requires, the head of internal audit develops and maintains a QAIP that covers all aspects of the IAS. This is done with the ultimate goal of developing an effective IAS and with a scope and quality of work that include conformance with the IASPPS and application of the Code of Ethics. The QAIP enables an IAS to be evaluated for conformance with the IASPPS and assesses whether internal auditors apply the Code of Ethics. As such, the QAIP includes assessments of the IAS's efficiency and effectiveness, which help to identify opportunities for improvement. Assessments evaluate and conclude on the quality of the IAS and lead to recommendations for appropriate improvements.
7. The head of internal audit periodically evaluates the QAIP and updates it as needed. For example, as the IAS matures or as conditions within the IAS change, adjustments to the QAIP may become necessary to ensure that it continues to operate in an effective and efficient manner and to assure stakeholders that it adds value, by improving the agency's operations.
8. QAIPs include an evaluation of the following:
 - 8.1 Conformance with the Definition of Internal Auditing, the Code of Ethics, and the IASPPS, including timely corrective actions to remedy any significant instances of nonconformance;
 - 8.2 Adequacy of the internal audit charter, goals, objectives, policies, and procedures;

-
- 8.3 Contribution to the agency's governance, risk management, and control processes;
 - 8.4 Compliance with applicable laws, regulations, and government or industry standards;
 - 8.5 Effectiveness of continuous improvement activities and adoption of best practices; and
 - 8.6 Extent by which the IAS adds value and improves the agency's operations.
- 9. The QAIP efforts also include follow-up on recommendations involving appropriate and timely modification or updating/enhancement of resources, technology, processes, and procedures.
 - 10. To provide accountability and transparency, the head of internal audit communicates the results of external and, as appropriate, internal quality program assessments to the various stakeholders of the activity. At least annually, the head of internal audit reports to the head of agency or the governing body/audit committee on the quality program efforts and results.
 - 11. To implement this Standard, the head of internal audit must consider the requirements related to its five essential components, as follows:
 - 11.1 Internal Assessments (Standard 1311);
 - 11.2 External Assessments (Standard 1312);
 - 11.3 Communication of QAIP Results (Standard 1320);
 - 11.4 Proper Use of a Conformance Statement (Standard 1321); and
 - 11.5 Disclosure of Nonconformance (Standard 1322).

Internal Assessments

- 12. Internal assessments consist of ongoing monitoring of the performance of the IAS, periodic IAS self-assessments, or assessments by other personnel within the agency with sufficient knowledge of internal audit practices and

standards (see Standard 1311), which evaluate the IAS's conformance with the elements of the IASPPS, the quality and supervision of audit work performed, the adequacy of internal audit policies and procedures, the value the IAS adds to the agency, and the establishment and achievement of key performance indicators.

13. The head of internal audit should establish ongoing monitoring of the performance of IAS and ensure that reviews of the IAS occur periodically. Ongoing monitoring is primarily achieved through continuous activities such as planning and supervision of engagements; standardization of work practices, workpaper procedures and signoffs; reviewing of reports; identification of any weaknesses or areas in need of improvement; and creation of action plans to address them. Ongoing monitoring helps the head of internal audit determine whether internal audit processes are delivering quality on an engagement-by-engagement basis.
14. Periodic self-assessments are conducted to validate if ongoing monitoring is operating effectively to assess whether the IAS is in conformance with the IASPPS and to determine whether internal auditors apply the Code of Ethics. Through conformance with the IASPPS and Code of Ethics, the IAS also achieves alignment with the Definition of Internal Auditing and the Core Principles.

External Assessments

15. In addition to internal assessments, the head of internal audit is responsible for ensuring that the IAS conducts an external assessment at least once every five years (see Standard 1312). The purpose of the assessment, which must be performed by an independent assessor or by the assessment team outside the agency, is also to validate whether the IAS conforms with the IASPPS, and whether internal auditors apply the Code of Ethics.
16. A self-assessment may be performed in lieu of a full external assessment, provided it is validated by a qualified, independent, competent, and professional external assessor. In such cases, the scope of the self-assessment with external independent validation would consist of a comprehensive and fully documented self-assessment process, which emulates the full external process; and an independent, onsite validation by a qualified, independent assessor.

Communication of QAIP Results

17. The head of internal audit must communicate the results of the QAIP to the head of agency or the governing body/audit committee, as stated in Standard 1320. Such communication should include the following:
 - 17.1 Scope and frequency of both internal and external assessments;
 - 17.2 Qualifications and independence of the assessor(s) or assessment team;
 - 17.3 Conclusions of the assessors; and
 - 17.4 Any corrective action plans that have been created from the assessments to address areas that were not in conformance with the IASPPS, along with opportunities for improvement.

Proper Use of a Conformance Statement

18. The IAS conforms to the IASPPS and the Code of Ethics if the results of the QAIP, including both the internal and external assessments, support such a statement. Once an external assessment validates conformance with the IASPPS and the Code of Ethics, the IAS may continue to use the conformance statement until the next external assessment, as long as internal assessments continue to support such statement (see Standard 1321).

Disclosure of Nonconformance

19. If an internal or external assessment concludes that the IAS does not conform with the IASPPS, and the lack of conformance impacts the overall scope or operation of the IAS, the head of internal audit must disclose the nonconformance and its impact to senior management, head of agency or the governing body/audit committee (see Standard 1322).

STANDARD 1310

Requirements of the Quality Assurance and Improvement Program

The quality assurance and improvement program (QAIP) must include both internal and external assessments.

Philippine Application Guidelines 1310

1. This Standard provides the requirements that make up the QAIP, which covers all aspects of the internal audit service (IAS). Specifically, the Standard indicates that both internal and external assessments are required.
2. Internal assessments are composed of rigorous, comprehensive processes; continuous supervision and testing of internal audit and advisory work; periodic validations of conformance with the Internal Auditing Standards for the Philippine Public Sector (IASPPS); and continuous assessment of whether internal auditors apply the Code of Ethics.
3. External assessments provide an opportunity for an independent assessor or assessment team to conclude as to the IAS's conformance with the IASPPS, and the internal auditors' application of the Code of Ethics. These also provide the identification of areas for improvement. The QAIP also includes ongoing measurements and analyses of performance metrics, such as accomplishment of the internal audit plan, cycle time, recommendations accepted, and customer satisfaction.
4. Typically, the head of internal audit would be aware of any prior results, from both internal and external assessments, that indicate areas upon which the IAS can improve. In response, the head of internal audit would craft and implement action plans and methodologies related to any identified areas IAS can improve, through the QAIP.
5. The head of internal audit should ensure that reviews of the IAS occur periodically. This helps in determining whether internal audit processes are delivering quality on an engagement-by-engagement basis.

-
6. Assessments evaluate and conclude on the quality of the IAS, leading to recommendations for appropriate improvements.

STANDARD 1311

Internal Assessments

Internal assessments must include:

- Ongoing monitoring of the performance of the internal audit service (IAS); and
- Periodic self-assessments or assessments by other personnel within the agency with sufficient knowledge of internal audit practices.

Interpretation

Ongoing monitoring is an integral part of the day-to-day supervision, review, and measurement of the performance of the IAS. Ongoing monitoring is incorporated into the routine policies and practices used to manage the IAS; and uses processes, tools, and information considered necessary to evaluate conformance with the Code of Ethics and the Internal Auditing Standards for the Philippine Public Sector (IASPPS).

Periodic assessments are conducted to evaluate conformance with the Code of Ethics and the IASPPS.

Sufficient knowledge of internal audit practices requires at least an understanding of all elements of the Philippine Internal Auditing Framework for the Public Sector and existing laws, rules, and regulations.

Philippine Application Guidelines 1311

1. The two interrelated parts of internal assessments – ongoing monitoring of the performance of the IAS and periodic self-assessments or assessments by other personnel within the agency with sufficient knowledge of internal auditing practices and standards – provide an effective structure for the IAS to continuously assess its conformance with the IASPPS and determine whether internal auditors observe the Code of Ethics. Additionally, internal assessments also enable the IAS to identify improvement opportunities. The

head of internal audit should establish a regular and continuous internal assessment of IAS and ensure that review of the IAS occur periodically.

2. Ongoing monitoring of the performance of the IAS is primarily achieved through continuous close supervision and quality countercheck of the activities of the IAS, such as planning and supervision of engagements; standardization of work practices, workpaper procedures and signoffs; reviewing of reports; identification of any weaknesses or areas in need of improvement; and creation of action plans to address them.
3. Ongoing monitoring of the performance of the IAS helps the head of internal audit to determine whether internal audit processes are delivering prompt and quality output on an engagement-by-engagement basis. Generally, ongoing monitoring of performance occurs routinely throughout the year through the implementation of standard monitoring work tools and practices. To facilitate this, the head of internal audit may develop templates for internal auditors to use throughout engagements, ensuring consistency in the application of the IASPPS.
4. Additional mechanisms commonly used for ongoing monitoring of performance of IAS include:
 - 4.1 Checklists or automation tools to provide assurance on internal auditors' compliance with established practices and procedures, and to ensure consistency in the application of performance standards.
 - 4.2 Feedback from auditee and other stakeholders, regarding the efficiency and effectiveness of the internal audit team. Feedback may be solicited immediately following the engagement, or on a periodic basis (e.g., semi-annually or annually) via survey tools, or conversations between the head of internal audit and management/auditee.
 - 4.3 Staff and engagement key performance indicators (KPIs), such as the number of internal auditors on staff, their years of experience in internal auditing, the number of continuing professional development hours they earned during the year, timeliness of engagements, and stakeholder satisfaction.
 - 4.4 Other measurements that may be valuable in determining the efficiency and effectiveness of the IAS. Measures of project budgets, timekeeping systems, and audit plan completion, may help to determine whether the

appropriate amount of time is spent, on all aspects of the audit engagement. Budget to actual variance can also be valuable measurement to determine the efficiency and effectiveness of the IAS.

5. In addition to validating conformance with the IASPPS and Code of Ethics, ongoing monitoring of IAS's performance may identify opportunities to improve the IAS. In such cases, the head of internal audit typically addresses these opportunities and develop an action plan. Once changes are implemented, key performance indicators can be used to monitor success. Results of ongoing monitoring of IAS performance should be reported to the head of agency or the governing body/audit committee, at least annually.
6. Periodic self-assessments have a different focus than ongoing monitoring of IAS's performance, in that the former generally provides a more holistic, comprehensive review of the IASPPS and the IAS. In contrast, ongoing monitoring is generally focused on reviews conducted at the engagement level. Additionally, periodic self-assessments address conformance with every Standard, whereas ongoing monitoring is more frequently focused on the performance standards at the engagement level.
7. Periodic self-assessments are generally conducted by senior members of the IAS, a dedicated quality assurance team or individual within the IAS who has extensive experience with the IASPPS and Code of Conduct, internal auditors, or other competent internal audit professionals who may be assigned elsewhere in the agency. Whenever possible, it is advantageous to include IAS's staff in the self-assessment process, as it can serve as a useful training opportunity to improve the internal auditor's understanding of the IASPPS and Code of Ethics.
8. The IAS conducts periodic self-assessments to validate its continued conformance with the IASPPS and Code of Ethics, and to evaluate the following:
 - 8.1 Quality and supervision of work performed;
 - 8.2 Adequacy and appropriateness of internal audit policies and procedures;
 - 8.3 Ways in which the IAS adds value;
 - 8.4 Achievement of key performance indicators (KPIs); and

-
- 8.5 Degree to which stakeholders' expectations are met.
9. The individual or team conducting the self-assessment typically assesses each standard to determine whether the IAS is operating in conformance. This may include in-depth interviews and surveys of stakeholders. Through this process, the head of internal audit is typically able to assess the quality of the IAS's audit practices, including adherence to policies and procedures for conducting engagements. Periodic self-assessments may be conducted by a member of the IAS or by other persons within the agency with sufficient knowledge of internal audit practices, specifically IASPPS and Code of Ethics.
10. The IAS may perform additional steps to support the periodic self-assessment, such as conducting post-engagement reviews or analyzing KPIs.
- 10.1 **Post-engagement review** – The IAS may select a sample of engagements from a particular timeframe, and then conduct a review to assess compliance with internal audit policies (see Standard 2040) and conformance with the IASPPS and Code of Ethics. These reviews are typically conducted by internal audit staff members who were not involved in the audit engagement sampled for assessment. In a larger or more mature agency, this process may be handled by a quality assurance specialist or team. In smaller agencies, the head of internal audit or the individual responsible for reviewing workpapers may use a checklist, completed after the final report is issued, to accomplish this review and close the file.
- 10.2 **KPI analysis** – The IAS may also monitor and analyze KPIs related to the efficiency of standard internal audit work practices (e.g., budget to actual engagement hours, percentage of the audit plan completed, number of days between fieldwork completion and report issuance, percentage of audit observations implemented, and timeliness of corrections related to audit observations). Other commonly used metrics include the number of certified internal auditors among the staff, their years of experience in internal auditing, and the number of continuing professional development hours they earned during the year.
11. A periodic self-assessment performed shortly before an external assessment may help reduce the time and effort required to complete the external assessment (see Standard 1312).

-
12. Conclusions are developed as to quality of performance and appropriateness of action initiated to achieve improvements and conformity to IASPPS, as necessary.
 13. The head of internal audit establishes a structure for reporting results of internal assessments that maintains appropriate credibility and objectivity. Generally, those assigned with responsibility for conducting ongoing and periodic reviews report to the head of internal audit while performing the reviews, and communicate results directly to the head of internal audit.
 14. At least annually, the head of internal audit reports the results of internal assessments, necessary action plans, and their successful implementation to the head of agency or the governing body/audit committee.

STANDARD 1312

External Assessments

External assessments must be conducted at least once every five years by a qualified, independent assessor or assessment team from outside the agency, subject to existing laws, rules, and regulations. The head of internal audit must discuss with the head of agency or the governing body/audit committee the following:

- The form and frequency of external assessment; and
- The qualifications and independence of the external assessor or assessment team, including any potential conflict of interest.

Interpretation

External assessments enhance a complete quality assurance and improvement program (QAIP), and may be accomplished through a full external assessment or a self-assessment with independent external validation. The external assessor must conclude as to conformance with the Code of Ethics and the Internal Auditing Standards for the Philippine Public Sector (IASPPS) of the internal audit service (IAS); the external assessment may also include operational or strategic comments.

A qualified assessor or assessment team demonstrates competence in two areas: the professional practice of internal auditing and the external assessment process. Competence can be demonstrated through a mixture of experience and theoretical learning. Experience gained in agencies of similar size, complexity, sector or industry, and technical issues is more valuable than less relevant experience. In the case of an assessment team, not all members of the team need to have all the competencies; it is the team as a whole that is qualified. The head of internal audit uses professional judgment when assessing whether an assessor or assessment team demonstrates sufficient competence to be qualified.

An independent assessor or assessment team means not having either an actual or a perceived conflict of interest, and not being a part of, or under the control of the agency to which the IAS belongs.

Philippine Application Guidelines 1312

1. As this Standard indicates, the head of internal audit is responsible for ensuring that the IAS conducts an external assessment at least once every five years by an independent assessor, or assessment team outside the agency.
2. External assessments of an IAS contain an expressed conclusion as to the entire spectrum of assurance and advisory work performed (or that should have been performed, based on the internal audit charter) by the IAS, including its conformance with the Definition of Internal Auditing, the Code of Ethics, and the IASPPS, where appropriate, these also include recommendations for improvement. Apart from conformance with the Definition of Internal Auditing, the Code of Ethics, and the IASPPS, the scope of the assessment is adjusted at the discretion of the head of internal audit, senior management, or the head of agency or the governing body/audit committee. Thus, it is crucial that the head of internal audit regularly reviews the IASPPS and is aware of any changes that may need to be communicated throughout the IAS.
3. The head of internal audit must have an understanding of different types of external assessments, and various resources available to provide such services. The head of internal audit is also typically aware of any procurement policies his or her agency may have related to securing an external services provider. In addition, the head of internal audit should be aware of independence requirements for the external assessor or assessment team and understand situations that may impair independence or objectivity or create a conflict of interest.
4. Typically, the head of internal audit has discussions with senior management, and the head of agency or the governing body/audit committee regarding the frequency and type of external assessment that will be performed. Such discussions enable the head of internal audit to educate stakeholders and to gain an understanding of, and appreciation for the agency's expectations. However, upon discussing these requirements with senior management, the head of internal audit may determine that it is appropriate to conduct an external assessment more frequently.
5. There are several reasons to consider a more frequent review, including changes in leadership (e.g., senior management, head of agency or the

governing body/audit committee, or the head of internal audit), significant changes in internal audit policies or procedures, merger of two or more audit organizations into one IAS, or significant staff turnover. Additionally, industry-specific or environmental issues may warrant more frequent review.

6. To achieve optimum benefits from an external assessment, the scope of work should include benchmarking, identification, and reporting of leading practices that could assist the IAS in becoming more efficient and/or effective. Upon completion of the review, a formal communication is to be given to senior management, the head of agency or the governing body/audit committee.
7. There are two approaches to external assessments. The first approach is a full external assessment conducted by a qualified, independent external reviewer or review team. This approach involves an outside team of competent professionals under the leadership of an experienced and professional project manager. The second approach involves the use of a qualified, independent external reviewer or review team to conduct an independent validation of the internal self-assessment and report completed by the IAS. Independent external reviewers should be well versed in leading internal audit practices.
8. Individuals who perform the external assessment are free from any obligation to, or interest in the agency whose IAS is the subject of the external assessment, or the personnel of such agency. Particular matters relating to independence, that are to be considered by the head of internal audit in consultation with the head of agency or the governing body/audit committee, in selecting a qualified, independent external reviewer or review team include the following:
 - 8.1 Any real or apparent conflict of interest in firms that provide the following:
 - 8.1.1 External audit of financial statements;
 - 8.1.2 Significant advisory services in the areas of governance, risk management, financial reporting, internal control, and other related areas; and
 - 8.1.3 Assistance to the IAS, of which the significance and amount of work performed by the professional service provider is to be considered in the deliberation.

-
- 8.2 Any real or apparent conflict of interest of former employees of the agency who would perform the assessment. Consideration should be given to the length of time the individual has been independent of the agency.
- 8.3 Individuals who perform the assessment are independent of the agency whose IAS is the subject of the assessment. They do not have any real or apparent conflict of interest. “Independent of the agency” means not a part of, or under the control of the agency to which the IAS belongs. In the selection of a qualified, independent external reviewer or review team, consideration is to be given to any real or apparent conflict of interest the reviewer may have due to present or past relationships with the agency or its IAS, including the reviewer’s participation in internal quality assessments.
- 8.4 Individuals in another department of the subject agency or in a related agency, although organizationally separate from the IAS, are not considered independent for purposes of conducting an external assessment. A “related agency” may be a parent agency; an affiliate in the same group of agencies; or an agency with regular oversight, supervision, or quality assurance responsibilities with respect to the subject agency.
- 8.5 Real or apparent conflict involving peer review arrangements. Peer review arrangements among three or more agencies (e.g., within an industry or other affinity group, regional association, or other group of agencies – except as precluded by the “related agency” definition in the previous point) may be structured in a manner that alleviates independence concerns, but care is taken to ensure that the issue of independence does not arise. Peer reviews between two agencies would not pass the independence test.
- 8.6 To overcome concerns of the appearance or reality of impairment of independence, in instances such as those discussed in this section, one or more independent individuals could be part of the external assessment team, to independently validate the work of that external assessment team.
9. Integrity requires reviewer(s) to be honest and candid within the constraints of confidentiality. Service and public trust should not be subordinated to

personal gain and advantage. Objectivity is a state of mind and a quality that lends value to the reviewer(s)' services. The principle of objectivity imposes the obligation to be impartial, intellectually honest, and free of conflict of interest.

10. Regardless of which approach is selected for the external assessment, a qualified, independent external assessor or assessment team must be retained to complete the assessment. The head of internal audit usually consults with senior management, and the head of agency or the governing body/audit committee to select the assessor or assessment team. The selection of the assessor shall be subject to existing laws, rules, and regulations. Assessors or assessment teams must be competent in two main areas: the professional practice of internal auditing (including current in-depth knowledge of the IASPPS) and the external quality assessment process. Preferred qualifications and competencies generally include the following:
 - 10.1 Certification as an internal audit professional (e.g., Certified Internal Auditor);
 - 10.2 Knowledge of leading internal auditing practices; and
 - 10.3 Sufficient recent experience in the practice of internal auditing at a management level, which demonstrates a working knowledge and application of the IASPPS.
11. Agencies may seek additional qualifications and competencies for assessment team leaders and independent validators, including the following:
 - 11.1 An additional level of competence and experience gained from previous external assessment work;
 - 11.2 Completion of quality assessment training course or similar training;
 - 11.3 The head of internal audit's (or comparable senior internal audit management) experience; and
 - 11.4 Relevant technical expertise and industry experience.
12. Individuals with expertise in other areas may provide assistance, as appropriate. Examples include specialists in enterprise risk management,

information technology auditing, statistical sampling, systems monitoring, and control self-assessment.

13. The head of internal audit should determine the skills desired for the external assessment and use professional judgment to select the assessor or assessment team. Based on the needs of the IAS, the head of internal audit may prefer individuals with internal audit experience in an agency of a similar size, complexity, and industry, as these professionals may be more valuable. Each individual in the team does not need to possess all of the preferred competencies. Rather, the team as a whole should possess the necessary qualifications to provide the best results.
14. The external assessment consists of a broad scope that includes the following elements of the IAS:
 - 14.1 Conformance with the Definition of Internal Auditing; the Code of Ethics; the IASPPS; the IAS's charter, plans, policies, procedures, and practices; and applicable legislative and regulatory requirements;
 - 14.2 Expectations of the IAS expressed by the senior management, head of agency or the governing body/audit committee, and operational managers;
 - 14.3 Integration of the IAS into the agency's governance process, including the relationships between and among the key groups involved in the process;
 - 14.4 Tools and techniques employed by the IAS;
 - 14.5 Mix of knowledge, experience, and disciplines within the staff, including staff focus on process improvement; and
 - 14.6 Determination as to whether or not the IAS adds value and improves the agency's operations.
15. The preliminary results of the review are discussed with the head of internal audit during and at the conclusion of the assessment process. Final results are communicated to the head of internal audit or other official(s) who authorized the review for the agency, preferably with copies sent directly to appropriate members of senior management, head of agency or the governing body/audit committee.

16. The communication includes the following:

- 16.1 A conclusion on the IAS's conformance with the Definition of Internal Auditing, the Code of Ethics, and the IASPPS based on a structured rating process. The term "conformance" means the practices of the IAS, taken as a whole, satisfy the requirements of the Definition of Internal Auditing, the Code of Ethics, and the IASPPS. Similarly, "nonconformance" means the impact and severity of the deficiencies in the practices of the IAS are so significant that these impair the IAS's ability to discharge its responsibilities. The degree of "partial conformance" with the Definition of Internal Auditing, the Code of Ethics, and/or individual standards relevant to the overall conclusion should also be expressed in the report on the independent assessment. The expression of a conclusion on the results of the external assessment requires the application of sound judgment, integrity, and due professional care;
 - 16.2 An assessment and evaluation of the use of best practices, both those observed during the assessment and those potentially applicable to the activity;
 - 16.3 Recommendations for improvement, where appropriate; and
 - 16.4 Responses from the head of internal audit that include an action plan and implementation dates.
17. To provide accountability and transparency, the head of internal audit communicates the results of external quality assessments - including specifics of planned remedial actions for significant issues and subsequent information as to accomplishment of those planned actions - with the various stakeholders of the activity, such as senior management, head of agency or the governing body/audit committee, and external auditors.

Self-Assessment with Independent Validation

18. A self-assessment with independent (external) validation includes the following:
- 18.1 A comprehensive and fully documented self-assessment process, which emulates the external assessment process, at least with respect to

evaluation of conformance with the Definition of Internal Auditing, the Code of Ethics, and the IASPPS;

- 18.2 An independent, on-site validation by a qualified, independent reviewer;
 - 18.3 Economical time and resource requirements; e.g., the primary focus would be on conformance with the IASPPS; and
 - 18.4 Limited attention to other areas, such as benchmarking, review and consultation as to employment of leading practices, and interviews with senior and operating management, may be reduced. However, the information produced by these parts of the assessment is one of the benefits of an external assessment.
- 19. The same guidance and criteria would apply for a self-assessment with independent validation.
 - 20. A team under the direction of the head of internal audit performs and fully documents the self-assessment process. A draft report, similar to that for an external assessment, is prepared including the head of internal audit's judgment on conformance with the IASPPS.
 - 21. A qualified, independent reviewer or review team performs sufficient tests of the self-assessment to validate the results and express the indicated level of the activity's conformance with the Definition of Internal Auditing, the Code of Ethics, and the IASPPS.
 - 22. As part of the independent validation, the external reviewer does the following activities:
 - 22.1 Reviews the draft report and attempts to reconcile unresolved issues (if any);
 - 22.2 If in agreement with the conclusion of conformance with the Definition of Internal Auditing, the Code of Ethics, and the IASPPS, adds wordings (as needed) to the report, concurring with the self-assessment process and conclusion and - to the extent deemed appropriate - in the report's observations, conclusions, and recommendations;
 - 22.3 If not in agreement with the evaluation, adds dissenting wordings to the report, specifying the points of disagreement with it and - to the

extent deemed appropriate - with the significant observations, recommendations, and conclusions in the report; and

- 22.4 Alternatively, may prepare a separate independent validation report - concurring or expressing disagreement as outlined above - to accompany the report of the self-assessment.
23. The final report(s) of the self-assessment with independent validation is signed by the self-assessment team and the qualified, independent external reviewer(s). These are issued by the head of internal audit to senior management, head of agency or the governing body/audit committee.
24. To provide accountability and transparency, the head of internal audit communicates the results of external quality assessments - including specifics of planned remedial actions for significant issues and subsequent information as to accomplishment of those planned actions - with the various stakeholders of the activity, such as senior management, the head of agency or the governing body/audit committee, and external auditors.

Independence of the External Assessment Team in the Public Sector

25. The term “public sector” includes all tiers of government and government-owned or -controlled corporations. In the public sector, IAS’s at the different tiers of government may be independent for the purpose of external assessments.
26. Quasi-governmental bodies (for example, the United Nations and the European Commission) include agencies, bodies, and companies that are owned or controlled by multiple governments. Such international agencies, due to their multilateral nature, should follow the guidelines for the private sector.
27. All members of the assessment team who perform the external assessment are to be independent of that agency and its IAS’s personnel. In particular, members of the assessment team should have no real or perceived conflicts of interest with the agency and/or its personnel. Areas to be considered in assessing independence of the assessment team include the following:
- 27.1 Independent of the agency means not being under the influence of the agency whose IAS is being assessed. The selection process for an external assessor is to consider real, potential, or perceived conflicts of

interest. Conflicts of interest may arise from past, present, or potential future relationships with the agency or its IAS. Relationships to be considered include those of a personal or commercial nature or both.

- 27.2 Within the public sector, individuals working in separate IAS of a different agencies within the same tier of government (national, provincial, municipal, or city government) may be considered independent for purposes of performing external assessments.
 - 27.3 Where one or more IAS within the same tier of government report to the same head of internal audit, individuals are not considered independent for purposes of performing external assessments, even if they work in separated agencies. Only assessors, independent to each of these agencies may perform external assessments.
 - 27.4 Reciprocal external assessment team arrangements between three or more agencies may be structured in a manner that achieves the independence objective. Care is to be taken to ensure that the issue of independence will not arise, and that all team members will be able to fully exercise their responsibilities without limitation, due to matters such as that of confidentiality. Reciprocal external assessment performance between two agencies is not acceptable for the purposes of an external assessment.
- 28. The independence of the assessment team, including potential conflicts of interest, is to be discussed with the senior management, and the head of agency or the governing body/audit committee.
 - 29. When selecting the team to perform the assessment, the head of internal audit should consider the extent of its public sector experience.

STANDARD 1320
**Communicating Results of the Quality Assurance
and Improvement Program**

The head of internal audit must communicate the results of the quality assurance and improvement program (QAIP) to senior management, and the head of agency or the governing body/audit committee.

Disclosure should include the following:

- The scope and frequency of both the internal and external assessments;
- The qualifications and independence of the assessor(s), or assessment team, including potential conflicts of interest;
- Conclusions of assessors; and
- Corrective action plans.

Interpretation

The form, content, and frequency of communicating the results of the quality assurance and improvement program is established through discussions with senior management, and the head of agency, or the governing body/audit committee, and considers the responsibilities of the internal audit service (IAS) and the head of internal audit, as contained in the internal audit charter.

To demonstrate conformance with the Code of Ethics and the Internal Auditing Standards for the Philippine Public Sector (IASPPS), the results of external and periodic internal assessments are communicated upon completion of such assessments, and the results of the ongoing monitoring of the performance of IAS are communicated at least annually. The results include the assessor's or assessment team's evaluation, with respect to the degree of conformance.

Philippine Application Guidelines 1320

1. This Standard communicates the minimum criteria that the head of internal audit must report to senior management, and the head of agency or the governing body/audit committee, related to the QAIP. Reviewing the

requirements related to each element in the Standard may help the head of internal audit prepare to implement this Standard.

2. As this Standard indicates, the head of internal audit is responsible for communicating results of the entire program. To do this, the head of internal audit must understand the requirements of the QAIP (see Standard 1300). Typically, the head of internal audit meets regularly with senior management, and the head of agency or the governing body/audit committee to understand and agree upon the expectations for communications surrounding the IAS, including those regarding the QAIP. The head of internal audit also considers the responsibilities related to the QAIP that are outlined in the internal audit charter.
3. The head of internal audit should be aware of any internal assessments, including periodic assessments and ongoing monitoring of the performance of IAS, as well as completed external assessments. As such, the head of internal audit should have an understanding of the IAS's degree of conformance with the IASPPS and the Code of Ethics.
4. Typically, details regarding the QAIP are documented in the policies and procedures manual for the IAS (see Standard 2040) and the internal audit charter (see Standard 1010). The head of internal audit may begin by reviewing this information to understand the communication requirements related to reporting on the QAIP, which include the following four core elements:
 - 4.1 Scope and frequency of internal and external assessments;
 - 4.2 Qualifications and independence of the assessors;
 - 4.3 Conclusions of assessors; and
 - 4.4 Corrective action plans and progress.

Scope and Frequency of Internal and External Assessments

5. The scope and frequency of both internal and external assessments must be discussed with the senior management, and head of agency or the governing body/audit committee (see Standards 1311 and 1312). The scope should consider the responsibilities of the IAS and the head of internal audit, as

contained in the internal audit charter. The scope may include expectations to the IAS expressed by the senior management, head of agency or the governing body/audit committee, and other stakeholders. It may also include internal audit practices assessed against the IASPPS, as well as any other regulatory requirements that may impact the IAS. The frequency of external assessments varies depending on the size and maturity of the IAS.

Internal Assessments

6. The head of internal audit should establish a means for communicating the results of internal assessments, at least annually, to enhance the credibility and objectivity of the IAS. The interpretation of this Standard states that the results of periodic internal assessment should be communicated upon completion of such assessments, and the results of ongoing monitoring of the performance of IAS should be communicated at least annually.
7. Periodic internal assessments may include an evaluation of the IAS's conformance with the IASPPS, to support the IAS's statement of conformance (see Standard 1321). Larger agency may conduct periodic internal assessments annually, while smaller or less mature IAS's may perform them less frequently (e.g., every two years). For example, the IAS may perform a periodic assessment over a multi-year period and report on the results of the work conducted during each period separately.
8. Ongoing monitoring of the performance of IAS typically includes reporting on internal audit key performance indicators. The head of internal audit may provide an annual report to senior management, and the head of agency or the governing body/audit committee regarding the results of ongoing monitoring of the performance of the IAS. He may also include any recommendations for improvement.
9. Generally, those assigned with the responsibility for conducting ongoing monitoring of the performance of the IAS, periodic self-assessments or assessments by other persons within the agency with sufficient knowledge of internal audit practices and standards, and internal assessments communicate the results of such assessments directly to the head of internal audit while performing the assessments.
10. In a smaller IAS, the head of internal audit may take a greater direct role in the internal assessment process. The results of internal assessments include, where appropriate, corrective action plans and progress against completion.

The head of internal audit may distribute internal assessment reports to various stakeholders, including senior management, the head of agency or the governing body/audit committee, and external auditors.

External Assessments

11. The head of internal audit must discuss the frequency of external assessments with senior management, and the head of agency or the governing body/audit committee. The IASPPS requires the IAS to undergo an external assessment periodically, at least once every five years. However, upon discussing these requirements with the senior management, and the head of agency or the governing body/audit committee, the head of internal audit may determine that it is appropriate to conduct an external assessment more frequently.
12. There are several reasons to consider a more frequent review, including changes in leadership (e.g., senior management or the head of internal audit), significant changes in internal audit policies or procedures, merger of two or more audit organizations into one IAS, or significant staff turnover. Additionally, industry-specific or environmental issues may warrant more frequent review.

Conclusion of Assessors

13. External assessment reports include the expression of an opinion or conclusion on the results of the external assessment. In addition to concluding on the IAS's overall degree of conformance with the IASPPS, the report may include an assessment for each standard and/or standard series. The head of internal audit should explain the rating conclusion(s) and the impact of results to senior management, and the head of agency or the governing body/audit committee. Examples of rating scales that may be used to show the degree of conformance are the following:
 - 13.1 **Generally conforms** – This is the top rating, which means that the IAS has charter, policies, and processes, the execution and results of which are judged to be in conformance with the IASPPS.
 - 13.2 **Partially conforms** – Deficiencies in practice are judged to deviate from the IASPPS, but these deficiencies did not preclude the IAS from performing its responsibilities.

13.3 **Does not conform** – Deficiencies in practice are judged to be so significant that these seriously impair or preclude the IAS from adequately performing in all or in significant areas of its responsibilities.

Corrective Action Plans

14. During an external assessment, the assessor may provide opportunities for improvement and recommendations to address areas that are not in conformance with the IASPPS. The head of internal audit should communicate to senior management, and the head of agency or the governing body/audit committee any action plans to address recommendations from the external assessment.
15. The head of internal audit may also consider adding the external assessment recommendations and action plans to the IAS's existing monitoring processes related to internal audit engagement findings (see Standard 2500). After recommendations identified during external assessment have been implemented, the head of internal audit generally communicates this to the head of agency or the governing body/audit committee, either as part of the IAS's monitoring progress, or by following up separately through the next internal assessment (see Standard 1311), as part of the QAIP.

STANDARD 1321
**Use of “Conforms with the Internal Auditing
Standards for the Philippine Public Sector”**

Indicating that the internal audit service (IAS) conforms with the Internal Auditing Standards for the Philippine Public Sector (IASPPS) is appropriate only if supported by the results of the quality assurance and improvement program.

Interpretation

The IAS conforms with the Code of Ethics and IASPPS when it achieves the outcomes described therein. The results of the quality assurance and improvement program (QAIP) include the results of both internal and external assessments. All IAS will have the results of internal assessments. IAS in existence for at least five years will also have the results of external assessments.

Philippine Application Guidelines 1321

1. Both internal and external assessments of the IAS are performed to evaluate and express an opinion on the IAS's conformance with the IASPPS and the Code of Ethics. They may also include recommendations for improvement.
2. The head of internal audit should have an understanding of the requirements for a QAIP and be familiar with the results from recent internal and external assessments of the IAS. The head of internal audit typically also has an understanding of the head of agency or the governing body/audit committee's expectations regarding use of the statement “Conforms with the IASPPS.” The head of internal audit may discuss such usage with the head of agency or the governing body/audit committee periodically to gain and maintain an understanding of their expectations on the matter.
3. Internal auditors may only communicate — in verbal or writing — that the IAS conforms with the IASPPS if results of the QAIP, including both the internal and external assessment results, as required by Standard 1312, support such a statement. Once an external assessment validates conformance

with the IASPPS, the IAS may continue to use the statement — as long as internal assessments continue to support such a statement — until the next external assessment.

4. The following scenarios demonstrate guidance in the proper use of the conformance statement:
 - 4.1 If the results of either the current internal assessment or most recent external assessment do not confirm general conformance with the IASPPS and the Code of Ethics, the IAS must discontinue indicating that it is operating in conformance.
 - 4.2 If an IAS has been in existence at least five years and has not completed an external assessment, IAS may not indicate that it is operating in conformance with the IASPPS.
 - 4.3 If an IAS has undergone an external assessment within the past five years but has not conducted an internal assessment based on disclosures to the head of agency or the governing body/audit committee on the frequency of internal assessment, the head of internal audit should consider whether it is still operating in conformance, and, if appropriate, to indicate conformance until validated by an internal assessment.
 - 4.4 An IAS that has been in existence fewer than five years may indicate that it is operating in conformance with the IASPPS, only if a documented internal assessment (i.e., the periodic self-assessment) supports that conclusion.
 - 4.5 If it has been more than five years since the last external assessment was conducted in accordance with Standard 1312, the IAS must cease indicating that it operates in conformance, until a current external assessment is completed and supports that conclusion.
 - 4.6 If an external assessment reflects an overall conclusion that IAS was not operating in conformance with the IASPPS, the IAS must immediately discontinue using any statements that indicate conformance with the IASPPS. The IAS may not resume the use of a conformance statement until it has remediated the nonconformance and conducted an external assessment to validate an overall assessment of conformance with the IASPPS.

-
5. It is important to note that the different standards in the IASPPS are principle-based. In assessing conformance with the IASPPS, there may be situations where the IAS achieves only partial conformance with one or more standards. The IAS demonstrates a clear intent and commitment to ultimately achieving the Core Principles on which the IASPPS are based but may have some improvement opportunities to achieve full conformance with the IASPPS. In such cases, the IAS should consider the overall conformance conclusion when determining its ability to use the conformance statement.
 6. In a situation where a specific engagement fails to achieve conformance with the IASPPS, the IAS may be required to disclose the lack of conformance. The head of internal audit is responsible for disclosing such instances of nonconformance (see Standard 1322).

STANDARD 1322

Disclosure of Nonconformance

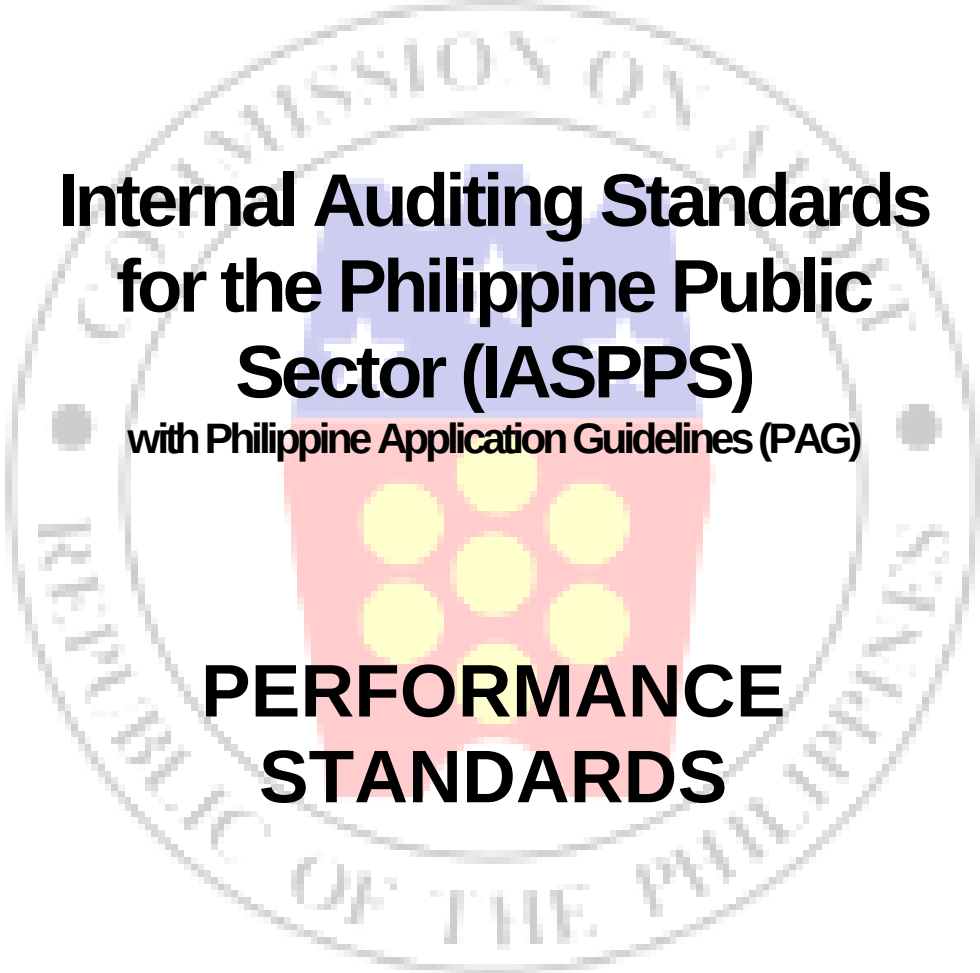
When nonconformance with the Code of Ethics or the Internal Auditing Standards for the Philippine Public Sector (IASPPS) impacts the overall scope or operation of the internal audit service (IAS), the head of internal audit must disclose the nonconformance and the impact to senior management, and head of agency or the governing body/audit committee.

Philippine Application Guidelines 1322

1. The head of internal audit is responsible for ensuring that the IAS undergoes ongoing monitoring of its performance, periodic self-assessments, and independent external assessments, as required by the Quality Assurance and Improvement Program (QAIP). These internal and external assessments are performed, in part, to evaluate and express an opinion regarding the IAS's conformance with IASPPS and the Code of Ethics. The head of internal audit should be familiar with the results from recent internal and external assessments of the IAS.
2. This Standard is applicable in instances where the head of internal audit concludes that the IAS does not conform with the IASPPS and Code of Ethics, and the lack of conformance may impact the overall scope or operation of the IAS. It is important that the head of internal audit has an understanding of the elements of the IASPPS, how potential conformance deviations may affect the overall scope of the IAS, and the expectations of the senior management, and head of agency or the governing body/audit committee, for reporting any conformance issues.
3. The results of any internal and external assessments and the level of internal audit conformance with the IASPPS must be communicated to senior management, the head of agency or the governing body/audit committee at least annually. These assessments may uncover impairments to independence or objectivity, scope restrictions, resource limitations, or other conditions that may affect the IAS's ability to fulfil its responsibilities to stakeholders. Such nonconformance is typically reported to the head of

agency or the governing body/audit committee when identified and recorded in minutes of the meeting.

4. If an IAS fails to undergo an external assessment at least once every five years, it would be unable to state that it conforms with the IASPPS (see Standard 1321). In such a case, the head of internal audit would evaluate the impact of this nonconformance.
5. Other common examples of nonconformance may include, but are not limited to, the following situations:
 - 5.1 An internal auditor was assigned to an audit engagement, but did not meet individual objectivity requirements (see Standard 1120).
 - 5.2 An IAS undertook an engagement without having the collective knowledge, skills, and experience needed to perform its responsibilities (see Standard 1210). and
 - 5.3 The head of internal audit failed to consider risk when preparing the internal audit plan (see Standard 2010).
6. In such cases, the head of internal audit need to evaluate the nonconformance and determine whether it impacts the overall scope or operation of the IAS. It is also important for the head of internal audit to consider whether, and how much, a nonconformance situation may affect the IAS's ability to fulfill its professional responsibilities and/or the expectations of stakeholders. Such responsibilities may include the ability to provide reliable assurance on specific areas within the agency, to complete the audit plan, and to address high-risk areas.
7. After such consideration, the head of internal audit will disclose the nonconformance and its impact to senior management, the head of agency or the governing body/audit committee. Often, disclosures of this nature involve a discussion with senior management and communication to the head of agency or the governing body/audit committee during a meeting. The head of internal audit may also discuss nonconformance during private sessions, one-on-one meetings, or other appropriate methods of discussion with the head of agency or the governing body/audit committee.



Internal Auditing Standards for the Philippine Public Sector (IASPPS)

with Philippine Application Guidelines (PAG)

PERFORMANCE STANDARDS

STANDARD 2000

Managing the Internal Audit Service

The head of internal audit must effectively manage the internal audit service (IAS) to ensure it adds value to the agency.

Interpretation

The IAS is effectively managed when it meets the following requisites:

- i. It achieves the purpose, authority, and responsibility included in the internal audit charter.*
- ii. It conforms with Internal Auditing Standards for the Philippine Public Sector (IASPPS).*
- iii. Its individual members conform with the Code of Ethics and the IASPPS.*
- iv. It considers trends and emerging issues that could impact the agency.*

The IAS adds value to the agency and its stakeholders when it considers strategies, objectives, and risks; strives to offer ways to enhance governance, risk management, and control processes; and objectively provides relevant assurance.

Philippine Application Guidelines 2000

1. This Standard communicates the minimum criteria that the head of internal audit must fulfill in managing the IAS. Reviewing the requirements related to each element in the Interpretation may help the head of internal audit prepare to implement this Standard.
2. The head of internal audit is responsible for managing the IAS, in a way that enables the IAS as a whole to conform with the IASPPS and individual internal auditors to conform with the IASPPS and Code of Ethics. Thus, it is crucial that the head of internal audit regularly reviews the IASPPS to address the details of conformance.

-
3. The head of internal audit may consider the following fundamentals needed to fulfill the principle that the IAS adds value to the agency:
 - 3.1 Review the IAS's purpose, authority, and responsibility, which was agreed upon by the head of internal audit, the senior management, and the head of agency or the governing body/audit committee and was recorded/captured in the internal audit charter.
 - 3.2 Study the organizational chart to help the head of internal audit identify the agency's stakeholders, structure, and reporting relationships.
 - 3.3 Study the agency's strategic plan to give the head of internal audit insight into the agency's strategies, objectives, and risks. The risks considered should include trends and emerging issues such as those involving the agency's industry, the internal audit profession itself, regulatory requirements, and political and economic situations.
 - 3.4 Gather additional input by discussing/presenting the strategic plan with the senior management, and the head of agency or the governing body/audit committee.
 4. These forethought and preparations lay the groundwork for the head of internal audit to manage the IAS in a way that adds value, by enhancing the agency's governance, risk management, and control processes and by providing relevant assurance. After considering the aforementioned information, the head of internal audit develops an internal audit strategy and approach that align with the goals and expectations of the agency's leadership.
 5. In the internal audit plan, the head of internal audit typically defines the IAS's scope and deliverables, specifies the resources needed to achieve the plan, outlines an approach to develop the IAS, and measures its performance and progress against the plan.
 6. To implement a systematic and disciplined approach to managing the IAS, the head of internal audit considers IASPPS in establishing internal audit policies and procedures. The internal audit policy and procedure documents are often assembled into an internal audit manual, to be used by the IAS. The documents may include methods and tools for training internal auditors. The head of internal audit may require internal auditors to acknowledge by signature that they have read and understood the policies and procedures.

-
7. The head of internal audit ensures effective management by monitoring conformance with the IASPPS, both at the level of the individual internal auditor and the IAS as a whole.
 8. The head of internal audit must evaluate the IAS's effectiveness to achieve conformance with this Standard. Typically, the head of internal audit develops metrics for evaluating the efficiency and effectiveness of the IAS. Tools that the head of internal audit may use for this purpose include soliciting feedback through post-audit surveys of auditees, completing annual performance reviews of individual internal auditors, implementing the quality assurance and improvement program, and comparing (benchmarking) the agency's IAS against contemporary internal audit groups.

STANDARD 2010

Planning

The head of internal audit must establish a risk-based plan to determine the priorities of the internal audit service (IAS) consistent with the agency's goals.

2010.1 - The IAS's plan of engagements must be based on a documented risk assessment, undertaken at least annually. The input of senior management, and the head of agency or the governing body/audit committee must be considered in this process.

2010.2 - The head of internal audit must identify and consider the expectations of the senior management, the head of agency or the governing body/audit committee, and other stakeholders for internal audit opinion and other conclusions.

2010.3 - The head of internal audit should consider accepting proposed advisory engagements based on the engagement's potential to improve management of risks, add value, and improve the agency's operations. Accepted engagements must be included in the plan.

Interpretation

To develop the risk-based plan, the head of internal audit seeks advice from the senior management, and the head of agency or the governing body/audit committee; and obtains an understanding of the agency's strategies, key operation objectives, associated risks, and risk management processes. The head of internal audit must review and adjust the plan, as necessary, in response to changes in the agency's risks, operations, programs, systems, and controls.

Philippine Application Guidelines 2010

Linking the Audit Plan to Risks and Exposures

1. The internal audit plan is intended to ensure that internal audit coverage adequately examines areas with the greatest exposure to the key risks that could affect the agency's ability to achieve its objectives. This Standard directs the head of internal audit to start preparing the internal audit plan, by seeking advice from the senior management, and the head of agency or the governing body/audit committee to understand the agency's strategies, objectives, risks, and risk management processes. Thus, the head of internal audit considers the maturity of the agency's risk management processes, including whether the agency uses a formal risk management framework to assess, document, and manage risks. Less matured agencies may use less formal means of risk management.
2. The head of internal audit's preparation usually involves reviewing the results of any risk assessments that management may have performed. The head of internal audit may employ tools such as interviews, surveys, meetings, and workshops to gather additional input about the risks from management at various levels throughout the agency, as well as from the head of agency or the governing body/audit committee, and other stakeholders. This review of the agency's approach to risk management may help the head of internal audit decide how to organize or update the audit universe.
3. The following must be considered in developing or updating the audit universe:
 - 3.1 The audit universe is a list of all the possible audits that could be performed. The head of internal audit may obtain input on the audit universe from the senior management, and the head of agency or the governing body/audit committee.
 - 3.2 The audit universe may include components from the agency's strategic plan. By incorporating components of the agency's strategic plan, the audit universe will consider and reflect the overall objectives. Strategic plans likely reflect the agency's attitude toward risks and the degree of difficulty to achieving planned objectives. The audit universe will be normally influenced by the results of the risk management process. The agency's strategic plan considers the environment in which the agency operates. These same environmental factors would likely impact the audit universe and assessment of relative risks.

-
- 3.3 The head of internal audit prepares the IAS's audit plan based on the audit universe, input from the senior management and the head of agency or the governing body/audit committee, and an assessment of risks and exposures affecting the agency. Key audit objectives are usually to provide the senior management, and the head of agency or the governing body/audit committee, with assurance and information to help them accomplish the agency's objectives, including an assessment of the effectiveness of management's risk management activities.
- 3.4 The audit universe and related audit plan are updated to reflect changes in management direction, objectives, emphasis, and focus. It is advisable to assess the audit universe on at least an annual basis, to reflect the most current strategies and direction of the agency. In some situations, audit plans may need to be updated more frequently (e.g., quarterly) in response to changes in the agency's operations, programs, systems, and controls.
- 3.5 Audit work schedules are based on, among other factors, an assessment of risks and exposures. Prioritizing is needed to make decisions for applying resources. A variety of risk models exists to assist the head of internal audit. Most risk models use risk factors such as impact, likelihood, materiality, asset liquidity, management competence, quality of, and adherence to, internal controls, degree of change or stability, timing and results of last audit engagement, complexity, and employee and government relations.
- 3.6 Linking critical risks to specific objectives and agency processes helps the head of internal audit organize the audit universe, and prioritize the risks. The head of internal audit uses a risk-factor approach to consider both internal and external risks. Internal risks may affect key products and services, personnel, and systems. Relevant risk factors related to internal risks include the degree of change in risk since the area was last audited, the quality of controls, and others. External risks may be related to suppliers or other issues. Relevant risk factors for external risks may include pending regulatory or legal changes, and other political and economic factors.
- 3.7 To ensure that the audit universe covers all of the agency's key risks (to the extent possible), the IAS typically independently reviews and corroborates the key risks that were identified by senior management.

Using the Risk Management Process in Internal Audit Planning

4. Once the aforementioned information has been gathered and reviewed, the head of internal audit develops an internal audit plan that usually includes the following:
 - 4.1 A list of proposed audit engagements;
 - 4.2 Rationale for selecting each proposed engagement;
 - 4.3 Objectives and scope of each proposed engagement; and
 - 4.4 A list of initiatives or projects that result from the internal audit strategy but may not be directly related to an audit engagement.
5. Although audit plans typically are prepared annually, these may be developed according to another cycle. For example, the IAS may maintain a rolling 12-month audit plan and re-evaluate projects on a quarterly basis, or, the IAS may develop a strategic plan and assess the plan annually.
6. The head of internal audit discusses the internal audit plan with the head of agency or the governing body/audit committee, the senior management, and other stakeholders, to create alignment among the priorities of various stakeholders. The head of internal audit also acknowledges risk areas that are not addressed in the plan. For example, this discussion may be an opportunity for the head of internal audit to review the roles and responsibilities of the head of agency or the governing body/audit committee, and the senior management, related to risk management; and the standards related to maintaining the IAS's independence and objectivity (Standard 1100 through Standard 1130.2). The head of internal audit reflects on any feedback received from stakeholders before finalizing the plan.
7. The internal audit plan is flexible enough to allow the head of internal audit to review and adjust it, as necessary, in response to changes in the agency's risks, operations, programs, systems, and controls. The significant changes should be communicated to the senior management, for review and enhancements/additional inputs; and to the head of agency or the governing body/audit committee, for approval, in accordance with Standard 2020.

-
8. The following must be considered in using risk management in internal audit planning:
- 8.1 Risk management is a critical part of providing sound governance that touches all the agency's activities. Many agencies are moving to adopt consistent and holistic risk management approaches that should, ideally, be fully integrated into the management of the agency. It applies at all levels of the agency. Management typically uses a risk management framework to conduct the assessment, and document the assessment results.
 - 8.2 An effective risk management process can assist in identifying key controls related to significant inherent risks. Implementation of controls is one common method management can use, to manage risk within its risk appetite. Internal auditors audit the key controls, and provide reasonable assurance on the management of significant risks.
 - 8.3 The Institute of Internal Auditors' (IIA) International Standards for the Professional Practice of Internal Auditing (Standards) defines control as "any action taken by management, the board, and other parties to manage risk and increase the likelihood that established objectives and goals will be achieved. Management plans, organizes, and directs the performance of sufficient actions to provide reasonable assurance that objectives and goals will be achieved."
 - 8.4 Two fundamental risk concepts are inherent risk and residual risk. Financial/external auditors have long had a concept of inherent risk that can be summarized as the susceptibility of information or data to a material misstatement, assuming that there are no related mitigating controls. The Standards define residual risk as "the risk remaining after management takes action to reduce the impact and likelihood of an adverse event, including control activities in responding to a risk."
 - 8.5 Key controls can be defined as controls or groups of controls that help to reduce an otherwise unacceptable risk to a tolerable level. Controls can be most readily conceived as organizational processes that exist to address risks. In an effective risk management process (with adequate documentation), the key controls can be readily identified from the difference between inherent and residual risk across all affected systems that are relied upon to reduce the rating of significant risks. If a rating has not been given to inherent risk, the internal auditor estimates

the inherent risk rating. When identifying key controls (and assuming the internal auditor has concluded that the risk management process is mature and reliable), the internal auditor would look for the following:

8.5.1 Individual risk factors where there is a significant reduction from inherent to residual risk (particularly if the inherent risk was very high). This highlights controls that are important to the agency; and

8.5.2 Controls that serve to mitigate a large number of risks.

8.6 Internal audit planning needs to make use of the agency's risk management process, where one has been developed. In planning an engagement, the internal auditor considers the significant risks of the activity and the means by which management mitigates the risk to an acceptable level. The internal auditor uses risk assessment techniques in developing the IAS's plan, and in determining priorities for allocating internal audit resources. Risk assessment is used to examine auditable units and select areas for review to include in the IAS's plan that have the greatest risk exposure.

8.7 Internal auditors may not be qualified to review every risk category and the risk management process in the agency (e.g., internal audits of workplace health and safety, environmental auditing, or complex financial instruments). The head of internal audit ensures that internal auditors with specialized expertise or external service providers are used appropriately.

8.8 Factors the internal auditor considers when developing the internal audit plan include the following:

8.8.1 Inherent risks. Are they identified and assessed?

8.8.2 Residual risks. Are they identified and assessed?

8.8.3 Mitigating controls, contingency plans, and monitoring activities. Are they linked to the individual events and/or risks?

8.8.4 Risk registers. Are they systematic, completed, and accurate?

8.8.5 Documentation. Are the risks and activities documented?

8.9 The internal audit charter normally requires the IAS to focus on areas of high risk, including both inherent and residual risks. The IAS needs to identify areas of high inherent risks, high residual risks, and the key

control systems upon which the agency is most reliant. If the IAS identifies areas of unacceptable residual risks, management needs to be notified so that the risks can be addressed. The internal auditor will, as a result of conducting a strategic audit planning process, be able to identify different kinds of activities to include in the IAS's plan, including the following:

- 8.9.1 **Control reviews/assurance activities** — where the internal auditor reviews the adequacy and efficiency of the control systems, and provides reasonable assurance that the controls are working and the risks are effectively managed.
- 8.9.2 **Inquiry activities** — where organizational management has an unacceptable level of uncertainty about the controls related to an activity, or identified risk area, and the internal auditor performs procedures to gain a better understanding of the residual risks.
- 8.9.3 **Advisory activities** — where the internal auditor advises organizational management in the development of the control systems to mitigate unacceptable current risks.

Internal auditors also try to identify unnecessary, redundant, excessive, or complex controls that inefficiently reduce risks. In these cases, the cost of the control may be greater than the benefit realized. Therefore, there is an opportunity for efficiency gains in the design of the control.

- 8.10 Internal auditors make an assessment of the agency's risk management process; and determine what parts can be used in developing the IAS's plan, and what parts can be used for planning individual internal audit assignments.
- 8.11 To ensure relevant risks are identified, the approach to risk identification is systematic and clearly documented. Documentation can range from the use of a spreadsheet in small agencies to vendor-supplied software in more sophisticated agencies. The crucial element is that the risk management framework is documented in its entirety.
- 8.12 The documentation of risk management in an agency can be at various levels below the strategic level of the risk management process. Many agencies have developed risk registers that document risks below the strategic level, providing documentation of significant risks in an area, and related inherent and residual risk ratings, key controls, and mitigating

factors. An alignment exercise can then be undertaken to identify more direct links between risks described in the risk register and, where applicable, the items already included in the audit universe documented by the IAS.

- 8.13 Some agencies may identify several high (or higher) inherent risk areas. While these risks may warrant the IAS's attention, it is not always possible to review all of them. Where the risk register shows a high, or above, ranking for inherent risks in a particular area, and the residual risk remains largely unchanged and no action by management or the IAS is planned, the head of internal audit reports those areas separately to the head of agency or the governing body/audit committee, with details of the risk analysis and reasons for the lack of, or ineffectiveness of, internal controls.
- 8.14 A selection of lower risk level agency unit or branch type audits need to periodically be included in the IAS's plan to give them coverage and confirm that their risks have not changed. Also, the IAS establishes a method for prioritizing outstanding risks not yet subject to an internal audit.
- 8.15 An IAS's plan will normally focus on the following:
- 8.15.1 Unacceptable risks where management action is required. These would be areas with minimal key controls or mitigating factors that senior management wants to be audited immediately;
 - 8.15.2 Control systems on which the agency is most reliant; and
 - 8.15.3 Areas where the inherent risk is very high.
- 8.16 When planning individual internal audits, the internal auditor identifies and assesses risks relevant to the area under review.

STANDARD 2020
**Communication and Approval of
Internal Audit Service Plans**

The head of internal audit must communicate the Internal Audit Service's plans and resource requirements, including significant interim changes, to the senior management for enhancements/additional inputs; and to the head of agency or the governing body/audit committee for review and approval. The head of internal audit must also communicate the impact of resource limitations.

Philippine Application Guidelines 2020

1. Before communicating to senior management, and the head of agency or the governing body/audit committee regarding the internal audit plan, the IAS's resource requirements, and the impact of resource limitations, the head of internal audit determines the resources needed to implement the plan, based on the risk-based priorities identified during the planning process (Standard 2010). Resources may include the following:
 - 1.1 People (e.g., labor hours and skills);
 - 1.2 Technology (e.g., audit tools and techniques);
 - 1.3 Timing/schedule (availability of resources); and
 - 1.4 Funding.
2. A portion of resources is usually reserved to address changes to the audit plan that may arise, such as unanticipated risks that could affect the agency and requests for advisory engagements from senior management, and the head of agency or the governing body/audit committee. For example, the need for a new internal audit project may arise when new risks are introduced due to political uncertainty, or changes in regulatory requirements.
3. The head of internal audit usually itemizes the audits that comprise the internal audit plan, and then assesses the types and quantity of resources that would

be needed, to accomplish each audit project. Estimates are generally based on past experience with a particular project, or comparisons to a similar project. The head of internal audit can compare the resources needed to accomplish the plan's priorities, with those available to the IAS, to determine whether any gaps exist. This comparison can be used as a basis for determining the impact of resource limitations.

4. The head of internal audit typically meets with individual senior management to solicit their input regarding the proposed internal audit plan, before it is formally presented to the head of agency or the governing body/audit committee, for approval. During the meetings, the head of internal audit can address any concerns that senior management may express, incorporate their feedback (as appropriate), and obtain their support.
5. The process may involve gathering additional information about the timing of proposed audit engagements and the availability of resources. It might introduce changes that affect the scope of work. The insight the head of internal audit acquires from these discussions helps determine whether any adjustments should be made to the internal audit plan before it is presented to the head of agency or the governing body/audit committee for approval.
6. The head of internal audit's presentation of the internal audit plan to the head of agency or the governing body/audit committee usually occurs during a meeting, which may include senior management. The proposed internal audit plan may include the following:
 - 6.1 A list of proposed audit engagements (and specification regarding whether the engagements are assurance or advisory in nature);
 - 6.2 Rationale for selecting each proposed engagement (e.g., risk rating, time since last audit, and change in management);
 - 6.3 Objectives and scope of each proposed engagement; and
 - 6.4 A list of initiatives or projects that result from the internal audit strategy, but may not be directly related to an audit engagement.
7. Resource limitations affect the priorities in the internal audit plan. For example, if resources are not sufficient to complete every proposed engagement in the plan, some engagements may be deferred, and some risks may go unaddressed. During the presentation to the head of agency or the governing

body/audit committee, the head of internal audit discusses the proposed internal audit plan; and the risk assessment on which it is based, indicating the risks that will be addressed, as well as any risks that cannot be addressed due to resource constraints. The head of agency or the governing body/audit committee can discuss this information, and make recommendations, before ultimately approving the internal audit plan.

8. The internal audit plan is developed with enough flexibility so that the head of internal audit can adjust it, as necessary, in response to changes in the agency's risks, operations, programs, systems, and controls. However, the head of internal audit must review, and discuss significant changes to the audit plan, related rationale, and potential impact with the senior management, to get their support and additional input; and present to the head of agency or the governing body/audit committee, to obtain their approval. Regularly scheduled quarterly or semi-annual head of agency or the governing body/audit committee meetings provide opportunities to review and adjust the internal audit plan.
9. For communication and approval, the head of internal audit must consider the following:
 - 9.1 The head of internal audit will communicate annually the internal audit plan to the senior management, for enhancements/additional inputs; and to the head of agency or the governing body/audit committee, for review and approval. This will inform the head of agency or the governing body/audit committee, the scope of internal audit work, and of any limitations placed thereon. The head of internal audit will also submit all significant interim changes for approval and information.
 - 9.2 The engagement work schedule, staffing plan, and financial budget, along with all significant interim changes, are to contain sufficient information, to enable senior management, the head of agency or the governing body/audit committee to ascertain whether the IAS's objectives and plans support those of the agency and the head of agency or the governing body/audit committee, and are consistent with the internal audit charter.

STANDARD 2030

Resource Management

The head of internal audit must ensure that internal audit resources are appropriate, sufficient, and effectively deployed to achieve the approved plan.

Interpretation

Appropriate refers to the mix of knowledge, skills, and other competencies needed to perform the plan. Sufficient refers to the quantity of resources needed to accomplish the plan. Resources are effectively deployed when they are used in a way that optimizes the achievement of the approved plan.

Philippine Application Guidelines 2030

1. When developing the internal audit plan (see Standard 1010), and reviewing it with the senior management, and the head of agency or the governing body/audit committee (see Standard 2020), the head of internal audit considers and discusses the resources needed to accomplish the plan's priorities. To implement this Standard, the head of internal audit usually begins by gaining a deeper understanding of the resources available to the internal audit service (IAS), in the head of agency or the governing body/audit committee-approved internal audit plan.
2. The head of internal audit is primarily responsible for the sufficiency and management of internal audit resources, in a manner that ensures the fulfillment of internal audit's responsibilities, as detailed in the internal audit charter. This includes effective communication of resource needs, and reporting of status to senior management, the head of agency or the governing body/audit committee.
3. Internal audit resources may include employees, external service providers, financial support, and technology-based audit techniques. Ensuring the adequacy of internal audit resources is ultimately a responsibility of the agency's senior management, the head of agency or the governing body/

audit committee. The head of internal audit should assist them in discharging this responsibility.

4. The skills, capabilities, and technical knowledge of the internal auditor must be appropriate for the planned activities. The head of internal audit will conduct a periodic skills assessment or inventory to determine the specific skills required to perform the internal audit activities. The skills assessment is based on, and considers the various needs identified in the risk assessment and audit plan. This includes assessments of technical knowledge, language skills, fraud detection and prevention competency, and accounting and audit expertise.
5. To gain an overview of the IAS's collective knowledge, skills, and other competencies, the head of internal audit may review a documented skills assessment, if available, or gather information from employees' performance appraisals and post-audit surveys.
6. Internal audit resources need to be sufficient to execute the audit activities in the breadth, depth, and timeliness, expected by senior management, the head of agency or the governing body/audit committee, as stated in the internal audit charter. Resource planning considerations include the audit universe, relevant risk levels, the internal audit plan, coverage expectations, and an estimate of unanticipated activities.
7. The head of internal audit also ensures that resources are deployed effectively. This includes assigning auditors who are competent and qualified for specific assignments. It also includes developing a resourcing approach and organizational structure that are appropriate for the agency's structure, risk profile, and geographical dispersion.
8. From an overall resource management standpoint, the head of internal audit considers succession planning, staff evaluation and development programs, and other human resource disciplines. The head of internal audit also addresses the resourcing needs of the IAS, whether those skills are present or not within the IAS itself. Other approaches to addressing resource needs include external service providers, employees from other departments within the agency, or specialized consultants.
9. The head of internal audit maintains ongoing communications and dialog with senior management, the head of agency or the governing body/audit committee on the adequacy of resources for the IAS because of the critical

nature of resources,. The head of internal audit periodically presents a summary of status and adequacy of resources to them. To that end, the head of internal audit develops appropriate metrics, goals, and objectives to monitor the overall adequacy of resources. This can include comparisons of resources to the internal audit plan, the impact of temporary shortages or vacancies, educational and training activities, and changes to specific skill needs, based on changes in the agency's operations, programs, systems, and controls.

10. It is important for the head of internal audit to gauge the overall adequacy of resources continuously because the head of internal audit must report on the impact of resource limitations (see Standard 2020), and on the IAS's performance relative to its plan (see Standard 2060). To affirm that resources are appropriate, sufficient, and effectively deployed, the head of internal audit establishes metrics that assess the IAS's performance and solicits feedback from senior management, the head of agency or the governing body/audit committee.

STANDARD 2040

Policies and Procedures

The head of internal audit must establish policies and procedures to guide the internal audit service (IAS).

Interpretation

The form and content of policies and procedures are dependent upon the size and structure of the IAS and the complexity of its work.

Philippine Application Guidelines 2040

1. To establish the policies and procedures that guide the IAS, the head of internal audit considers several factors. It is essential to ensure that internal audit policies and procedures are aligned with the Internal Auditing Standards for the Philippine Public Sector (IASPPS). Additionally, alignment with the internal audit charter helps ensure that the stakeholders' expectations are addressed.
2. The head of internal audit may begin to develop policies and procedures by gathering information, examples, and templates which can be customized to fit the agency and the needs of a specific IAS.
3. It is important for the head of internal audit to consider the agency's existing strategies, policies, and processes, including whether organizational leadership expects to review and/or approve internal audit policies and procedures.
4. The head of internal audit's implementation of this Standard will depend largely on the structure, maturity, and complexity of the agency and the IAS. While a large, mature IAS may have a formal internal audit operations manual that includes the policies and procedures, a smaller or less mature agency may not. Instead, policies and procedures may be published as separate documents or integrated as part of an audit management software program.

-
5. The following topics are generally included in an internal audit manual or otherwise documented to help guide the IAS:
- 5.1 Internal audit policies:
 - 5.1.1 The overall purpose and responsibilities of the IAS;
 - 5.1.2 Adherence to the IASPPS;
 - 5.1.3 Independence and objectivity;
 - 5.1.4 Ethics;
 - 5.1.5 Protecting confidential information; and
 - 5.1.6 Record retention.
 - 5.2 Internal audit procedures:
 - 5.2.1 Preparing a risk-based audit plan;
 - 5.2.2 Planning an audit and preparing the engagement work program;
 - 5.2.3 Performing audit engagements;
 - 5.2.4 Documenting audit engagements;
 - 5.2.5 Communicating results/reporting; and
 - 5.2.6 Monitoring and follow-up processes.
 - 5.3 Quality assurance and improvement program.
 - 5.4 Administrative matters:
 - 5.4.1 Training and certification opportunities;
 - 5.4.2 Continuing education requirements; and
 - 5.4.3 Performance evaluations.
6. To ensure internal audit personnel are properly informed about internal audit policies and procedures, the head of internal audit may issue individual documents, training materials, or a comprehensive manual. Training sessions may be conducted to review the information. The head of internal audit may request that internal auditors sign forms of acknowledgement indicating that they have read and understood the policies and procedures.

-
7. Internal audit policies and procedures should be reviewed periodically by the head of internal audit.
 8. Suggestions for operational changes may arise in response to the quality assurance and improvement program, or feedback from internal auditors or audited agencies (e.g., via auditee satisfaction survey). If procedural changes are made, they may be communicated in writing and/or discussed during IAS's meetings to help ensure that the changes are understood. Trainings may also be conducted (e.g., to demonstrate new procedures).

STANDARD 2050

Coordination and Reliance

The head of internal audit should share information, coordinate activities, and consider relying upon the work of other internal and external service providers to ensure proper coverage and minimize duplication of efforts.

Interpretation

In coordinating activities, the head of internal audit may rely on the work of other service providers. A consistent process for the basis of reliance should be established, and the head of internal audit should consider the competency, objectivity, and due professional care of the service providers. The head of internal audit should also have a clear understanding of the scope, objectives, and results of the work performed by other service providers. Where reliance is placed on the work of others, the head of internal audit is still accountable and responsible for ensuring adequate support for conclusions and opinions reached by the internal audit service (IAS).

Philippine Application Guidelines 2050

Coordination and Reliance Between Internal and External Auditors

1. The head of internal audit obtains the support of the head of agency or the governing body/audit committee to coordinate audit work effectively.
2. The external auditors may rely on the work of the IAS in performing their work. In this case, the head of internal audit needs to provide sufficient information to enable external auditors to understand the internal auditors' techniques, methods, and terminology; and to facilitate reliance by external auditors on work performed.
3. It may be efficient for internal and external auditors to use similar techniques, methods, and terminology to coordinate their work effectively and rely on the work of one another.

-
4. Planned audit activities of internal and external auditors need to be discussed to ensure that audit coverage is coordinated, and duplicate efforts are minimized, where possible. Sufficient meetings are to be scheduled during the audit process to ensure coordination of audit work; the efficient and timely completion of audit activities; and to determine whether observations and recommendations from work performed to date require that the scope of planned work be adjusted.
 5. The IAS's final communications, management's views to those communications, and subsequent follow-up reviews are to be made available to external auditors. These communications assist external auditors in determining and adjusting the scope and timing of their work. In addition, internal auditors need access to the external auditors' presentation materials and management letters.
 6. Matters discussed in presentation materials and included in management letters need to be understood by the head of internal audit and used as input to internal auditors in planning the areas to emphasize in future internal audit work. After review of management letters and initiation of any needed corrective action by appropriate members of senior management, the head of agency or the governing body/audit committee, the head of internal audit ensures that appropriate follow-up and corrective actions have been taken.
 7. The head of internal audit is responsible for regular evaluations of the coordination between internal and external auditors. Such evaluations may also include assessments of the overall efficiency and effectiveness of the internal and external activities, including aggregate cost. The head of internal audit communicates the results of these evaluations to senior management, the head of agency or the governing body/audit committee.

Relying on the Work of Others

8. The internal auditor may rely on or use the work of others in providing governance, risk management, and control assurance to the head of agency or the governing body/audit committee. The decision to rely on the work of others can be made for a variety of reasons, including to address the areas that fall outside of the competence of the IAS, to gain knowledge from other external service providers, or to efficiently enhance coverage of risk beyond the internal audit plan.

-
9. If the IAS relies on the work of another service provider, the head of internal audit retains ultimate responsibility for internal audit conclusions and opinions. Thus, it is essential that the head of internal audit establish a consistent process and set of criteria to determine whether the IAS may rely on the work of another provider. In this process, the head of internal audit may carry out the following:
- 9.1 Evaluate objectivity by considering whether the provider has, or may appear to have any conflicts of interest; and whether these conflicts have been disclosed;
 - 9.2 Consider independence by examining the provider's reporting relationships and the impact of this arrangement; and
 - 9.3 Confirm competency by verifying whether the provider's professional experience, qualifications, certifications, and affiliations are appropriate and current.
 - 9.3.1 Assess due professional care by examining the elements of practice the provider applies to complete the work (i.e., the provider's methodology, and whether the work was appropriately planned, supervised, documented, and reviewed); and
 - 9.3.2 The head of internal audit may also seek to gain an understanding of the scope, objectives, and results of the actual work performed to determine the extent of reliance that may be placed on the provider's work. The head of internal audit typically considers whether the provider's findings appear reasonable and are based on sufficient, reliable, and relevant audit evidence. The head of internal audit determines whether additional work or testing is needed to obtain sufficient evidence to support or increase the level of reliance desired. If additional work is needed, the IAS may retest the results of the other provider.
10. The roles of assurance and advisory service providers vary by agency. Thus, to start the task of coordinating their efforts, the head of internal audit identifies the various roles of existing assurance and advisory service providers, by reviewing the organizational chart and meeting agendas or minutes. The roles are generally categorized as either internal service providers or external service providers.

-
- 10.1 Internal service providers include oversight functions that either report to senior management or are part of senior management. Their involvement may include areas such as environmental, financial control, health and safety, information technology security, legal, risk management, compliance, or quality assurance; and
 - 10.2 External service providers (e.g., legal investigators) may report to head of agency or the governing body/audit committee.
 11. The head of internal audit meets with each of the providers to share the objectives, scope, and timing of upcoming reviews, assessments, and audits; the results of prior audits; and the possibility of relying on one another's work.
 12. One way to coordinate assurance coverage is to create an assurance map, by linking identified significant risk categories with relevant sources of assurance and rating the level of assurance provided for each risk category. The map is comprehensive, thus, it exposes gaps and duplications in assurance coverage, enabling the head of internal audit to evaluate the sufficiency of assurance services in each risk area. The results can be discussed with the other assurance providers for the parties to reach an agreement about how to coordinate activities, minimize duplication of efforts, and maximize the efficiency and effectiveness of assurance coverage.
 13. Another approach to coordinating assurance coverage is a combined assurance model where internal audit may coordinate assurance efforts with second line of defense functions, such as a compliance function, to reduce the nature, frequency, and redundancy of internal audit engagements.
 14. Examples of coordinating activities include the following:
 - 14.1 Synchronizing the nature, extent, and timing of planned work;
 - 14.2 Ensuring a common understanding of assurance techniques, methods, and terminology;
 - 14.3 Providing access to one another's work programs, workpapers, and reports;
 - 14.4 Relying on one another's work to minimize duplication of effort; and
 - 14.5 Meeting intermittently to determine whether it is necessary to adjust the timing of planned work, based on the results of work that has been completed.

-
15. The internal audit charter and/or engagement letter should specify that the IAS has access to the work of others in accordance with existing laws, rules, and regulations.
 16. Where the internal auditor is availing the services of an external service provider in accordance with existing laws, rules, and regulations, the auditor should document engagement expectations in a contract or agreement. Minimum expectations should be provided for the nature and ownership of deliverables, methods/techniques, the nature of procedures and data/information to be used, progress reports/supervision to ensure the work is adequate, and reporting requirements.
 17. If senior management within the agency provides the contracting of, and direction to a third party external service provider, the internal auditor should be satisfied that the instruction is appropriate, understood, and executed.
 18. The internal auditor should consider the independence and objectivity of the other external service providers when considering whether to rely on or use their work. If an external service provider is hired by, and/or is under the direction of senior management instead of internal auditing, the impact of this arrangement on the external service provider's independence and objectivity should be evaluated.
 19. The internal auditor should consider the other external service provider's elements of practice to have reasonable assurance that the observations are based on sufficient, reliable, relevant, and useful information, as required by Standard 2310. The Standard 2310 must be met by the head of internal audit, regardless of the degree to which the work of other external service provider is used.
 20. The internal auditor should ensure that the work of the other external service provider is appropriately planned, supervised, documented, and reviewed. The auditor should consider whether the audit evidence is appropriate and sufficient to determine the extent of use and reliance on the work of the other external service providers. Based on an assessment of the work of the other external service provider, additional work or test procedures may be needed to gain appropriate and sufficient audit evidence. The internal auditor should be satisfied based on knowledge of the environment, techniques, and information used by the external service provider that the observations appear to be reasonable.

-
21. The level of reliance that can be placed on another external service provider will be impacted by the factors mentioned earlier: independence, objectivity, competencies, elements of practice, adequacy of execution of audit work, and sufficiency of audit evidence to support the given level of assurance. As the risk or significance of the activity reviewed by the other external service provider increases, the internal auditor should gather more information on these factors and may need to obtain additional audit evidence to supplement the work done by the other external service provider. To increase the level of reliance on the results, the IAS may retest results of the other external service provider.
 22. The internal auditor should incorporate the external service provider's results into the overall report of assurance that the internal auditor reports to the head of agency or the governing body/audit committee, or other key stakeholders. Significant issues raised by the other external service provider can be incorporated in detail or summarized in internal audit reports. The internal auditor should include reference to other external service providers where reports rely on such information.
 23. Significant observations from other external service providers should be considered in the assurance and communications internal audit is providing the agency. In addition, results of work performed by others may impact the internal audit risk assessment, as to whether the observations impact the evaluation of risk and the level of audit work necessary in response to that risk.

STANDARD 2060
**Reporting to the Head of Agency or the
Governing Body/Audit Committee**

The head of internal audit must report periodically to the head of agency or the governing body/audit committee on the internal audit service's (IAS) purpose, authority, responsibility, and performance relative to its plan and on its conformance with the Code of Ethics and the Internal Auditing Standards for the Philippine Public Sector (IASPPS). Reporting must also include significant risk and control issues, including fraud risks, governance issues, and other matters that require the attention of senior management and the head of agency or the governing body/audit committee.

Interpretation

The frequency and content of reporting are determined collaboratively by the head of internal audit, the head of agency or the governing body/audit committee. The frequency and content of reporting depends on the importance of the information to be communicated and the urgency of the related actions to be taken by senior management, the head of agency or the governing body/audit committee.

The head of internal audit's reporting and communication to the head of agency or the governing body/audit committee must include information about the following:

- i. The internal audit charter;*
- ii. Independence of the IAS;*
- iii. The audit plan and progress against the plan;*
- iv. Resource requirements;*
- v. Results of audit activities;*
- vi. Conformance with the Code of Ethics and IASPPS, and action plans to address any significant conformance issues; and*
- vii. Management's response to risk that, in the head of internal audit's judgment, may be unacceptable to the agency.*

These and other head of internal audit communication requirements are referenced throughout the IASPPS.

Philippine Application Guidelines 2060

1. Effectively communicating with senior management, and the head of agency or the governing body/audit committee is an essential responsibility of the head of internal audit, and this Standard brings together the head of internal audit's primary reporting requirements referenced throughout this Standard. In implementing this Standard related to communication, the head of internal audit will usually want to understand the reporting-related expectations of senior management, and the head of agency or the governing body/audit committee.
2. The three parties typically discuss and collaboratively determine the frequency and form of internal audit reporting, the reporting schedule that is most appropriate for the agency, as well as the importance and urgency of various types of audit information. It may also be helpful to agree in advance on protocols for the head of internal audit to report important and urgent risk or control events, and the related actions to be taken by senior management, and the head of agency or the governing body/audit committee.
3. The head of internal audit may find it helpful to establish or review the following:
 - 3.1 The internal audit charter, including the IAS's purpose, authority, and responsibility;
 - 3.2 The internal audit plan and key performance indicators to measure the IAS's progress toward accomplishing the plan;
 - 3.3 The quality assurance and improvement program, which gauges the IAS's conformance with the IASPPS; and
 - 3.4 Processes for identifying significant risk and control issues.
4. While this Standard allows flexibility in the frequency and content of reporting, it notes that these factors will depend on the importance of the information and the urgency with which senior management, or the head of agency or the governing body/audit committee, may need to act on the communications.

-
5. Additionally, some Standards have specific requirements regarding frequency. For instance, items that must be communicated at least annually include the IAS's organizational independence (see Standard 1110) and the results of ongoing monitoring of the IAS's performance (see Standard 1320).
 6. To maintain and track consistent and effective communication with senior management, and the head of agency or the governing body/audit committee, the head of internal audit may consider using a checklist which includes the following:
 - 6.1 The internal audit charter;
 - 6.2 Organizational independence of the IAS;
 - 6.3 Internal audit plans, resource requirements, and performance;
 - 6.4 Results of audit engagements;
 - 6.5 Quality assurance and improvement program;
 - 6.6 Conformance with the Code of Ethics and IASPPS;
 - 6.7 Significant risk and control issues, and management's acceptance of risk; and
 - 6.8 Schedule of communications and reminders about any approval requirements.
 7. The purpose of reporting is to provide assurance to senior management, and the head of agency or the governing body/audit committee regarding governance processes (see Standard 2110), risk management (see Standard 2120), and control (see Standard 2130). Standard 1111 states: "The head of internal audit must communicate and interact directly with the head of agency or the governing body/audit committee."
 8. The head of internal audit should agree with the head of agency or the governing body/audit committee about the frequency and nature of reporting on the internal audit charter (e.g., purpose, authority, responsibility) and performance. Performance reporting should be relative to the most recently approved plan to inform senior management, and the head of agency or the governing body/audit committee of significant deviations from the approved audit plan, staffing plans, and financial budgets; reasons for the deviations; and action needed or taken. Standard 1320 states: "The head of internal audit must communicate the results of the quality assurance and

improvement program to senior management, and the head of agency or the governing body/audit committee.”

9. Significant risk exposures and control issues are those conditions that, according to the head of internal audit’s judgment, could adversely affect the agency and its ability to achieve its strategic, financial reporting, operational, and compliance objectives. Significant issues may carry unacceptable exposure to internal and external risks, including conditions related to control weaknesses, fraud, irregularities, illegal acts, errors, inefficiency, waste, ineffectiveness, conflicts of interest, and financial viability.
10. Senior management, and the head of agency or the governing body/audit committee make decisions on the appropriate action to be taken regarding significant issues. They may decide to assume the risk of not correcting the reported condition because of cost or other considerations. Senior management should inform the head of agency or the governing body/audit committee of decisions about all significant issues raised by internal audit.
11. When the head of internal audit believes that senior management has accepted a level of risk that the agency considers unacceptable, the head of internal audit must discuss the matter with senior management as stated in Standard 2600. The head of internal audit should understand senior management’s basis for the decision, identify the cause of any disagreement, and determine whether senior management has the authority to accept the risk. Disagreements may relate to risk likelihood and potential exposure, as well as the understanding of risk appetite, cost, and level of control. Preferably, the head of internal audit should resolve the disagreement with senior management.
12. If the head of internal audit and senior management cannot reach an agreement, Standard 2600 directs the head of internal audit to inform the head of agency or the governing body/audit committee. If possible, the head of internal audit and senior management should make a joint presentation about the conflicting positions. For financial reporting matters, head of internal audit should consider discussing these issues with the external auditors in a timely manner.

STANDARD 2100

Nature of Work

The internal audit service (IAS) must evaluate and contribute to the improvement of the agency's governance, risk management, and control processes using a systematic, disciplined, and risk-based approach. Internal audit credibility and value are enhanced when auditors are proactive and their evaluations offer new insights and consider future impact.

Philippine Application Guidelines 2100

1. Conforming with this Standard requires a thorough understanding of the concepts of governance, risk management, and control. It is also important for the IAS to have an understanding of organizational objectives. Once this understanding has been achieved, the head of internal audit usually interviews senior management, and the head of agency or the governing body/audit committee to understand the roles and responsibilities of each stakeholder, with respect to governance, risk management, and control. Typically, the head of agency or the governing body/audit committee is responsible for guiding the governance process, while senior management is accountable for leading risk management and control processes.
2. Internal auditors need to understand the agency to perform meaningful evaluations and may use established governance, risk management, and control frameworks as a guide in their evaluation. In addition, internal auditors may use their knowledge, experience, and best practices to proactively highlight observed weaknesses and make recommendations for improvement.
3. To assist the IAS in its understanding of the strategies and risks, the head of internal audit will typically review with the head of agency or the governing body/audit committee the charters, meeting agendas and minutes, and the agency's strategic plan. The head of internal audit will also review the agency's mission, key objectives, critical risks, and key controls used to mitigate such risks to an acceptable level. During this review, the IAS may gain insight into the definitions, frameworks, models, and processes of

governance, risk management, and control used by the agency. It may also be helpful for internal auditors to understand the key organizational roles related to the three processes.

4. The head of internal audit typically discusses with the senior management, and the head of agency or the governing body/audit committee the requirements of the IASPPS, roles and responsibilities, and the best strategies for the IAS to efficiently and effectively evaluate and contribute to governance, risk management, and control.
5. The head of internal audit may document in the internal audit charter any expectations related to the roles, responsibilities, and accountabilities of the senior management, the head of agency or the governing body/audit committee, and the IAS. This is intended to safeguard the IAS's independence by affirming that senior management, and the head of agency or the governing body/audit committee are responsible and accountable for governance, risk management, and control, while the IAS is responsible for providing objective assurance and advisory activities related to the three processes.
6. To devise an appropriate strategy for assessing the agency's governance, risk management, and control processes, the head of internal audit typically considers the following:
 - 6.1 The level of maturity of the three processes, as well as the agency's culture, and the seniority of the individuals who maintain responsibility for the processes.
 - 6.2 The risks associated with the three processes. The head of internal audit may use established frameworks adopted by senior management
7. If an established framework has not been adopted to guide the agency's governance, risk management, and control processes, the head of internal audit may consider recommending an appropriate framework to guide senior management in their pursuit of enhancing these processes.

STANDARD 2110

Governance

The internal audit service (IAS) must assess and make appropriate recommendations to improve the agency's governance processes for the following undertakings:

- Making strategic and operational decisions;
- Overseeing risk management and control;
- Promoting appropriate ethics and values within the agency;
- Ensuring effective organizational performance management and accountability;
- Communicating risk and control information to appropriate areas of the agency; and
- Coordinating the activities of, and communicating information among the head of agency or the governing body/audit committee, external and internal auditors, other assurance providers, and management.

2110.1 - The IAS must evaluate the design, implementation, and effectiveness of the agency's ethics-related objectives, programs, and activities.

2110.2 - The IAS must assess whether the information technology governance of the agency supports the agency's strategies and objectives.

Philippine Application Guidelines 2110

Governance: Definition

1. To fulfill this Standard, the head of internal audit and internal auditors address the following concerns:
 - 1.1 Attain a clear understanding of the concept of governance and the characteristics of typical governance processes;

-
- 1.2 Contemplate whether the current internal audit plan encompasses the agency's governance processes and addresses their associated risks. Governance does not exist as a set of independent processes and structures. Rather, governance, risk management, and control are interrelated;
 - 1.3 Review the head of agency or the governing body/audit committee charters, as well as meeting agendas and minutes to gain insight into the role they play in the agency's governance, especially regarding strategic and operational decision-making; and
 - 1.4 May also speak with others in key governance roles (e.g., top elected or appointed official in a governmental agency, human resources officer, independent external auditor, chief compliance officer, and chief risk officer) to gain a clearer understanding of the agency – specific processes and assurance activities already in place. If the agency is regulated, the head of internal audit may review any governance concerns identified by regulators.
2. An understanding of governance is the foundation of the head of internal audit for a discussion with the senior management, and the head of agency or the governing body/audit committee about the following:
 - 2.1 Definition of governance and the nature of governance processes within the agency;
 - 2.2 Requirements of this Standard;
 - 2.3 IAS's role; and
 - 2.4 Any changes to the IAS's approach and plan that may improve its conformance with the IASPPS.
 3. Governance processes are considered during the IAS's risk assessment and audit plan development. The head of internal audit typically identifies the agency's higher-risk governance processes.
 4. The role of internal auditing, as noted in the Definition of Internal Auditing, includes the responsibility to evaluate and improve governance processes as part of the assurance function.

-
- 4.1 The frameworks and requirements for governance vary according to agency type and regulatory jurisdictions. Examples include government or quasi-government agencies, academic institutions, and commissions.
 - 4.2 How an agency designs and practices the principles of effective governance also vary depending on the size, complexity, life cycle maturity of the agency, its stakeholders' structure, legal and cultural requirements, among others. The head of internal audit's approach to assessing governance and making recommendations to management will vary based on the framework or model the agency uses.
 - 4.3 As a consequence of the variation in the design and structure of governance, the head of internal audit should work with the senior management, or the head of agency or the governing body/audit committee, as appropriate, to determine how governance should be defined for audit purposes.
 - 4.4 Internal auditors are integral to the agency's governance framework. Their unique position within the agency enables them to observe and formally assess the governance structure, its design, and its operational effectiveness while remaining independent.
 - 4.5 The relationship among governance, risk management, and internal control should be considered. This item is addressed in this PAG which discusses assessing governance.
5. This Standard specifically identifies the IAS's responsibility for assessing and making appropriate recommendations to improve the agency's governance processes for the following areas of concern:
 - 5.1 **Making strategic and operational decisions** – To evaluate an agency's governance processes for making strategic and operational decisions, the IAS may review past audit reports as well as the minutes of meeting of the head of agency or the governing body/audit committee and the other related governance documents, which can help provide an understanding of how such decisions are discussed and ultimately made. This review typically reveals whether established, consistent decision-making processes have been developed. In addition, interviews with departmental heads may reveal what processes led to strategic and operational decisions.

-
- 5.2 **Overseeing risk management and control** – To determine how an agency provides oversight of its risk management and control activities, the IAS typically reviews the process for conducting the annual risk assessment. The IAS may also review minutes from meetings wherein risk management strategy was discussed, as well as previously conducted risk assessments, and may interview key risk management personnel, such as compliance, risk, and finance officers. The information obtained can be compared to benchmarking and industry trends to ensure all relevant risks have been considered.
- 5.3 **Promoting appropriate ethics and values within the agency** – To assess how an agency promotes ethics and values, the IAS reviews the agency's related objectives, programs, and activities. These could include the mission and value statements, code of conduct, hiring and training processes, anti-fraud and whistleblowing policy, and hotline and investigation process. Surveys and interviews may be used to gauge whether the agency's efforts result in sufficient awareness of its ethical standards and values.
- 5.4 **Ensuring effective organizational performance management and accountability** – To evaluate how an agency ensures effective performance management and accountability, the IAS could review the agency's policies and processes related to objective setting and performance evaluation. The IAS may also review associated measurements (e.g., key performance indicators) and incentive plans (e.g., bonuses) to determine whether they are appropriately designed and executed to prevent or detect unacceptable behavior or excessive risk-taking, and to support actions aligned with the agency's strategic objectives.
- 5.5 **Communicating risk and control information to appropriate areas of the agency** – To appraise how well an agency communicates risk and control information to appropriate areas, the IAS could access internal reports, newsletters, relevant memos and emails, and staff meeting minutes to determine whether information regarding risks and controls is complete, accurate, and distributed timely. Surveys and interviews could be used to gauge employees' understanding of their responsibilities over risk and control processes, and the impact to the agency if those responsibilities are not fulfilled.

-
- 5.6 **Coordinating the activities of, and communicating information among the head of agency or the governing body/audit committee, external and internal auditors, other assurance providers, and management** – To assess an agency’s ability to coordinate activities and communicate information among the various parties, the IAS could identify the meetings that include these groups (e.g., head of agency or the governing body/audit committee and finance committee) and determine how frequently they occur. Members of the IAS may attend the meetings as participants or observers, and they may review the meeting minutes, work plans, and reports distributed among the groups to learn how these parties coordinate activities and communicate with each other.

Governance: Relationship with Risk and Control

6. Governance is defined as “the combination of processes and structures implemented by the head of agency or the governing body/audit committee to inform, direct, manage, and monitor the activities of the agency toward the achievement of its objectives.”
7. Governance does not exist as a set of distinct and separate processes and structures. Rather, there are relationships among governance, risk management, and internal controls.
8. Effective governance activities consider risk when setting strategy. Conversely, risk management relies on effective governance (e.g., tone at the top, risk appetite and tolerance, risk culture, and the oversight of risk management).
9. Effective governance relies on internal controls and communication to the head of agency or the governing body/audit committee on the effectiveness of those controls.
10. Control and risk are also related, as control is defined as “any action taken by senior management, the head of agency or the governing body/audit committee, and other parties to manage risk and increase the likelihood that established goals will be achieved.”

11. The head of internal audit should consider these relationships in planning assessments of governance processes as follows:

11.1 An audit should address those controls in governance processes that are designed to prevent or detect events that could have a negative impact on the following: achievement of organizational strategies, goals, and objectives; operational efficiency and effectiveness; financial reporting; or compliance with applicable laws and regulations;

11.2 Controls within governance processes are often significant in managing multiple risks across the agency. For example, controls around the code of conduct may be relied upon to manage compliance risks and fraud risks, among others. This aggregation effect should be considered when developing the scope of an audit of governance processes; and

11.3 If other audits assess controls in governance processes (e.g., audits of controls over financial reporting, risk management processes, or compliance), the auditor should consider relying on the results of those audits.

Governance: Assessments

12. Internal auditors can act in a number of different capacities in assessing and contributing to the improvement of governance practices. Typically, internal auditors provide independent, objective assessments of the design and operating effectiveness of the agency's governance processes. They may also provide advisory services and advice on ways to improve those processes. In some cases, internal auditors may be called on to facilitate the head of agency's or the governing body/audit committee's self-assessments of governance practices.

13. As provided earlier, the audit objectives pertaining to the audit of governance for audit purposes should be agreed upon with senior management, and head of agency or the governing body/audit committee, as appropriate. In addition, the internal auditor should understand the agency's governance processes and the relationships among governance, risk, and control.

14. The audit plan should be developed based on an assessment of risks to the agency. All governance processes should be considered in the risk assessment. The plan should include the higher risk governance

processes and its assessment, or risk areas where the head of agency or the governing body/audit committee, or senior management has requested work be performed. The plan should define the nature of the work to be performed, the governance processes to be addressed, and the nature of the assessments that will be made (i.e., macro — considering the entire governance framework; or micro — considering specific risks, processes, or activities, or some combination of both).

15. When there are known control issues or the governance process is not mature, the head of internal audit could consider different methods for improving the control or governance processes through advisory services, instead of, or in addition to formal assessments.
16. Internal audit assessments, regarding governance processes, are likely to be based on information obtained from numerous audit assignments over time. The internal auditor should consider the following:
 - 16.1 Results of the audit of specific governance processes (e.g., the whistleblower process, the strategy management process);
 - 16.2 Governance issues arising from audits that are not specifically focused on governance (e.g., audits of the risk management process, internal control over financial reporting, fraud risks);
 - 16.3 Results of other internal and external service providers' work (see Standard 2050); and
 - 16.4 Other information on governance issues, such as adverse incidents indicating an opportunity to improve governance processes.
17. During the planning, evaluating, and reporting phases, the internal auditor should be sensitive to the potential nature and ramifications of the results, and ensure appropriate communications with the senior management, and head of agency or the governing body/audit committee. The internal auditor should consider advisory legal counsel, both before initiating the audit and finalizing the report.
18. The IAS is an essential part of the governance process. Senior management, and head of agency or the governing body/audit committee should be able to rely on the quality assurance and improvement program of the IAS, in

conjunction with external quality assessments performed in accordance with the IASPPS for assurance on its effectiveness.

19. If an overall governance assessment is appropriate, it would take into account the following:
 - 19.1 Results of the audit of specific governance processes identified above;
 - 19.2 Governance issues arising from audits that are not specifically focused on governance, such as the following:
 - 19.2.1 Strategic planning;
 - 19.2.2 Risk management processes;
 - 19.2.3 Operational efficiency and effectiveness;
 - 19.2.4 Internal control over financial reporting;
 - 19.2.5 Risks associated with information technology, fraud, and other areas; and
 - 19.2.6 Compliance with applicable laws and regulations.
 - 19.3 Results of management assessments (e.g., compliance inspections, quality audits, control self-assessments);
 - 19.4 Work of external assurance providers (e.g., legal investigators) and regulators;
 - 19.5 Work of internal assurance providers or second line of defense functions (e.g., health and safety, compliance, and quality); and
 - 19.6 Other information on governance issues, such as adverse incidents indicating an opportunity to improve governance processes.

STANDARD 2120

Risk Management

The internal audit service (IAS) must evaluate the effectiveness and contribute to the improvement of risk management processes.

2120.1 - The IAS must evaluate risk exposures relating to the agency's governance, operations, and information systems regarding the following:

- Achievement of the agency's strategic objectives;
- Reliability and integrity of financial and operational information;
- Effectiveness and efficiency of operations and programs;
- Safeguarding of assets; and
- Compliance with laws, regulations, policies, procedures, and contracts.

2120.2 - The IAS must evaluate the potential for the occurrence of fraud and how the agency manages fraud risk.

2120.3 - During advisory engagements, internal auditors must address risks consistent with the engagement's objectives and be alert to the existence of other significant risks.

2120.4 - Internal auditors must incorporate knowledge of risks gained from advisory engagements into their evaluation of the agency's risk management processes.

2120.5 - When assisting senior management in establishing or improving risk management processes, internal auditors must refrain from assuming any management responsibility by actually managing risks.

Interpretation

Determining whether risk management processes are effective is a judgment resulting from the internal auditor's assessment on the following assertions:

- i. Organizational objectives support and align with the agency's mission.*
- ii. Significant risks are identified and assessed.*
- iii. Appropriate risk responses are selected that align risks with the agency's risk appetite.*
- iv. Relevant risk information is captured and communicated in a timely manner across the agency, enabling staff, management, and the head of agency or the governing body/audit committee to carry out their responsibilities.*

The IAS may gather the information to support this assessment during multiple engagements. The results of these engagements, when viewed together, provide an understanding of the agency's risk management processes and their effectiveness.

Risk management processes are monitored through ongoing management activities, separate evaluations, or both.

Philippine Application Guidelines 2120

Assessing the Adequacy of Risk Management Processes

1. To fulfill this Standard, the head of internal audit and internal auditors should attain the following:
 - 1.1 Clear understanding of the agency's missions, objectives, and risk appetite.
 - 1.2 Complete understanding of the agency's strategies, and the risks identified by management. Risks may be financial, operational, legal/regulatory, or strategic in nature.
 - 1.3 Understanding of the agency's risk management environment, and the corrective actions in place to address prior risks. It is important to know

how the agency identifies, assesses, and provides oversight for risks before internal auditors start to implement this Standard.

2. In its risk assessment, the IAS would consider the following about the agency:
 - 2.1 Size, complexity, life cycle, maturity, stakeholder structure, and legal and competitive environment;
 - 2.2 Recent changes in the agency's environment (e.g., new regulations, new management staff, new agency structure, new processes, and new services) that may have introduced new risks; and
 - 2.3 Maturity of the agency's risk management practices, and to what extent the IAS will rely on management's assessment of risk.
3. Risk management is a key responsibility of senior management, and the head of agency or the governing body/audit committee. To achieve its objectives, management ensures that sound risk management processes are in place and functioning. The head of agency or the governing body/audit committee have an oversight role to determine that appropriate risk management processes are in place, and that these processes are adequate and effective. In this role, they may direct the IAS to assist them by examining, evaluating, reporting, and/or recommending improvements to the adequacy and effectiveness of management's risk processes.
4. Senior management, and the head of agency or the governing body/audit committee are responsible for their agency's risk management and control processes. However, internal auditors acting in an advisory role can assist the agency in identifying, evaluating, and implementing risk management methodologies and controls to address those risks.
5. In situations where the agency does not have formal risk management processes, the head of internal audit formally discusses with senior management, the head of agency or the governing body/audit committee their obligations to understand, manage, and monitor risks within the agency. They need to satisfy themselves that there are processes operating within the agency, even if informal, that provide the appropriate level of visibility into the key risks, and know how they are being managed and monitored.

-
6. The techniques used by various agencies for their risk management practices can vary significantly. Depending on the size and complexity of the agency's activities, risk management processes can be the following:
 - 6.1 Formal or informal;
 - 6.2 Quantitative or subjective; and
 - 6.3 Embedded in the agency units or centralized at a corporate level.
 7. The agency designs processes based on its culture, management style, and objectives. For example, the use of derivatives or other sophisticated capital market products by the agency could require the use of quantitative risk management tools. Smaller, less complex agencies could use an informal risk committee to discuss the agency's risk profile and initiate periodic actions. The internal auditor determines that the methodology chosen is sufficiently comprehensive and appropriate for the nature of the agency's activities.
 8. Internal auditors need to obtain sufficient and appropriate evidence to determine that the key objectives of the risk management processes are being met and to form a conclusion on the adequacy of risk management processes. In gathering such evidence, the internal auditor may consider the following audit procedures:
 - 8.1 Research and review current developments, trends, industry information related to the operation conducted by the agency, and other appropriate sources of information to determine risks and exposures that may affect the agency, including the related control procedures used to address, monitor, and reassess those risks;
 - 8.2 Review agency policies and the minutes of meetings of head of agency or the governing body/audit committee to determine the agency's strategies, risk management philosophy and methodology, appetite for risk, and acceptance of risks;
 - 8.3 Review previous risk evaluation reports issued by senior management, internal auditors, external auditors, and any other sources;
 - 8.4 Conduct interviews with line and senior management to determine agency unit objectives, related risks, and management's risk mitigation and control monitoring activities;

-
- 8.5 Assimilate information to independently evaluate the effectiveness of risk mitigation, monitoring, and communication of risks and associated control activities;
 - 8.6 Assess the appropriateness of reporting lines for risk monitoring activities;
 - 8.7 Review the adequacy and timeliness of reporting on risk management results;
 - 8.8 Review the completeness of management's risk analysis and actions taken to remedy issues raised;
 - 8.9 Determine the effectiveness of management's self-assessment processes through observations, direct tests of control and monitoring procedures, testing the accuracy of information used in monitoring activities, and other appropriate techniques; and
 - 8.10 Review risk-related issues that may indicate weakness in risk management practices and, as appropriate, discuss with senior management, and the head of agency or the governing body/audit committee. If the auditor believes that senior management has accepted a level of risk that is inconsistent with the agency's risk management strategy and policies, or that is deemed unacceptable to the agency, refer to Standard 2600 and related guidance for additional direction.

Managing the Risk of the Internal Audit Service (IAS)

- 9. The role and importance of internal auditing has grown tremendously, and the expectations of key stakeholders (e.g., head of agency or the governing body/audit committee, senior management) continue to expand. IAS has broad mandates to cover financial, operational, information technology, legal/regulatory, and strategic risks. At the same time, many internal audit services face challenges related to the availability of qualified personnel in the global labor markets, increased compensation costs, and high demand for specialized resources (e.g., information systems, fraud, derivatives, taxes). The combination of these factors results in a high level of risk for an IAS. As a result, heads of internal audit need to consider the risks related to their audit activities and the achievement of their objectives.

-
10. The IAS is not immune to risks. It needs to take the necessary steps to ensure that it is managing its own risks.
 11. Risks to internal audit activities fall into three broad categories: audit failure, false assurance, and reputation risks. The following discussion highlights the key attributes related to these risks and some steps an IAS may consider to better manage them.
 12. Every agency will experience control breakdowns. Oftentimes, when controls fail or frauds occur, someone will ask: “Where were the internal auditors?” The IAS could be a contributing factor due to the following:
 - 12.1 Non-compliance with the IASPPS;
 - 12.2 Inappropriate quality assurance and improvement program (see Standard 1300), including procedures to monitor auditor’s independence and objectivity;
 - 12.3 Lack of an effective risk assessment process to identify key audit areas during the strategic risk assessment, as well as areas of high risk during the planning of individual audits — as a result, failure to do the right audits and/or wasted time on the wrong audits;
 - 12.4 Failure to design effective internal audit procedures to test the “real” risks and the right controls;
 - 12.5 Failure to evaluate both the design adequacy and the control effectiveness as part of internal audit procedures;
 - 12.6 Use of audit teams that do not have the appropriate level of competence based on experience or knowledge of high risk areas;
 - 12.7 Failure to exercise heightened professional skepticism and extended internal audit procedures related to observations or control deficiencies;
 - 12.8 Inadequate internal audit supervision;
 - 12.9 Making the wrong decision when there was some evidence of fraud - e.g., “It’s probably not material” or “We don’t have the time or resources to deal with this issue;”
 - 12.10 Failure to communicate suspicions to the right people; and
 - 12.11 Failure to report adequately.

-
13. Internal audit failures may not only be embarrassing for IAS, but they can also expose an agency to significant risk. While there is no absolute assurance that audit failures will not occur, an IAS can implement the following practices to mitigate such risk:
- 13.1 **Quality Assurance and Improvement Program.** It is critical for every IAS to implement an effective quality assurance and improvement program.
 - 13.2 **Periodic Review of the Audit Universe.** Review the methodology to determine the completeness of the audit universe by routinely evaluating the agency's dynamic risk profile.
 - 13.3 **Periodic Review of the Audit Plan.** Review the current audit plan to assess which assignments may be of higher risk. By "flagging" the higher risk assignments, management of the IAS has better visibility and may spend more time understanding the approach to critical assignments.
 - 13.4 **Effective Planning.** There is no substitute for effective audit planning. A thorough planning process that includes updating relevant facts about the client and the performance of an effective risk assessment can significantly reduce the risks of audit failure. In addition, understanding the scope of the assignment and the internal audit procedures to be performed are important elements of the planning process, which will reduce the risks of audit failure. Building IAS management checkpoints into the process and obtaining approval of any deviation from the agreed-upon plan is also key to effective planning.
 - 13.5 **Effective Audit Design.** In most cases, a fair amount of time is spent understanding and analyzing the design of the system of internal controls to determine whether it provides adequate control prior to the start of testing for effectiveness. This provides a firm basis for internal audit comments that address root causes, which can sometimes be the result of poor control design, rather than addressing symptoms. It will also reduce the chance of audit failure by identifying missing controls.
 - 13.6 **Effective Management Review and Escalation Procedures.** Internal audit management's involvement in the internal audit process (i.e., before the draft report) plays an important part in mitigating the risk of audit failure. This involvement may include workpaper reviews, real-time

discussions related to observations, or a closing meeting. By including management of the IAS in the internal audit process, potential issues may be identified and assessed earlier in the assignment. In addition, an IAS may have guidance procedures outlining when and what types of issue to escalate to which level of internal audit management.

- 13.7 **Proper Resource Allocation.** It is important to assign the right staff to each internal audit engagement. It is especially important when planning a higher risk or a very technical engagement. Making sure the appropriate competencies are available on the team can play a significant role in reducing the risk of audit failure. In addition to the right competencies, it is important to ensure that the appropriate level of experience is on the team, including strong project management skills for those leading an internal audit engagement.
14. An IAS may unknowingly provide some level of false assurance. “False assurance” is a level of confidence or assurance based on perceptions or assumptions rather than fact. In many cases, the mere fact that the IAS is involved in a matter may create some level of false assurance.
15. The use of internal audit resources in assisting the agency to identify and evaluate significant exposures to risk needs to be clearly defined for projects other than internal audits. For example, an IAS was asked by an agency unit to provide some “resources” to assist in the implementation of a new agency-wide computer system. The agency unit deployed these resources to support some of the testing of the new system. Subsequent to the deployment, an error in the design of the system resulted in a restatement of the financial statements. When asked how this happened, the agency unit responded by saying that the IAS had been involved in the process and had not identified the matter. Internal audit’s involvement created a level of false assurance that was not consistent with its actual role in the project.
16. While there is no way to mitigate all of the risk of false assurance, an IAS can proactively manage its risk in this area. Frequent and clear communication is a key strategy to manage false assurance. Other leading practices include the following:
- 16.1 Proactively communicate the role and the mandate of the IAS to the senior management, and the head of agency or the governing body/audit committee, and other key stakeholders;

-
- 16.2 Clearly communicate what is covered in the risk assessment, internal audit plan, and internal audit engagement. Also, explicitly communicate what is not in the scope of the risk assessment and internal audit plan; and
 - 16.3 Have a “project acceptance” process to assess the level of risk related to each project and determine the internal audit’s role in the project. The assessment may consider the scope of the project, the role of the IAS, the reporting expectations, the competencies required, and the independence of internal auditors.
- 17. If internal auditors are used to augment the staffing of a project or initiative, document their role and the scope of their involvement, as well as future objectivity and independence issues, rather than using internal auditors as ‘loaned’ resources which may create false assurance. The credible reputation of an IAS is an essential part of its effectiveness. IAS that are viewed with high regard are able to attract talented professionals and are highly valued by their agencies.
 - 18. Maintaining a strong “brand” is paramount to the IAS’s success and ability to contribute to the agency. In most cases, the IAS’s brand is built over several years through consistent, high quality work. Unfortunately, this brand can be destroyed instantly by one high-profile, adverse event.
 - 19. Protecting the reputation and the “brand” of the IAS is important not only to the IAS, but also to the entire agency. It is important that the IAS considers what types of risk it faces that could impact its reputation. Consequently, it should develop mitigation strategies to address these risks. Some practices include the following:
 - 19.1 Implement a strong quality assurance and improvement program over all processes in the IAS, including human resources and hiring;
 - 19.2 Periodically perform a risk assessment for the IAS to identify potential risks that might impact its “brand;”
 - 19.3 Reinforce code of conduct and standards of ethical behavior to internal auditors; and
 - 19.4 Ensure that the IAS is in compliance with all applicable agency policies and practices.

-
20. To the extent that an IAS experiences an event outlined above, the head of internal audit needs to review the nature of the event and gain an understanding of the root causes. This analysis provides insight into the potential changes to be considered in the internal audit process or control environment to mitigate future occurrences.
21. The IAS should carry out the following activities:
- 21.1 Have in place an established process for planning, auditing, and reporting risk management issues.
 - 21.2 Alert management to new risks, as well as risks that have not been adequately mitigated, and provide recommendations and action plans for an appropriate risk response (e.g., accept, pursue, transfer, mitigate, or avoid).
 - 21.3 Obtain sufficient information to evaluate the effectiveness of the agency's risk management processes. By reviewing the agency's strategic plan and policies, and by having discussions with the head of agency or the governing body/audit committee, and senior management, the head of internal audit can gain insight to assess whether the agency's strategic objectives support and align with its mission, vision, and risk appetite.
 - 21.4 Evaluate the responsibilities and risk-related processes of the head of agency or the governing body/audit committee, and those in key risk management roles. To accomplish this, internal auditors may review recently completed risk assessments and related reports issued by senior management, COA auditors, regulators, and other sources.
 - 21.5 Conduct its own risk assessments. Discussions with management, and the head of agency or the governing body/audit committee, and a review of the agency's policies and minutes of meeting will generally reveal the agency's risk appetite, allowing the head of internal audit and the IAS to align their recommended risk responses. The IAS may consider using an established risk management or control framework.
 - 21.6 Evaluate the adequacy and timeliness of management's reporting of risk management results. The IAS may review minutes of meetings of the head of agency or the governing body/audit committee to determine whether the most significant risks are timely communicated to them, and

whether they are acting to ensure that management is appropriately responding.

- 21.7 Take the necessary steps to ensure that it is managing its own risks such as audit failure, false assurance, and reputation risks. Likewise, all corrective actions should be monitored.

STANDARD 2130

Control

The internal audit service (IAS) must assist the agency in maintaining effective controls by evaluating their effectiveness and efficiency, and by promoting continuous improvement.

2130.1 - The IAS must evaluate the adequacy and effectiveness of controls in responding to risks within the agency's governance, operations, and information systems regarding the following:

- Achievement of the agency's strategic objectives;
- Reliability and integrity of financial and operational information;
- Effectiveness and efficiency of operations and programs;
- Safeguarding of assets; and
- Compliance with laws, regulations, policies, procedures, and contracts.

2130.2 - Internal auditors must incorporate knowledge of controls gained from advisory engagements into evaluation of the agency's control processes.

Philippine Application Guidelines 2130

1. To fulfil this Standard, the head of internal audit and internal auditors undertake the following:
 - 1.1 Attain a clear understanding of the concept of control and the characteristics of typical control processes;
 - 1.2 Consider the formal definition of control, as found in the glossary of terms;
 - 1.3 Consider the risk appetite, risk tolerance, and risk culture of the agency through conversations with senior management, and the head of agency or the governing body/audit committee;

-
- 1.4 Understand the critical risks that could inhibit the agency's ability to achieve such objectives, and the controls that have been implemented to mitigate risks to an acceptable level;
 - 1.5 Review the results of previously completed evaluations of key controls, related action plans, and the potential effects of any recent related changes that may introduce new risks;
 - 1.6 Obtain a thorough understanding of the control framework(s) adopted, either formally or informally, by the agency; and
 - 1.7 Understand the responsibilities related to maintaining effective controls. Senior management typically oversees the establishment, administration, and assessment of the control system. Management is generally responsible for the assessment of controls within their respective areas. The IAS provides varying degrees of assurance about the effectiveness of the control processes in place. The division of responsibility may be included in a management control policy for the agency.
2. An agency establishes and maintains effective risk management and control processes. The purpose of control processes is to support the agency in the management of risks and in the achievement of its established and communicated objectives. The control processes are expected to ensure, among other things, the following:
 - 2.1 Financial and operational information possess integrity and are reliable;
 - 2.2 Operations are performed efficiently and are achieving established objectives;
 - 2.3 Assets are safeguarded; and
 - 2.4 Actions and decisions of the agency are in compliance with laws, regulations, and contracts.
3. Controls are designed to mitigate risks at the agency, activity, and transaction levels. A competent evaluation of the effectiveness of controls entails assessing the controls in the context of risks to objectives, at each of those levels. A risk and control matrix may help the internal auditor facilitate such assessments. In employing a risk and control matrix, the IAS may find it helpful to interview management; review organizational plans, policies, and processes;

use walk-throughs, surveys, internal control questionnaires, and flowcharts to obtain information about control design adequacy; and utilize inspections, confirmations, continuous auditing, and data analyses to test control effectiveness. Such a matrix can assist the IAS in the following activities:

- 3.1 Identifying objectives and the risks to achieving them;
 - 3.2 Determining the significance of risks, taking into consideration its likelihood and impact;
 - 3.3 Ascertaining the appropriate response to significant risks (e.g., accept, pursue, transfer, mitigate, or avoid);
 - 3.4 Ascertaining key controls the management uses to manage risks;
 - 3.5 Evaluating the adequacy of the design of controls to help determine whether it may be appropriate to test controls for effectiveness; and
 - 3.6 Testing controls that have been deemed adequately designed to determine whether they are operating as intended.
4. To evaluate the efficiency of controls, internal auditors pursue the following undertakings:
- 4.1 Determine whether management measures and monitors the costs and benefits of controls. This would include identifying whether the resources used in the control processes exceed the benefits, and whether control processes create significant concerns (e.g., errors, delays, or duplication of efforts).
 - 4.2 Assess whether the level of a control is appropriate for the risk it addresses. One tool that many internal auditors use to visually document the relationship is a risk and control map, which plots the risk significance against control effectiveness.
5. Senior management's role is to oversee the establishment, administration, and assessment of the system of risk management and control processes. Among the responsibilities of the agency's line managers is the assessment of the control processes in their respective areas. Internal auditors provide varying degrees of assurance about the effectiveness of the risk management and control processes in selected activities and functions of the agency.

-
6. The head of internal audit forms an overall conclusion about the adequacy and effectiveness of the control processes. The expression of such a conclusion by the head of internal audit will be based on sufficient audit evidence obtained through the completion of audits and, where appropriate, reliance on the work of other external service providers. The head of internal audit communicates the conclusion to senior management, and the head of agency or the governing body/audit committee.
 7. The head of internal audit develops a proposed internal audit plan to obtain sufficient evidence to evaluate the effectiveness of the control processes. The plan includes audit engagements and/or other procedures to obtain sufficient, appropriate audit evidence about all the major operating units and agency functions to be assessed. It also includes a review of the major control processes operating across the agency. The plan should be flexible so that adjustments may be made during the year, as a result of changes in management strategies, external conditions, major risk areas, or revised expectations about achieving the agency's objectives.
 8. The audit plan gives special consideration to those operations mostly affected by recent or unexpected changes. Changes in circumstances can result, for example, from marketplace or investment conditions, acquisitions and divestitures, organizational restructuring, new systems, and new ventures.
 9. In determining the expected audit coverage for the proposed audit plan, the head of internal audit considers relevant work performed by others who provide assurances to senior management. The head of internal audit's audit plan also considers audit work completed by the external auditor, and senior management's own assessments of its risk management processes, controls, and quality improvement processes.
 10. The head of internal audit should evaluate the coverage of the proposed audit plan to determine whether the scope is sufficient to enable the expression of a conclusion about the agency's risk management and control processes. The head of internal audit should inform senior management, and the head of agency or the governing body/audit committee of any gaps in audit coverage that would prevent the expression of a conclusion on all aspects of these processes.
 11. A key challenge for the IAS is to evaluate the effectiveness of the agency's control processes based on the aggregation of many individual assessments. Those assessments are largely gained from internal audit engagements,

reviews of senior management's self-assessments, and other external service providers' work. As the engagements progress, internal auditors communicate, on a timely basis, the observations to the appropriate levels of management, so prompt action can be taken to correct or mitigate the consequences of discovered control discrepancies or weaknesses.

12. In evaluating the overall effectiveness of the agency's control processes, the head of internal audit considers the following:
 - 12.1 Significant discrepancies or weaknesses were discovered;
 - 12.2 Corrections or improvements were made after the discoveries; and
 - 12.3 The discoveries and their potential consequences lead to a conclusion that a pervasive condition exists, resulting in an unacceptable level of risk.
13. The existence of a significant discrepancy or weakness does not necessarily lead to the judgment that it is pervasive and posing an unacceptable risk. The internal auditor considers the nature and extent of risk exposure, as well as the level of potential consequences in determining whether the effectiveness of the control processes is jeopardized, and unacceptable risks exist.
14. The head of internal audit's report on the agency's control processes is normally presented once a year to senior management, and the head of agency or the governing body/audit committee. The report states the critical role played by the control processes in the achievement of the agency's objectives. The report also describes the nature and extent of the work performed by the IAS, and the nature and extent of reliance on other external providers in formulating the conclusion.
15. To promote continuous improvement in maintaining effective controls, the following are observed:
 - 15.1 The IAS provides the senior management, and the head of agency or the governing body/audit committee with an overall assessment; or compiles the results of control evaluations accumulated from individual audit engagements.
 - 15.2 The head of internal audit may recommend the implementation of a control framework if one is not already in place.

-
- 15.3 Internal auditors may make recommendations that enhance the control environment (e.g., a tone at the top that promotes a culture of ethical behavior and low tolerance for noncompliance).
 - 15.4 Additional steps the IAS may take to promote continuous improvement in control effectiveness include the following:
 - 15.4.1 Providing training on controls and ongoing self-monitoring processes;
 - 15.4.2 Facilitating control (or risk and control) assessment sessions for management;
 - 15.4.3 Helping management establish a logical structure for documenting, analyzing, and assessing the agency's design and operation of controls;
 - 15.4.4 Assisting in the development of a process for identifying, evaluating, and remediating control deficiencies;
 - 15.4.5 Helping management keep abreast with emerging issues, laws, and regulations related to control requirements; and
 - 15.4.6 Monitoring technological advancements that may assist with control efficiency and effectiveness.

Information Reliability and Integrity

- 16. Internal auditors determine whether senior management, and the head of agency or the governing body/audit committee have a clear understanding that information reliability and integrity is a senior management responsibility. This responsibility includes all critical information of the agency regardless of how the information is stored. Information reliability and integrity includes accuracy, completeness, and security.
- 17. The head of internal audit determines whether the IAS possesses, or has access to competent audit resources to evaluate the information's reliability, integrity, and associated risk exposures. This includes both internal and external risk exposures, and exposures relating to the agency's relationships with outside agencies.

-
18. The head of internal audit determines whether breaches of information's reliability and integrity, as well as conditions that may represent a threat to the agency are promptly be made known to senior management, the head of agency or the governing body/audit committee, and the IAS.
 19. Internal auditors assess the effectiveness of preventive, detective, and mitigating measures against past attacks, as appropriate, and future attempts or incidents that are deemed likely to occur. Internal auditors determine whether the head of agency or the governing body/audit committee has been appropriately informed of threats, incidents, vulnerabilities exploited, and corrective measures.
 20. Internal auditors periodically assess the agency's information reliability and integrity practices, and recommend, as appropriate, enhancements to, or implementation of new controls and safeguards. Such assessments can either be conducted as separate stand-alone engagements, or integrated into other audits or engagements conducted as part of the internal audit plan. The nature of the engagement will determine the most appropriate means of communicating to senior management, and the head of agency or the governing body/audit committee.

Evaluating an Agency's Privacy Framework

21. In conducting an evaluation of the agency's privacy framework, the internal auditor considers the following:
 - 21.1 Laws (e.g., RA No. 10173, Data Privacy Act of 2012), regulations, and policies relating to data privacy;
 - 21.2 Coordinating with in-house legal counsel to determine the exact nature of laws, regulations, and other standards and practices applicable to the agency;
 - 21.3 Coordinating with information technology specialists to determine that information security and data protection controls are in place, and regularly reviewed and assessed for appropriateness; and

21.4 Level or maturity of the agency's privacy practices. Depending upon the level, the internal auditor may have different roles. The auditor may facilitate the development and implementation of the privacy program; evaluate the senior management's privacy risk assessment to determine the needs and risk exposures of the agency; or provide assurance on the effectiveness of the privacy policies, practices, and controls across the agency. If the internal auditor assumes any responsibility for developing and implementing a privacy program, the internal auditor's independence will be impaired.

STANDARD 2200

Engagement Planning

Internal auditors must develop and document an engagement plan and work program for each engagement, including the engagement's objectives, scope, timing, and resource allocations. The plan must consider agency's strategies, objectives, and risks relevant to the engagement.

Philippine Application Guidelines 2200

Engagement Planning

1. The internal auditor plans and conducts the engagement with supervisory review and approval. Prior to the engagement's commencement, the internal auditor prepares an engagement program that details the following:
 - 1.1 Objectives of the engagement;
 - 1.2 Identified technical requirements, objectives, risks, processes, and transactions that are to be examined;
 - 1.3 Nature and extent of testing required;
 - 1.4 Documentation of the internal auditor's procedures for collecting, analyzing, interpreting, and documenting information during the engagement; and
 - 1.5 Is modified, as appropriate, during the engagement with the approval of the head of internal audit.
2. The head of internal audit should require a level of formality and documentation (e.g., of the results of planning meetings, risk assessment procedures, and level of detail in the work program) that is appropriate to the agency. Factors to consider include the following:
 - 2.1 Whether the work performed and/or the results of the engagement will be relied upon by others (e.g., external auditors, regulators or management);

-
- 2.2 Whether the work relates to matters that may be involved in potential or current litigation;
 - 2.3 Level of experience of the internal audit staff and the level of direct supervision required;
 - 2.4 Whether the project is staffed internally, by guest auditors, or by external service providers;
 - 2.5 Project's complexity and scope;
 - 2.6 Size of the internal audit service (IAS); and
 - 2.7 Value of documentation (e.g., whether it will be used in subsequent years).
- 3. To establish the engagement objectives, internal auditors generally identify data required within the engagement scope. They communicate the scope to management of the area under review, giving management adequate lead time for preparation. Internal auditors also communicate with management or other key personnel in the area under review to ensure availability of key personnel early in the process. Internal auditors also determine the other engagement requirements, such as the period covered and estimated completion dates. They should also consider the final engagement communication format. Planning at this stage facilitates the communication process at the engagement's completion.
 - 4. It is important for internal auditors to understand the engagement planning process used by the agency's IAS, which is often described in the internal audit policies and procedures manual. Additionally, internal auditors typically familiarize themselves with the strategies, objectives, and risks related to the department, area, or process to be reviewed in the upcoming engagement. It may be helpful for internal auditors to inquire whether management has performed a risk assessment in the area under review and, if so, to understand management's opinion on the risk assessment, as well as any related risks and controls in the area of the upcoming audit engagement.
 - 5. The internal auditor informs those in auditee who need to know about the engagement, conducts meetings with auditee responsible for the activity under review, summarizes and distributes the discussions and any conclusions reached from the meetings, and retains the documentation in the engagement working papers. Topics of discussion may include the following:

-
- 5.1 Planned engagement objectives and scope of work;
 - 5.2 Resources and timing of engagement work;
 - 5.3 Key factors affecting conditions and operations of the areas being reviewed, including recent changes in internal and external environment; and
 - 5.4 Concerns or requests from auditee.
6. The head of internal audit determines how, when, and to whom engagement results will be communicated. The internal auditor documents this and communicates it to auditee, to the extent deemed appropriate, during the planning phase of the engagement. The internal auditor communicates to the auditee any subsequent changes that affect the timing or reporting of engagement results.
 7. The last planning step, before internal auditors start fieldwork, typically involves attaining audit management's approval of the engagement work program. The engagement work program may be adjusted — subject to approval by audit management — during fieldwork when new information is obtained.

Using a Top-down, Risk-based Approach to Identify the Controls to be Assessed in an Internal Audit Engagement

8. This Standard should be read in conjunction with Standards 2010 and 2210.
9. This Standard assumes that the objectives for the internal audit engagement have been determined, and the risks to be addressed have been identified in the internal audit planning process. It provides guidance on the use of a top-down, risk-based approach to identify and include in the internal audit scope the key controls relied upon to manage the risks.
10. "Top-down" refers to basing the scope definition on more significant risks of the agency. This is in contrast to developing the scope based on the risks at a specific location, which may not be significant to the agency as a whole. A top-down approach ensures that internal auditing is focused on "providing assurance on the management of significant risks."

-
11. A system of internal control typically includes both manual and automated controls. (Note that this applies to controls at every level — agency, agency process, and information technology (IT) general controls — and in every layer of the control framework; for example, activities in the control environment, monitoring, or risk assessment layers may also be automated.)
 12. Both types of control need to be assessed to determine whether the agency's risks are effectively managed. In particular, the internal auditor needs to assess whether there is an appropriate combination of controls, including those related to IT, to mitigate agency risk within organizational tolerances.
 13. The internal auditor needs to consider the inclusion of procedures to assess and confirm if risk tolerances are current and appropriate. The scope of internal audit needs to include all the controls required to provide reasonable assurance that the risks are effectively managed. These controls are referred to as key controls — those necessary to manage risk associated with a critical objective of an agency.
 14. Only the key controls need to be assessed, although the internal auditor can choose to include an assessment of non-key controls (e.g., redundant, duplicative controls) if there is value to the agency in providing such assurance. The internal auditor may also discuss with auditee whether the non-key controls are required.
 15. Note that where the agency has a mature and effective risk management program, the key controls relied upon to manage each risk will have been identified. In these cases, the internal auditor needs to assess whether the auditee's system or procedure for identification and assessment of key controls is adequate.
 16. The key controls can be in the following form:
 - 16.1 Agency-level controls (e.g., employees are trained and are taking a test to confirm their understanding of the code of conduct). The agency-level controls may be manual, fully automated, or partly automated;
 - 16.2 Manual controls within an agency process (e.g., the performance of a physical inventory);
 - 16.3 Fully automated controls within an agency process (e.g., matching or updating accounts in the general ledger); and

-
- 16.4 Partly automated controls within an agency process (also called “hybrid” or IT-dependent controls), where a manual control relies on application functionality, such as an exception report. If an error in that functionality would not be detected, the entire control could be ineffective. For example, a key control to detect duplicate payments may include the review of a system generated report. The manual part of the control would not ensure the report is complete. Therefore, the application functionality that generated the report should be in the scope. The internal auditor may use other methods or frameworks, as long as all the key controls relied upon to manage the risks are identified and assessed, including manual controls, automated controls, and controls within IT general control processes.
17. Fully and partly automated controls - whether at the agency level or within an agency process - generally rely on the proper design and effective operation of IT general controls.
18. The assessment of key controls may be performed in a single, integrated internal audit engagement or in a combination of internal audit engagements. For example, one internal audit engagement may address the key controls performed by agency process users, while another may cover the key IT general controls, and the third may assess related controls that operate at the agency level. This is common where the same controls (especially those at the agency level or within IT general controls) are relied upon for more than one risk area.
19. Before providing a conclusion on the effective management of the risks covered by the scope of internal audit, it is necessary to assess the combination of all key controls. Even if multiple internal audit engagements are performed, each addressing some key controls, the internal auditor needs to include in the scope of at least one internal audit engagement an assessment of the design of the key controls as a whole (i.e., across all the related internal audit engagements), and whether it is sufficient to manage risks within organizational tolerances.
20. If the scope of internal audit includes some, but not all, key controls required to manage the targeted risks, a scope limitation should be considered and clearly communicated in the internal audit notification and final report.

STANDARD 2201

Planning Considerations

In planning the engagement, internal auditors must consider the following:

- The strategies and objectives of the activity being reviewed, and the means by which the activity controls its performance;
- The significant risks to the activity's objectives, resources, and operations; and the means by which the potential impact of risk is kept to an acceptable level;
- The adequacy and effectiveness of the activity's governance, risk management, and control processes compared to a relevant framework or model; and
- The opportunities for making significant improvements to the activity's governance, risk management, and control processes.

2201.1 - When planning an engagement for parties outside the agency, internal auditors must establish a written understanding with them about objectives, scope, respective responsibilities, and other expectations, including restrictions on distribution of the results of the engagement and access to engagement records.

2201.2 - Internal auditors must establish an understanding with advisory engagement auditees about objectives, scope, respective responsibilities, and other auditee expectations. For significant engagements, this understanding must be documented.

Philippine Application Guidelines 2201

1. Internal auditors can effectively plan for an engagement if they start with an understanding of the mission, vision, objectives, risk, risk appetite, control environment, governance structure, and risk management process of the area or process under review. A preliminary survey could be a valuable tool to help internal auditors achieve a sufficient understanding of the area or process to be audited.

-
2. Developing a risk and control matrix or reviewing an existing one is a common practice used by internal auditors to identify the risks that may impact the objectives, resources, and/or operations of the area or process under review. The risk and control matrix may provide critical feedback on the key risks that have been identified, as well as any mitigating controls. It can also be used to identify key objectives of sub-processes within the area or process to be audited.
 3. During engagement planning, internal auditors typically gather information regarding the audit client's policies and procedures. They also seek to understand the IT systems used by the area under review, along with the sources, types, and reliability of information used in the process, and those that will be evaluated as evidence. Internal auditors also obtain and review the results of work performed by other internal or external assurance providers, and/or the results of prior audit from the area or process under review, if applicable.
 4. It is important for internal auditors to determine whether new processes or conditions have introduced new risks. Additionally, it is helpful for internal auditors to determine the preliminary resources and information needed, including the internal audit skills needed to effectively perform the audit.
 5. Understanding the strategies, objectives, and risks of the area or process to be audited can help internal auditors to evaluate the adequacy and effectiveness of its governance, risk management, and control processes. Internal auditors may review the organizational structure, management roles and responsibilities, management reports, and operating procedures to gain an understanding of the governance, risk management, and control processes. It is also important for internal auditors to review meeting notes during the planning phase of an engagement to determine whether any additional tests should be added to the work program.
 6. During engagement planning, it is important for internal auditors to consider how the IAS can add value. In this regard, internal auditors use their professional judgment, knowledge, and experience to identify opportunities for making significant improvements to the agency's governance, risk management, and control processes.
 7. In addition, internal auditors typically speak with individuals who work in the area or process under review. This can enhance understanding and lead to a more effective engagement planning.

STANDARD 2210

Engagement Objectives

Objectives must be established for each engagement.

2210.1 - Internal auditors must conduct a preliminary assessment of the risks relevant to the activity under review. Engagement objectives must reflect the results of this assessment.

2210.2 - Internal auditors must consider the probability of significant errors, fraud, noncompliance, and other exposures when developing the engagement objectives.

2210.3 - Adequate criteria are needed to evaluate governance, risk management, and controls. Internal auditors must ascertain the extent to which senior management, and the head of agency or the governing body/audit committee has established adequate criteria to determine whether objectives and goals have been accomplished. If adequate, internal auditors must use such criteria in their evaluation. If inadequate, internal auditors must identify appropriate evaluation criteria through discussion with senior management, and the head of agency or the governing body/audit committee.

2210.4 - Advisory engagement objectives must address governance, risk management, and control processes to the extent agreed upon with the auditee.

2210.5 - Advisory engagement objectives must be consistent with the agency's values, strategies, and objectives.

Interpretation

Types of criteria may include:

- i. Internal (e.g., policies and procedures of the agency);*
- ii. External (e.g., laws and regulations imposed by statutory bodies); and*
- iii. Leading practices (e.g., industry and professional guidance).*

Philippine Application Guidelines 2210

1. This Standard clearly states that internal auditors must establish objectives as a part of planning for each engagement. Objectives are typically developed based on key risks which have been identified related to the area or process under review.
2. Generally, internal auditors begin the process of establishing engagement objectives by reviewing the planning considerations (see Standard 2201) and the annual internal audit plan to attain a complete understanding of why the engagement is being conducted, and what the agency aims to achieve.
3. Internal auditors may find it helpful to begin with an understanding of the agency's mission, vision, short-term and long-term goals, key policies and procedures, and manner of relating to the area or process under review. Additionally, it is important for internal auditors to attain a thorough understanding of the strategies, mission, and objectives of the area or process under review, as well as its inputs and outputs.
4. Internal auditors establish engagement objectives to address the risks associated with the activity under review. For planned engagements, the objectives proceed and align to those initially identified during the risk assessment process, from which the internal audit plan is derived. For unplanned engagements, the objectives are established prior to the start of the engagement and are designed to address the specific issue that prompted the engagement.
5. Prior to establishing the engagement objectives, it is helpful for internal auditors to determine whether a risk assessment was performed during the engagement's planning phase and to attain a thorough understanding of the risks of both the agency and the area or process under review. In addition, it is critical to understand the expectations of stakeholders, including senior management, and the head of agency or the governing body/audit committee.
6. The risk assessment during the engagement's planning phase is used to further define the initial objectives and identify other significant areas of concern.
7. Internal auditors can formulate preliminary objectives of engagements through a review of the annual internal audit plan and prior engagement

results; discussions with stakeholders; and consideration of the mission, vision, and objectives of the area or process under review.

8. The preliminary objectives are further enhanced through risk assessment exercises to cover the governance, risk management, and controls of the area or process under review. The engagement objectives articulate what the engagement is specifically attempting to accomplish and determine the engagement scope (see Standard 2220).
9. After identifying the risks, the internal auditor determines the procedures to be performed and the scope (nature, timing, and extent) of those procedures. Engagement procedures performed, in appropriate scope, are the means to derive conclusions related to the engagement objectives.
10. Engagement objectives help internal auditors determine which procedures to perform. They also help internal auditors prioritize the risk and control testing of processes and systems during the engagement. Risk and control testing generally provides assurance regarding design adequacy, operating effectiveness, compliance, efficiency, accuracy, and reporting.
11. During engagement planning, it is helpful for internal auditors to develop a planning memo where they can document the objectives, scope, risk assessment, and priority areas for testing. The planning memo is also an important document to communicate engagement objectives, scope, and other important background information to audit team members.

Philippine Application Guidelines 2210.1

Risk Assessment in Engagement Planning

12. Internal auditors consider the auditee's assessment of risks relevant to the activity under review. The internal auditor also considers the following:
 - 12.1 Reliability of auditee's assessment of risk;
 - 12.2 Auditee's process for monitoring, reporting, and resolving risk and control issues;
 - 12.3 Auditee's reporting of events that exceeded the limits of the agency's risk appetite and the auditee's response to those reports; and

-
- 12.4 Risks in related activities that are relevant to the activity under review.
13. Internal auditors obtain or update background information about the activities to be reviewed to determine the impact on the engagement objectives and scope.
14. If appropriate, internal auditors may conduct a survey to become familiar with the activities, risks, and controls. This is to identify areas for engagement emphasis and invite comments and suggestions from auditees.
15. Internal auditors summarize the results from the reviews of auditee's assessment of risk, background information, and any survey work. The summary includes the following:
- 15.1 Significant engagement issues and reasons for pursuing them with more depth;
 - 15.2 Engagement objectives and procedures;
 - 15.3 Methodologies to be used, such as technology-based audit and sampling techniques;
 - 15.4 Potential critical control points, control deficiencies, and/or excess controls; and
 - 15.5 When applicable, reasons for not continuing the engagement or significantly modifying engagement objectives.

STANDARD 2220

Engagement Scope

The established scope must be sufficient to achieve the objectives of the engagement.

2220.1 - The scope of the engagement must include consideration of relevant systems, records, personnel, and physical properties, including those under the control of third parties.

2220.2 - If significant advisory opportunities arise during an assurance engagement, a specific written understanding as to the objectives, scope, respective responsibilities, and other expectations should be reached, and the results of the advisory engagement communicated in accordance with advisory standards.

2220.3 - In performing advisory engagements, internal auditors must ensure that the scope of the engagement is sufficient to address the agreed-upon objectives. If internal auditors develop reservations about the scope during the engagement, these reservations must be discussed with the auditee to determine whether to continue with the engagement.

2220.4 - During advisory engagements, internal auditors must address controls consistent with the engagement's objectives and be alert to significant control issues.

Philippine Application Guidelines 2220

1. Internal auditors are tasked with establishing an engagement scope that is sufficient to achieve the engagement objectives. Because an engagement generally cannot cover everything, internal auditors must determine what should and should not be included. When internal auditors establish the engagement scope, they generally consider factors such as the boundaries of the area or process, in-scope versus out-of-scope locations, sub-processes, components of the area or process, and time frame. The time frame may be based on a point in time, a fiscal quarter, a calendar year, or another predetermined period of time.

-
2. Internal auditors typically review the planning considerations (see Standard 2201) and the engagement objectives (see Standard 2210) to attain an understanding of the key risks identified during the planning phase. This allows them to achieve a thorough understanding of how best to link the engagement scope to the objectives. It is important for internal auditors to carefully consider the boundaries of the engagement, as the scope must cover enough breadth to achieve the engagement's objectives.
 3. To ensure the scope is sufficient to meet the engagement's objectives, and that it aligns with the agency's annual internal audit plan, internal auditors must use sound professional judgment based on relevant experience and/or supervisory assistance. When determining the scope, it is helpful for them to review the engagement's objectives to ensure that each objective can be accomplished under the established parameters.
 4. Internal auditors generally consider and document any scope limitations, as well as any requests from the client or stakeholders that items be included or excluded in the scope. If internal auditors encounter scope limitations, these must be reported in the final engagement communication.

STANDARD 2230

Engagement Resource Allocation

Internal auditors must determine appropriate and sufficient resources to achieve engagement objectives, based on an evaluation of the nature and complexity of each engagement, time constraints, and available resources.

Interpretation

Appropriate refers to the mix of knowledge, skills, and other competencies needed to perform the engagement. Sufficient refers to the quantity of resources needed to accomplish the engagement with due professional care.

Philippine Application Guidelines 2230

1. Internal auditors must ensure that resources are allocated to achieve the objectives of the engagement. Before determining how best to allocate engagement resources, internal auditors generally attain an understanding of the engagement's objectives and scope by reviewing the planning documents. It is also essential for internal auditors to understand the nature and complexity of the engagement through discussions with key stakeholders, including management in the area to be audited.
2. It is important for internal auditors to inventory not only the staff resources, but also the available technology that may be helpful or necessary to perform a quality engagement. They may also consider whether additional outside resources or technology are necessary to complete the engagement. By reviewing the engagement work program, internal auditors may gain a thorough understanding of how much time each step is expected to take. They should be aware of the number of hours budgeted for the engagement, as well as any time, language, logistical, or other constraints for any relevant party (e.g., members of the internal audit service [IAS], management in the area under review, senior management, the head of agency or the governing body/audit committee, and/or external parties).
3. If the IAS does not have appropriate and sufficient resources on staff, the head of internal audit is expected to obtain competent advice or assistance to fill

any gaps. Standard 1210 provides further guidance on obtaining the knowledge, skills, and other competencies necessary to perform internal audit responsibilities.

4. Internal auditors typically evaluate the engagement work program and use their professional judgment in determining the type and quantity of resources to allocate to an engagement, to best accomplish its objectives. It is important to assign the appropriate personnel to the engagement based on their availability, knowledge, skills, and experiences. Specialized skill sets (e.g., financial reporting, information technology, cost analysis, asset disposition, construction, industry-specific skills, and others) can be invaluable to the IAS if utilized properly. Therefore, it is important for internal auditors to exercise care when selecting the best available resource for the engagement.
5. If the specialized skills of the available internal auditors are not sufficient to perform the engagement, internal auditors typically consider whether additional training is an option, or whether closer supervision would be appropriate. In situations where the existing internal audit staff lacks the expertise or knowledge to perform the engagement, internal auditors may consider supplementing existing resources with other options, such as using external service providers.
6. Internal auditors should discuss with the head of internal audit any concerns related to the resources allocated to the engagement. Internal auditors may consider tracking the actual time spent performing the engagement against the budgeted time. The causes for, and effects of, significant overrun may be documented as a lesson learned for future planning purposes.
7. Internal auditors consider the following when determining the appropriateness and sufficiency of resources:
 - 7.1 Number and experience level of the internal audit staff;
 - 7.2 Knowledge, skills, and other competencies of the internal audit staff when selecting internal auditors for the engagement;
 - 7.3 Availability of external resources when additional knowledge and competencies are required; and
 - 7.4 Training needs of internal auditors as each engagement assignment serves as a basis for meeting the IAS's developmental needs.

STANDARD 2240

Engagement Plan and Work Program

Internal auditors must develop and document work programs that achieve the engagement objectives.

2240.1 - Work programs must include the procedures for identifying, analyzing, evaluating, and documenting information during the engagement. The work program must be approved prior to its implementation, and any adjustments approved promptly.

2240.2 - Work programs for advisory engagements may vary in form and content depending upon the nature of the engagement.

Philippine Application Guidelines 2240

1. Internal auditors begin with a clear and thorough understanding of the engagement's objectives and scope, as well as the key risks and controls in the area or process under review. Typically, they have a complete understanding of the resources available for the engagement. These information shall be documented in the engagement plan.
2. The above information, as well as the approach and methodologies to be used, such as technology-based audit and sampling techniques, period of audit, significant dates, assignment of area/process, shall be documented in the engagement plan to be approved by the head of internal audit.
3. The process of collecting, analyzing, interpreting, and documenting information is to be supervised to provide reasonable assurance that engagement's objectives are met, and that the internal auditor's objectivity is maintained.
4. Before developing the work program, internal auditors may find it useful to consider many aspects of the upcoming engagement, including the following:
 - 4.1 Appropriate sample size for testing, and methodologies to be used;
 - 4.2 Risk register or risk matrix, and how it applies to the development of the work program;

-
- 4.3 Scope of the engagement;
 - 4.4 How engagement objectives will be achieved;
 - 4.5 Whether the necessary resources are available; and
 - 4.6 Judgments and conclusions made during the engagement's planning phase.
- 5. Internal auditors shall develop and obtain documented approval of engagement work programs before commencing the engagement field work. When developing the engagement plan, internal auditors generally consider the risks in the area or process under review. The plan is based on the engagement objectives and scope. It typically includes resource deployment plans and describes the techniques or methodologies that will be used to conduct the engagement (e.g., sampling techniques). It is important for internal auditors to determine which tests or audit steps are necessary to assess the risks in the area or process under review and to test the existing controls. Additionally, internal auditors should ensure that the tests are specific enough to avoid scope creep.
 - 6. To develop an effective work program, internal auditors consider the nature, extent, and timing of the audit tests required to achieve the engagement objectives. Each engagement procedure in the work program should be designed to test a particular control that addresses risk. It is also important that the work program be developed and documented in such a way that ensures all the members of engagement team understand what they need to do, and which tasks remain to be performed.
 - 7. The format of work programs may vary by engagement or agency. Commonly used formats include standard templates or checklists to document completion of planning steps, memoranda that summarize tasks completed, and additional columns in the risk and control matrix. Well documented work programs assist in communicating roles, responsibilities, and tasks to the members of the engagement team. They may include signoff for completed work, the names of the internal auditors who completed the work, and the date the work was completed.
 - 8. Engagement work programs must be approved by the head of internal audit before the commencement of engagement fieldwork. However, with new information and knowledge gained during fieldwork, the engagement work program may be adjusted, subject to prompt approval of the head of internal audit.

STANDARD 2300

Performing the Engagement

Internal auditors must identify, analyze, evaluate, and document sufficient information to achieve the engagement's objectives.

Philippine Application Guidelines 2300

Use of Personal Information in Conducting Engagements

1. Internal auditors need to consider concerns relating to the protection of personal information gathered during audit engagements, as advances in information technology and communications continue to present privacy risks and threats.
2. Personal information generally refers to any information, whether recorded in a material form or not, from which the identity of an individual is apparent or can be reasonably and directly ascertained by the agency holding the information, or when put together with other information would directly and certainly identify an individual.
3. Internal auditors should not use and process personal information other than for the realization of audit objectives and procedures stated in the audit plan.
4. It may be inappropriate, and in some cases illegal, to access, retrieve, review, manipulate, or use personal information in conducting certain internal audit engagements. If the internal auditor has access to personal information, it may be necessary to develop procedures to safeguard this information. For example, in some situations, the internal auditor may decide not to record personal information in engagement records.
5. The internal auditor may seek advice from legal counsel before beginning the audit work, if there are questions or concerns about access to personal information.

STANDARD 2310

Identifying Information

Internal auditors must identify sufficient, reliable, relevant, and useful information to achieve the engagement's objectives.

Interpretation

Sufficient information is factual, adequate, and convincing so that a prudent, informed person would reach the same conclusions as the auditor. Reliable information is the best attainable information through the use of appropriate engagement techniques. Relevant information supports engagement observations and recommendations, and is consistent with the objectives for the engagement. Useful information helps the agency meet its goals.

Philippine Application Guidelines 2310

1. The internal audit service (IAS) uses a systematic and disciplined approach to evaluate and improve the effectiveness of governance, risk management, and control processes. The systematic and disciplined approach requires that internal auditors identify, analyze, evaluate, and document information to support the results of an engagement and the conclusions of internal auditors.
2. Internal auditors begin gathering information, which includes audit evidence, when planning the engagement. A review of the engagement objectives and engagement work program helps prepare internal auditors to identify sufficient, reliable, relevant, and useful information. The work program prescribes the procedures internal auditors use to perform the engagement.
3. It may be helpful for internal auditors to review the agency's policies and jurisdictional laws related to data privacy before beginning the engagement work. They may also consult with the agency's legal counsel or other applicable subject matter experts to address any questions or concerns about access to personal information.
4. The process of identifying information is facilitated by open and collaborative communication between the internal auditor and the agency's personnel,

especially those directly involved with the area or process under review. Establishing and maintaining effective channels of communication is an important aspect of performing the engagement. Organizational independence of the IAS is also essential for open communication.

5. The reliability of the audit information depends on the use of appropriate engagement techniques. Some techniques take longer or require more resources than others, but may be worth the investment because they enable a higher level of assurance. In general, simple manual audit procedures include the following:
 - 5.1 Inspecting physical evidence, such as the physical property of the area under review;
 - 5.2 Examining documentation from either the auditee or outside sources;
 - 5.3 Gathering testimonial evidence through interviews, surveys, or risk and control self-assessments;
 - 5.4 Conducting a walk-through to observe a process in action; and
 - 5.5 Examining data that is continuously monitored via technology.
6. The sufficiency and reliability of information increase when the information is current, corroborated, and/or obtained directly by an internal auditor (e.g., observing a process or reviewing documentation) or from an independent third party. Information is also more reliable when it is gathered from a system where the controls are effectively operating.
7. Because engagement resources are limited, it is important for internal auditors to identify and prioritize the most relevant and useful information (i.e., information that supports or gives credibility to engagement observations and recommendations). It is also important for internal auditors to critically assess all of the engagement information as a whole, rather than rely on a singular example, as their conclusions and advice are based on evidence that is persuasive rather than absolute.

STANDARD 2320

Analysis and Evaluation

Internal auditors must base conclusions and engagement results on appropriate analyses and evaluations.

Philippine Application Guidelines 2320

Analytical Procedures

1. Internal auditors are required to analyze and evaluate the information obtained during the engagement before drawing conclusions. When planning the engagement and creating the work program, internal auditors may have completed several engagement steps and generated important information, including a risk and control matrix and an evaluation of the adequacy of control design. The work program often links to workpapers that document the work completed, information produced, and resulting decisions. Examples of typical workpapers include planning memorandum or checklist; flowcharts or narrative descriptions of key processes; process-level risk map; and risk and control matrix that documents the links among risks, controls, the testing approach, summaries of interviews, results, evidence, and conclusions.
2. Performing the engagement generally involves conducting the tests prescribed in the work program to gather evidence about the operating effectiveness of key controls. Based on the risk and control matrix and the work program, internal auditors are likely to have a list of specific procedures and tests to be conducted. Other factors that are usually established in the work program include management assertions; testing objectives, criteria, approach, procedures, and population; and sampling methodology and sample sizes. However, some details may still need to be determined in the early stages of performing the engagement.
3. Ultimately, internal auditors seek to reach conclusions as a result of executing the work program (e.g., a conclusion about whether controls are effective in mitigating risks to an acceptable level). With sufficient information about both the design adequacy and the operating effectiveness of controls, internal auditors can conclude on whether existing controls are adequate to help achieve the objectives of the area or process under review.

-
4. The extent of testing depends on whether test results have produced sufficient audit evidence on which internal auditors can base their conclusions or advice. If the testing procedures prescribed in the work program do not provide sufficient information to make conclusions and recommendations, internal auditors may need to adjust the testing plan and perform additional testing.
 5. Testing approaches often include a combination of manual audit procedures and computer-assisted audit techniques (CAATs). The latter includes generalized auditing software programs, and programs that specialize in testing the processing logic and controls of other software and systems. Like the testing information described previously, the engagement testing procedures are usually determined during the development of the engagement work program.
 6. Internal auditors may test a complete population or a representative sample of information. If they choose to select a sample, they are responsible for applying methods to assure that the sample selected represents the whole population and/or time period to which the results will be generalized. The use of CAATs may enable the analysis of an entire population of information, rather than just a sample.
 7. Simple manual audit procedures include gathering information through inquiry (e.g., interviews or surveys), observation, and inspection. Other manual audit procedures may be longer to conduct, but generally provide a higher level of assurance. Examples of manual audit procedures include the following:
 - 7.1 **Vouching** – Internal auditors test the validity of documented or recorded information by following it backward to a tangible resource or a previously prepared record.
 - 7.2 **Tracing** – Internal auditors test the completeness of documented or recorded information by tracking information forward from a document, record, or tangible resource to a subsequently prepared document.
 - 7.3 **Reperformance** – Internal auditors test the accuracy of a control by reperforming the task, which may provide direct evidence of the control's operating effectiveness.
 - 7.4 **Independent confirmation** – Internal auditors solicit and obtain written verification of the accuracy of information from an independent third party.

-
8. Analytical procedures are used to compare information against expectations, based on an independent (i.e., unbiased) source, and the premise that certain relationships between information can be reasonably expected in the absence of conditions to the contrary. Analytical procedures may also be used during engagement planning. Examples of analytical procedures include the following:
 - 8.1 Ratio, trend, and regression analysis;
 - 8.2 Reasonableness tests;
 - 8.3 Period-to-period comparisons;
 - 8.4 Forecasts; and
 - 8.5 Benchmarking information against similar industries or organizational units.
 9. Internal auditors may further investigate any significant deviations from the expectations to determine the cause and/or reasonableness of the variance (e.g., fraud, error, or a change in conditions). Unexplainable results may indicate a need for additional follow-up, and may suggest the presence of a significant problem that should be communicated to senior management, the head of agency or the governing body/audit committee.

Root Cause Analysis

10. Internal auditors apply their experience, logic, and professional skepticism to evaluate the information discovered throughout the engagement and reach logical conclusions. Internal auditors generally approach engagements with an objective and inquisitive mind, searching strategically for information that could fulfill the engagement objectives. At each step in the engagement process, they apply professional experience and professional skepticism to evaluate whether evidence is sufficient and appropriate to formulate conclusions and/or recommendations.
11. According to Standard 2330, internal auditors must document information that logically supports the engagement results and conclusions. However, this does not mean that internal auditors should exclude relevant information that may contradict the conclusions.

-
12. Internal auditors often conduct a root cause analysis to identify the underlying reason for the occurrence of an error, problem, missed opportunity, or instance of noncompliance. Root cause analyses enable internal auditors to add insights that improve the effectiveness and efficiency of the agency's governance, risk management, and control processes.
 13. However, these analyses also sometimes require extensive resources, such as time and subject matter expertise. Thus, when conducting a root cause analysis, internal auditors must exercise due professional care by considering effort in relation to the potential benefits.
 14. Although complex issues may require more rigorous analyses, in certain circumstances, a root cause analysis may be as simple as asking a series of "why" questions in an attempt to identify the root cause of a variance. For example: The worker fell. Why? Because oil was on the floor. Why? Because a part was leaking. Why? Because the part keeps failing. Why? Because the quality standards for suppliers are insufficient.
 15. Most root causes can be traced back to decisions, actions, or inactions by a person or a group of people. However, determining a true root cause may be difficult and subjective, even after internal auditors have performed an analysis of quantitative and qualitative data. In some cases, multiple errors with varying degrees of influence may combine to form the root cause of an issue, or the root cause may involve a risk related to a broader issue such as the organizational culture. Therefore, internal auditors may choose to include input from several internal and external stakeholders.
 16. In some cases, internal auditors may provide a variety of possible root causes for management to consider, based on an independent and objective evaluation of various scenarios as the root cause of an issue. When the time frame or skill levels needed to complete the root cause analysis exceed that which is available within the internal audit service, the head of internal audit may recommend that management address the underlying issue and conduct further work to identify the root cause.

STANDARD 2330

Documenting Information

Internal auditors must document sufficient, reliable, relevant, and useful information to support the engagement results and conclusions.

2330.1 - The head of internal audit must control access to engagement records. The head of internal audit must obtain the approval of senior management, legal counsel, or head of agency prior to releasing such records to external parties, as appropriate.

2330.2 - The head of internal audit must develop retention requirements for engagement records, regardless of the medium in which each record is stored. These retention requirements must be consistent with the agency's guidelines and any pertinent regulatory or other requirements.

2330.3 - The head of internal audit must develop policies governing the custody and retention of advisory engagement records, as well as their release to internal and external parties. These policies must be consistent with the agency's guidelines and any pertinent regulatory or other requirements.

Philippine Application Guidelines 2330

Documenting Information

1. Engagement workpapers are used to document the information generated throughout the engagement process, including planning; testing, analyzing, and evaluating data; and formulating engagement results and conclusions. Workpapers may be maintained physically on a paper, electronically, or both. The use of internal audit software may enhance consistency and efficiency.
2. The content, organization, and format of workpapers generally vary by agency and the nature of the engagement. However, it is important to achieve the workpaper consistency within the internal audit service (IAS), as much as possible, as it generally helps facilitate the sharing of engagement information

and the coordination of audit activities. It is logical for the head of internal audit to develop guidelines and procedures for completing workpapers for various types of engagements because the head of internal audit is responsible for such coordination and for developing the IAS's policies and procedures (see Standard 2050). The use of standardized, yet flexible, workpaper formats or templates improves the efficiency and consistency of the engagement process.

3. Commonly standardized workpaper elements include the general layout, "tick-mark" notation (i.e., symbols used to represent specific audit procedures), system of cross-referencing to other workpapers, and designated information that should be permanently saved or carried forward into other engagements. Before documenting engagement information, internal auditors should review and understand their organization's particular workpaper development procedures, standardized notations, and any available templates or software that the IAS uses.
4. Effective workpapers contain information that is sufficient and relevant to the engagement objectives, observations, conclusions, and recommendations which makes the information useful in helping the agency meet its goals.
5. Workpapers may include the following elements:
 - 5.1 Index or reference number;
 - 5.2 Title or heading that identifies the area or process under review;
 - 5.3 Date or period of the engagement;
 - 5.4 Scope of work performed;
 - 5.5 Statement of purpose for obtaining and analyzing the data;
 - 5.6 Source(s) of data covered in the workpaper;
 - 5.7 Description of population evaluated, including the sample size and method of selection;
 - 5.8 Methodology used to analyze data;
 - 5.9 Details of the tests conducted and analyses performed;
 - 5.10 Conclusions, including cross-referencing to the workpaper on audit observations;
 - 5.11 Proposed follow-up engagement work to be performed;

-
- 5.12 Name of the internal auditor(s) who performed the engagement work;
and
- 5.13 Review notation and name of the internal auditor(s) who reviewed the
work.
6. Generally, workpapers are organized according to the structure developed in the work program and cross-referenced to relevant pieces of information. The end result is a complete collection of the documentation (electronic, paper, or both) of procedures completed, information obtained, conclusions reached, recommendations derived, and the logical basis for each of the steps. This documentation constitutes the primary source of support for internal auditors' communication with stakeholders, including senior management of the area or process under review, or the head of agency or governing body/audit committee.

STANDARD 2340

Engagement Supervision

Engagements must be properly supervised to ensure objectives are achieved, quality is assured, and staff is developed.

Interpretation

The extent of supervision required will depend on the proficiency and experience of internal auditors and the complexity of the engagement. The head of internal audit has overall responsibility for supervising the engagement, whether performed by or for the internal audit service (IAS), but may designate appropriately experienced members of the IAS to perform the review. Appropriate evidence of supervision is documented and retained.

Philippine Application Guidelines 2340

1. The head of internal audit has overall responsibility for supervising engagements to ensure that objectives are achieved, quality is assured, and staff is developed. Thus, when planning how the engagement will be supervised, the head of internal audit should review the engagement objectives, and the internal audit policies and procedures that support fulfillment of this Standard.
2. Before the engagement planning process begins, the head of internal audit usually develops internal audit policies and procedures to address how engagements are planned, performed, and supervised (see Standard 2040). Such policies and procedures may specify software programs or templates that internal auditors should use to establish consistent formats for work programs and workpapers.
3. Similarly, policies and procedures may address opportunities for staff development, such as a policy requiring post-engagement meetings between/ among the internal auditor(s) who performed the engagement, and the head of internal audit or designated engagement supervisor.

-
4. The engagement supervisor typically maintains ongoing communication with the internal auditor(s) assigned to perform the engagement, and with the management of the area or process under review. The engagement supervisor usually reviews the engagement workpapers that describe the audit procedures performed, information identified, and observations and preliminary conclusions made during the engagement.
 5. The engagement supervisor evaluates whether the information, testing, and results are sufficient, reliable, relevant, and useful to achieve the engagement's objectives and are supporting the engagement's results and conclusions, as required by Standard 2330. Engagement supervisors review engagement communications and workpapers for these elements, because workpapers provide the primary support for engagement communications.
 6. Throughout the engagement, the engagement supervisor and head of internal audit meet with the internal auditor(s) assigned to perform the engagement and discuss the engagement process which provides opportunities for training, development, and evaluation of the internal auditor(s).
 7. When reviewing the engagement communications and engagement workpapers, which document all aspects of the engagement process, supervisors may ask for additional evidence or clarification.
 8. Internal auditors may have an opportunity to improve their work by answering questions posed by the engagement supervisor. Usually, the supervisor's review notes are cleared from the final documentation once adequate evidence has been provided, or workpapers have been amended with additional information that addresses the concerns and/or questions raised by the supervisor. Another option is for the IAS to retain a separate record of the engagement supervisor's concerns and questions, the steps taken to resolve them, and the results of those steps.
 9. The head of internal audit is responsible for all internal audit engagements and all significant professional judgments made throughout the engagements, whether by the IAS or others performing the work for the IAS. Therefore, the head of internal audit usually develops policies and procedures designed to minimize the risk that internal auditors will make judgments or take actions that are inconsistent with the head of internal audit's professional judgment, and could adversely affect the engagement.

-
10. The head of internal audit usually establishes a means for resolving any professional judgment differences that may arise. This may include discussing pertinent facts, pursuing additional inquiry or research, and documenting and concluding on the differing viewpoints in engagement workpapers. If there is a difference in professional judgment over an ethical issue, the issue may be referred to those individuals in the agency who have responsibility over ethical matters.

STANDARD 2400

Communicating Results

Internal auditors must communicate the results of engagements.

Philippine Application Guidelines 2400

Considerations in Communicating Results

1. Audit reporting represents the culmination of the audit execution, and the report sets out the observations in appropriate format, and provides the pieces of evidence gathered to arrive at the audit observations and the recommendations.
2. Internal auditors must have a clear understanding of engagement communication requirements. The head of internal audit also should understand the expectations of the head of agency or the governing body/audit committee, regarding communication related to engagement results.
3. Internal auditors should understand the policies and procedures in the audit manual — or any other stakeholder expectations — and the use of any standard templates to ensure consistency in developing observations and conclusions. Standard 2040 provides more information about the head of internal audit's responsibilities related to policies and procedures.
4. In communicating results, internal auditors consider the communication plan which includes the following:
 - 4.1 Criteria for communicating (Standard 2410);
 - 4.2 Quality of the communications (Standard 2420); and
 - 4.3 Dissemination of results (Standard 2440).
5. After determining that these communication standards have been met, the internal auditor confirms how the results of the engagement will be communicated. The workpapers will indicate which results will be communicated verbally, and which will be communicated in writing.

-
6. Moreover, the internal auditor is encouraged to consult legal counsel in matters involving legal issues.

STANDARD 2410

Criteria for Communicating

Communications must include the engagement's objectives, scope, and results.

2410.1 - Final communication of engagement results must include applicable conclusions, as well as applicable recommendations and/or action plans. Where appropriate, the internal auditors' conclusion should be provided. A conclusion must take into account the expectations of senior management, the head of agency or the governing body/audit committee, and other stakeholders, and must be supported by sufficient, reliable, relevant, and useful information.

2410.2 - Internal auditors are encouraged to acknowledge satisfactory performance in engagement communications.

2410.3 - When releasing engagement results to parties outside the agency, the communication must include limitations on distribution and use of the results.

2410.4 - Communication of the progress and results of advisory engagements will vary in form and content depending upon the nature of the engagement, and the needs of the auditee.

Interpretation

Conclusions at the engagement level may be ratings or other descriptions of the results. Such an engagement may be in relation to controls around a specific process, risk, or unit of the agency. The formulation of such conclusions requires consideration of the engagement results and their significance.

Philippine Application Guidelines 2410

1. Final engagement communications may vary in format and content but should contain, at a minimum, the purpose, scope, observations, recommendations, auditee's views, and conclusion.

-
2. Purpose statements describe the objectives, reasons, and expectations from the engagement.
 3. Scope statements identify the audited activities and describe the nature and extent of engagement work performed.
 4. Results include observations and recommendations to be communicated through formal memorandum and/or report.
 - 4.1 Engagement observations and recommendations emerge through a process of comparing criteria with condition. Whether or not there is a difference, the internal auditor has a foundation on which to build the report. When conditions meet the criteria, communication of satisfactory performance may be appropriate. Observations are based on the following attributes:
 - 4.1.1 **Criteria.** The standards, measures, or expectations used in making an evaluation and/or verification (the correct state).
 - 4.1.2 **Condition.** The factual evidence that the internal auditor found in the course of the examination (the current state).
 - 4.1.3 **Cause.** The reason for the difference between expected and actual conditions.
 - 4.1.4 **Effect.** The risk or exposure the agency and/or others encounter, because the condition is not consistent with the criteria (the impact of the difference). In determining the degree of risk or exposure, internal auditors consider the effect their engagement observations may have on the agency's operations and financial statements.
 - 4.2 Qualities of a good recommendation are as follows:
 - 4.2.1 It is practical. It can be readily and economically implemented;
 - 4.2.2 It eliminates the cause(s) of the condition(s);
 - 4.2.3 It is clearly worded and specifies what action should be taken and who should do it. A good recommendation avoids such vague statements like "appropriate action should be taken as soon as possible;" and

4.2.4 It is in accordance with laws, rules, and regulations.

5. The internal auditor may communicate recommendations for improvements, acknowledgments of satisfactory performance, and corrective actions. Recommendations are based on the internal auditor's observations. They call for action to correct existing conditions or improve operations. They may also suggest approaches to correcting or enhancing performance, as a guide for senior management in achieving desired results. Recommendations can be general or specific. For example, under some circumstances, the internal auditor may recommend a general course of action and specific suggestions for implementation. In other circumstances, the internal auditor may suggest further investigation or study.
6. Observations and recommendations can include engagement auditee's accomplishments, related issues, and supporting information. The internal auditor may communicate the engagement auditee's accomplishments in terms of improvements since the last engagement, or the establishment of a well-controlled operation. This information may be necessary to fairly present the existing conditions, and provide perspective and balance to the engagement's final communications.
7. The internal auditor may communicate the engagement auditee's views about the internal auditor's observations and recommendations, as stated in the Internal Audit Observation Memorandum (IAOM) or its equivalent. As part of the internal auditor's discussions of the engagement, the internal auditor obtains agreement on the results of the engagement and on any necessary plan of action to improve operations. If the internal auditor and auditee disagree about the engagement results, the engagement communications state both the positions and reasons for the disagreement. The auditee's written views may be included as an appendix to the engagement report, in the body of the report, or in a cover letter.
8. Conclusions are the internal auditor's evaluations of the effects of the observations and recommendations on the activities reviewed. They usually put the observations and recommendations in a perspective that is based upon their overall implications.

STANDARD 2420

Quality of Communications

Communications must be accurate, objective, clear, concise, constructive, complete, and timely.

Interpretation

Accurate communications are free from errors and distortions, and are faithful to the underlying facts. Objective communications are fair, impartial, and unbiased and are the result of a fair-minded and balanced assessment of all relevant facts and circumstances. Clear communications are easily understood and logical, avoiding unnecessary technical language and providing all significant and relevant information. Concise communications are to the point and avoid unnecessary elaboration, superfluous detail, redundancy, and wordiness.

Constructive communications are helpful to the auditee and the agency, and lead to improvements, where needed. Complete communications lack nothing that is essential to the target audience, and include all significant and relevant information and observations to support recommendations and conclusions. Timely communications are opportune and expedient, depending on the significance of the issue, allowing management to take appropriate corrective action.

Philippine Application Guidelines 2420

1. Elements of a quality communication are the following:
 - 1.1 **Accurate.** The Interpretation notes that accurate communications are free from errors and distortions, and faithful to the underlying facts. To maintain accuracy, it is important to use precise wordings supported by evidence gathered during the engagement. Additionally, internal auditors are required to “disclose all material facts known to them that, if not disclosed, may distort the reporting of activities under review.” If an error in communications does occur, the head of internal audit must communicate the corrected information, as described in Standard 2421.

-
- 1.2 **Objective.** To ensure objectivity in communications, internal auditors use unbiased phrasing, and focus on deficiencies in processes and their execution. Objectivity begins with the unbiased mental attitude that internal auditors should possess when performing engagements. The Core Principles also highlight the importance of objectivity, and specify that for an internal audit service (IAS) to be considered effective, the internal auditors and the IAS should be objective and free from undue influence (independent).
- 1.3 **Clear.** Clarity in communications is increased when internal auditors use a language that is easily understood by the intended audience, and is consistent with the terminologies used in the industry and by the organization. Furthermore, clear communications avoid unnecessary technical language. It also points out that clear communications are logical, a hallmark of the systematic, disciplined, and risk-based approach of internal audit work. As such, clarity is enhanced when internal auditors communicate important observations and findings, and logically support recommendations and conclusions for a particular engagement.
- 1.4 **Concise.** Internal auditors ensure that communications are concise by avoiding redundancies and excluding information that is unnecessary, insignificant, or unrelated to the engagement.
- 1.5 **Constructive.** It is helpful for internal auditors to use a constructive tone throughout a communication that reflects the severity of the observations. Constructive communications enable a collaborative process of determining solutions that facilitate positive change in the subject of the engagement and/or the organization. Ultimately, as indicated by the Definition of Internal Auditing, internal auditors seek to help the organization accomplish its objectives.
- 1.6 **Complete.** To ensure completeness of communications, it is helpful for internal auditors to consider any information essential to the target audience. Complete and written communications generally enable the reader to reach the same conclusion as the IAS did.
- 1.7 **Timely.** It is important that internal auditors submit all communications within the deadlines established during the planning phase. Timeliness may be different for each organization. To determine what is timely, internal auditors often benchmark and conduct other research relative

to the engagement subject. Additionally, the head of internal audit or the internal auditor may establish key performance indicators that measure timeliness.

STANDARD 2421

Errors and Omissions

If a final communication contains a significant error or omission, the head of internal audit must communicate corrected information to all parties who received the original communication.

Philippine Application Guidelines 2421

1. The head of internal audit should understand the expectations of the head of agency or the governing body/audit committee regarding which errors or omissions they would consider significant. Significance is defined as “the relative importance of a matter within the context in which it is being considered, including quantitative and qualitative factors, such as magnitude, nature, effect, relevance, and impact.” Professional judgment assists internal auditors when evaluating the significance of matters within the context of relevant objectives.
2. If the head of internal audit becomes aware of an error or omission in the final engagement communication, he or she may consider the following questions to help determine its significance:
 - 2.1 Would the error or omission change the results of the engagement?
 - 2.2 Would the error or omission change someone’s mind about the severity of the findings?
 - 2.3 Would the error or omission change a conclusion?
 - 2.4 Would the error or omission change an opinion?
 - 2.5 Would the error or omission change a recommended action?
3. If the answer to any of the above questions is “yes,” the head of internal audit may determine that the error or omission is significant. The head of internal audit usually attempts to find the cause of the error or omission to prevent a similar situation from occurring in the future and determine whether the cause needs to be included in the communication to senior management, and head of agency or the governing body/audit committee. The head of internal audit

then determines the most appropriate method of communication to ensure that the corrected information is received by all parties who received the original communication. Effectively communicating the errors, omissions, and their causes serves to protect the integrity and status of the internal audit service.

STANDARD 2430

Use of “Conducted in Conformance with the Internal Auditing Standards for the Philippine Public Sector”

Indicating that engagements are "conducted in conformance with the Internal Auditing Standards for the Philippine Public Sector (IASPPS)" is appropriate only if the results of the quality assurance and improvement program support the statement.

Philippine Application Guidelines 2430

1. The head of internal audit should understand the requirements related to developing and maintaining a quality assurance and improvement program (QAIP) (the 1300 series of Standards), and be familiar with the results of the IAS's current internal and external assessments. The head of internal audit may also consider the head of agency or governing body/audit committee's expectations for using the statement "conducted in conformance with the IASPPS" in engagement reports.
2. When an IAS reports on an engagement, there is no requirement to indicate whether the engagement was conducted in conformance with the IASPPS. However, using this statement builds the IAS's credibility. This Standard prohibits using the statement unless the results of the IAS's QAIP — including current internal and external assessments — support a conclusion that the IAS generally conforms with the IASPPS.
3. When an IAS does not conform with the IASPPS, the IAS may choose to state that the engagement was not conducted in conformance with the IASPPS. However, such a statement is not required (see Standard 2431).

STANDARD 2431

Engagement Disclosure of Nonconformance

When nonconformance with the Code of Ethics or the Internal Audit Standards for the Philippine Public Sector (IASPPS) impacts a specific engagement, communication of the results must disclose the following:

- Principle(s) or rule(s) of conduct of the Code of Ethics or the IASPPS with which full conformance was not achieved;
- Reason(s) for nonconformance; and
- Impact of nonconformance on the engagement and the communicated engagement results.

Philippine Application Guidelines 2431

1. At times, certain circumstances may prevent internal auditors from conforming with the Code of Ethics or the IASPPS during the performance of an engagement. In general, these are circumstances in which the independence and/or objectivity of an internal auditor is impaired, or the internal auditor encounters unreliable data, a lack of information, a scope limitation, or other constraints. In such cases, the internal auditor should identify any principles, rules of conduct, or standards with which full conformance was not achieved; and determine whether the nonconformance impacts the engagement results. If the nonconformance does affect the results, the engagement communications would describe why the nonconformance occurred, and how the results and communications were affected.
2. It may be helpful to contemplate several scenarios in which Standard 2431 would apply, as follows:
 - 2.1 In a situation where an impairment to an internal auditor's objectivity or independence is found to impact engagement results, the communication of results must disclose nonconformance with Standard 1120 and the Code of Ethics principle of objectivity.

-
- 2.2 In a situation where the internal audit service (IAS) undertook an engagement for which it did not possess the collective knowledge, skills, and experience needed to perform its responsibilities, the communication of results must disclose nonconformance with Standard 1210, and the principle of competence in the Code of Ethics.
 - 2.3 If the IAS encounters any restrictions in its ability to access records, personnel, or properties, and these restrictions impact the scope of the engagement the communication of results must disclose nonconformance with Standard 2220.1
 - 2.4 If internal audit resources are insufficient to achieve the engagement's objectives, the communication must disclose nonconformance with Standard 2230.
3. Disclosures of this nature are typically documented in engagement workpapers. It is important for the head of internal audit to consider whether the nonconformance situations affect the IAS's ability to fulfill its professional responsibilities and/or meet the expectations of shareholders. Then, the head of internal audit would determine how and whether to communicate these issues to senior management, and the head of agency or the governing body/audit committee.
 4. Often, disclosures are handled through a discussion with senior management, and these are communicated to the head of agency or the governing body/audit committee during a meeting. The head of internal audit may discuss nonconformance in advance during a private meeting, one-on-one meeting, or by another appropriate method. To ensure full disclosure, the head of internal audit should also consider whether the nonconformance should be included in the final engagement communication.

STANDARD 2440

Disseminating Results

The head of internal audit must communicate results to the appropriate parties.

2440.1 - The head of internal audit is responsible for communicating the final results to parties who can ensure that the results are given due consideration.

2440.2 - If not otherwise mandated by legal, statutory, or regulatory requirements, prior to releasing results to parties outside the agency, the head of internal audit must ensure the following:

- Assess the potential risk to the agency;
- Consult with senior management and/or legal counsel as appropriate; and
- Control dissemination by restricting the use of the results.

2440.3 - The head of internal audit is responsible for communicating the final results of advisory engagements to auditees.

2440.4 - During advisory engagements, governance, risk management, and control issues may be identified. Whenever these issues are significant to the agency, they must be communicated to senior management, and the head of agency or the governing body/audit committee.

Interpretation

The head of internal audit is responsible for reviewing and approving the final engagement communication before issuance, and for deciding to whom and how it will be disseminated. When the head of internal audit delegates these duties, he or she retains overall responsibility.

Philippine Application Guidelines 2440

Disseminating Results

1. Internal auditors discuss conclusions and recommendations with appropriate levels of management before the head of internal audit issues the final engagement communications. This is usually accomplished during the course of the engagement and/or at post-engagement meetings (i.e., exit meetings).
2. Another technique is for the senior management of the audited activity to review draft engagement issues, observations, and recommendations. These discussions and reviews help avoid misunderstandings or misinterpretations of fact, by providing the opportunity for the engagement auditee to clarify specific items and express views about the observations, conclusions, and recommendations.
3. The level of participation in the discussions and reviews varies by agency and nature of the report. They generally include those individuals who are knowledgeable of detailed operations, and those who can authorize the implementation of corrective action.
4. The head of internal audit distributes the final engagement communication to the senior management of the audited activity, and to those members of the agency who can ensure engagement results are given due consideration, and can take corrective action or ensure that corrective action is taken. Where appropriate, the head of internal audit may send a summary communication to higher-level members in the agency. Where required by the internal audit charter or agency's policy, the head of internal audit also communicates to other interested or affected parties, such as external auditors, and the head of agency or the governing body/audit committee.

Communicating Sensitive Information Within and Outside the Chain of Command

5. Internal auditors often come into possession of critically sensitive information that is substantial to the agency and is posing significant potential consequences. This information may relate to exposures, threats, uncertainties, fraud, waste and mismanagement, illegal activities, abuse of power, misconduct that endangers public health or safety, or other wrongdoings. Furthermore, these matters may adversely impact the agency's reputation, image, success,

competitiveness, viability, market values, investments and intangible assets, or earnings.

6. Once the internal auditor has deemed the new information as substantial and credible, he or she would normally communicate the information in a timely manner to senior management, and the head of agency or the governing body/audit committee in accordance with Standard 2060. This communication would typically follow the normal chain of command for internal auditors.
7. If the head of internal audit, after those discussions, concludes that senior management is exposing the agency to an unacceptable risk and is not taking appropriate action, he or she needs to present the information and the differences of opinion to the head of agency or/and the governing body/audit committee in accordance with Standard 2600.
8. The typical chain-of-command communication scenario may be accelerated for certain types of sensitive occurrences because of laws, regulations, or common practices. For example, in the case where evidence of fraudulent financial reporting by an agency with publicly traded securities was obtained, agency-specific regulations may prescribe that the head of agency or the governing body/audit committee be immediately informed of the circumstances surrounding the possibility of misleading financial reports, even though senior management and the head of internal audit may agree on which actions need to be taken. Laws and regulations, or agency-specific policies may specify that the head of agency or the governing body/audit committee should be informed of discoveries of criminal, security, food, drug, pollution, or law violations, as well as other illegal acts, such as bribery or improper payments to government officials, suppliers, or customers.
9. In some situations, an internal auditor may face the dilemma of considering whether to communicate the information to persons outside the normal chain of command or even outside the agency. This communication is commonly referred to as “whistleblowing.” The act of disclosing adverse information to someone within the agency but outside the internal auditor’s normal chain of command is considered internal whistleblowing, while disclosing adverse information to a government agency or other authority outside the agency is considered external whistleblowing.
10. Most whistleblowers disclose sensitive information internally, even if outside the normal chain of command, if they trust the agency’s policies and mechanisms

to investigate allegations of illegal or other improper activity, and to take appropriate action. However, some people possessing sensitive information may decide to take the information outside the agency if they fear retribution from their employer or fellow employees; have doubt that the issue will be properly investigated; believe that it will be concealed; or possess evidence about an illegal or improper activity that jeopardizes the health, safety, or wellbeing of persons in the agency or community.

11. In a case where internal whistleblowing is elected as an option, an internal auditor must evaluate alternative ways of communicating the risk he or she sees to persons or groups outside the normal chain of command. Because of the risks and ramifications associated with these approaches, the internal auditor needs to proceed with caution in evaluating the evidence and reasonableness of his or her conclusions, as well as examining the merits and disadvantages of each potential action. Taking this action may be appropriate if it will result in responsible action by persons in senior management, or the head of agency or the governing body/audit committee.
12. There are laws or regulations requiring public servants with knowledge of illegal or unethical acts to inform Ombudsman or other concerned public offices. Some laws pertaining to whistleblowing actions protect citizens if they come forward to disclose specific types of improper activities. The activities listed in these laws and regulations include the following:
 - 12.1 Criminal offenses and other failures to comply with legal obligations;
 - 12.2 Acts that are considered miscarriages of justice;
 - 12.3 Acts that endanger the health, safety, or well-being of individuals;
 - 12.4 Acts that damage the environment; and
 - 12.5 Activities that conceal or cover up any of the above activities.
13. The internal auditor should be aware of the laws and regulations in which the agency operates. The legal counsel familiar with the legal aspects of whistleblowing can assist internal auditors confronted with this issue. The internal auditor should always obtain legal advice if he or she is uncertain of the legal requirements or consequences of engaging in internal or external whistleblowing.

-
14. An internal auditor has a professional duty and an ethical responsibility to carefully evaluate all evidence. He or she should also evaluate the reasonableness of his conclusions and decide whether further actions are needed to protect the interest of the agency and its stakeholders, the outside community, or the institutions of society.
 15. Also, the auditor will need to consider the duty of confidentiality imposed by RA No. 6713 - Code of Conduct and Ethical Standards for Public Officials and Employees, and the Code of Ethics of the Institute of Internal Auditors to respect the value and ownership of information, and avoid disclosing it without appropriate authority, unless there is a legal or professional obligation to do so.
 16. During the evaluation process, the auditor may seek the advice of legal counsel and, if appropriate, other experts. The discussions may be helpful in providing a different perspective on the circumstances, as well as in offering conclusions about the potential impact and consequences of possible actions. The manner in which the internal auditor seeks to resolve this type of complex and sensitive situation may create reprisals and potential liability.
 17. Ultimately, the internal auditor makes a professional decision about his or her ethical obligations. The decision to communicate outside the normal chain of command needs to be based on a well-informed conclusion that the wrongdoing is supported by a substantial, credible evidence, and that a legal or regulatory imperative, or a professional or ethical obligation requires further action.

Philippine Application Guidelines 2440.2

Communications Outside the Agency

18. The internal audit charter, laws, regulations, agency policies, or the engagement agreement may contain guidance related to reporting information outside the agency. If such guidance does not exist, the head of internal audit may facilitate adoption of appropriate policies that may include the following:
 - 18.1 Authorization required for reporting information outside the agency;
 - 18.2 Process for seeking approval to report information outside the agency;

-
- 18.3 Guidelines for permissible and non-permissible information that may be reported;
 - 18.4 Persons outside the agency who are authorized to receive information and the types of information they may receive;
 - 18.5 Related privacy regulations, regulatory requirements, and legal considerations for reporting information outside the agency; and
 - 18.6 Nature of assurances, advice, recommendations, conclusions, guidance, and other information that may be included in communicating information outside the agency.
- 19. Requests can relate to information that already exists (e.g., a previously issued internal audit report), as well as to information that are to be created or determined, which results in a new internal audit engagement or report. If the request relates to an information or a report that already exists, the internal auditor needs to determine whether it is suitable for dissemination outside the agency.
 - 20. In certain situations, it may be possible to create a special-purpose report based on an existing report or information to make the report suitable for dissemination outside the agency.
 - 21. Some matters to consider when reporting information outside the agency include the following:
 - 21.1 Usefulness of a written agreement with the intended recipient concerning the information to be reported, and the internal auditor's responsibilities;
 - 21.2 Identification of information providers, sources, report signatories, recipients, and related persons to the disseminated report or information;
 - 21.3 Identification of objectives, scope, and procedures to be performed in generating applicable information;
 - 21.4 Nature of report or other communication, including conclusions, inclusion or exclusion of recommendations, disclaimers, limitations, and types of assurance or assertion to be provided; and

-
- 21.5 Copyright issues, intended use of the information, and limitations on further distribution or sharing of the information.
22. If the internal auditor discovers information reportable to senior management, or the head of agency or the governing body/audit committee while conducting engagements that require dissemination of information outside the agency, the head of internal audit needs to provide suitable communication to them.

STANDARD 2450 Overall Opinion

When an overall opinion is issued, it must take into account the strategies, objectives, and risks of the agency; and the expectations of senior management, the head of agency or the governing body/ audit committee, and other stakeholders. The overall opinion must be supported by sufficient, reliable, relevant, and useful information.

Interpretation

The communication will include the following:

- i. The scope, including the time period to which the opinion pertains;*
- ii. The scope limitations;*
- iii. Consideration of all related projects, including the reliance on other assurance providers;*
- iv. A summary of the information that supports the opinion;*
- v. The risk or control framework, or other criteria used as bases for the overall opinion; and*
- vi. The overall opinion, judgment, or conclusion reached.*

The reasons for an unfavorable overall opinion must be stated.

Philippine Application Guidelines 2450

1. An overall opinion is the rating, conclusion, and/or other description of results provided by the head of internal audit when addressing - at a broad level – the governance, risk management, and/or control processes of the agency. An overall opinion is the professional judgment of the head of internal audit based on the results of a number of individual engagements and other similar activities, such as reviews by other assurance providers, for a specific time interval.

-
2. Overall opinion differs from conclusion, in that a conclusion is drawn from one engagement, and an overall opinion is drawn from multiple engagements.
 3. Also, a conclusion is part of an engagement communication, while an overall opinion is communicated separately from engagement communications.
 4. The Interpretation of Standard 2310 defines the terms sufficient, reliable, relevant, and useful, as follows:
 - 4.1 Sufficient information is factual, adequate, and convincing so that a prudent, informed person would reach the same conclusions as the internal auditor;
 - 4.2 Reliable information is the best attainable information through the use of appropriate engagement techniques;
 - 4.3 Relevant information supports engagement observations and recommendations, and is consistent with the objectives for the engagement; and
 - 4.4 Useful information helps the agency meet its goals.
 5. The Interpretation of this Standard points out the required components for a communication of an overall opinion. The head of internal audit should understand all of these components before issuing an overall opinion. Additionally, the head of internal audit should have a good understanding of the agency's strategies, objectives, and risks, as well as the expectations of the head of agency or the governing body/audit committee prior to issuing an overall opinion.
 6. The head of internal audit considers and determines the following:
 - 6.1 How an opinion will relate to the strategies, objectives, and risks of the agency;
 - 6.2 Whether the opinion will solve a problem, add value, and/or provide management or other stakeholders with confidence regarding an overall trend or condition in the agency;
 - 6.3 The scope of the overall opinion to be provided, including the time period to which the opinion relates; and

6.4 Whether there are any scope limitations.

7. With this information in mind, the head of internal audit can determine which audit engagements would be relevant to the overall opinion. All related engagements or projects are considered, including those completed by other internal and external assurance providers. Internal assurance providers may include other functions that comprise the second line of defense for the agency. External service providers may include the work of external auditors or regulators. For each project considered from an internal or external assurance provider, the head of internal audit needs to assess the project to determine the level of reliance that can be placed on the project work. If the head of internal audit relies on the work of another assurance provider, the head of internal audit still retains responsibility for the overall opinion that was reached as a result of that reliance.
8. For example, an overall opinion may be based on aggregate engagement conclusions at the agency's local, regional, and national levels, along with results reported from outside agencies, such as independent third parties or regulators. The scope statement provides context for the overall opinion, by specifying the time period, activities, limitations, and other variables that describe the boundaries of the overall opinion.
9. When reviewing engagement conclusions and other communications on which the overall opinion is based, the head of internal audit ensures that such conclusions and other communicated results were based on sufficient, reliable, relevant, and useful information. The head of internal audit then summarizes the information on which the overall opinion is based. In addition, the head of internal audit identifies relevant risks or control frameworks, or other criteria used as bases for the overall opinion.
10. Upon consideration of the relevant information, the head of internal audit issues an overall opinion using a clear and concise language; and articulates how the opinion relates to the strategies, objectives, and risks of the agency. The communication should include the six elements listed in the Interpretation of this Standard.
11. If the overall opinion is unfavorable, the head of internal audit must explain the reasons supporting this conclusion.

-
12. Finally, the head of internal audit decides how to communicate the overall opinion (verbally or in writing). Overall opinion is typically communicated in writing, although there is no requirement in the Standard to do so.
 13. It is important to note that the head of internal audit is not required to issue an overall opinion. Issuance of such an opinion is at the discretion of the agency and would be discussed with head of agency or the governing body/audit committee. However, when an overall opinion is requested, this Standard provides additional information to support the head of internal audit in the requirements related to communicating an overall opinion.

STANDARD 2500

Monitoring Progress

The head of internal audit must establish and maintain a system to monitor the disposition of results communicated to management.

2500.1 - The head of internal audit must establish a follow-up process to monitor and ensure that management's actions have been effectively implemented or that senior management, and the head of agency or the governing body/audit committee has accepted the risk of not taking action.

2500.2 - The internal audit service must monitor the disposition of results of advisory engagements to the extent agreed upon with the auditee.

Philippine Application Guidelines 2500

1. To fulfill this Standard, the head of internal audit starts by attaining a clear understanding of the type of information and level of detail the senior management, and head of agency or governing body/audit committee expect with regard to the internal audit service's (IAS) monitoring of the results of engagements. Results typically refer to the observations developed in assurance and advisory engagements that have been communicated to management for corrective action.
2. Given that periodic interactions will be required with the management responsible for implementing corrective actions, it is generally helpful to solicit management's input on ways to create an effective and efficient monitoring process.
3. Further, the head of internal audit may want to benchmark with the other heads of internal audit or compliance functions that monitor outstanding issues, to identify leading practices that have proven effectiveness. These discussions may address areas such as the following:
 - 3.1 The levels and detail of automation;

-
- 3.2 The types of observations monitored (i.e., all or just higher risk observations);
 - 3.3 How and with what frequency is the status of outstanding corrective actions determined;
 - 3.4 When does the internal audit independently confirms the effectiveness of corrective actions; and
 - 3.5 The frequency, style, and level of reporting performed.
- 4. To effectively monitor the disposition of results, the head of internal audit establishes procedures to include the following:
 - 4.1 The time frame within which auditee's views to the engagement's observations and recommendations is required;
 - 4.2 Evaluation of the auditee's views;
 - 4.3 Verification of the auditee's views (if appropriate);
 - 4.4 Performance of a follow-up engagement (if appropriate); and
 - 4.5 A communication process that escalates unsatisfactory views/actions, including the assumption of risk to the appropriate levels of senior management, or the head of agency or the governing body/audit committee.
 - 5. If certain reported observations and recommendations are significant enough to require immediate action by senior management, or the head of agency or the governing body/audit committee, the IAS shall monitor the actions taken until the observations are corrected, or the recommendation is implemented.
 - 6. The IAS may effectively monitor progress by carrying out the following:
 - 6.1 Addressing engagement observations and recommendations to the appropriate levels of management responsible for taking action;
 - 6.2 Receiving and evaluating the auditee's views and proposed action plan to the observations and recommendations during the engagement or within a reasonable time period after the engagement results are communicated. Responses are more useful if they include sufficient information for the head of internal audit to evaluate the adequacy and

timeliness of proposed actions;

- 6.3 Receiving periodic updates from auditee to evaluate the status of its efforts to correct observations and/or implement recommendations;
- 6.4 Receiving and evaluating information from other units within the agency with assigned responsibility for follow-up or corrective actions;
- 6.5 Reporting to senior management, and/or the head of agency or the governing body/audit committee on the status of auditee's views to the engagement's observations and recommendations; and
- 6.6 Developing or purchasing a tool, mechanism, or system to track, monitor, and report on such information. Based on information provided to internal audit by the responsible management, the status of the corrective actions is periodically updated in the system and often directly by management, using a shared exception tracking system.

Philippine Application Guidelines 2500.1

- 7. Internal auditors determine whether the auditee has taken an action or implemented the recommendation. The internal auditor determines whether the desired results were achieved or if the senior management, or the head of agency or the governing body/audit committee has assumed the risk of not taking action or implementing the recommendation.
- 8. Follow-up is a process by which internal auditors evaluate the adequacy, effectiveness, and timeliness of actions taken by the auditee on reported observations and recommendations, including those made by external auditors and others. This process also includes determining whether the senior management, and/or the head of agency or the governing body/audit committee have assumed the risk of not taking corrective action on reported observations.
- 9. The internal audit charter should define the responsibility for follow-up. The head of internal audit determines the nature, timing, and extent of follow-up by considering the following factors:
 - 9.1 Significance of the reported observation or recommendation;

-
- 9.2 Degree of effort and cost needed to correct the reported condition;
 - 9.3 Impact that may result should the corrective action fail;
 - 9.4 Complexity of the corrective action; and
 - 9.5 Time period involved.
- 10. The head of internal audit is responsible for scheduling follow-up activities as part of developing engagement work schedules. Scheduling of follow-up is based on the risk and exposure involved, as well as the degree of difficulty and the significance of timing in implementing corrective action.
 - 11. Where the head of internal audit judges that the auditee's oral or written views indicate that an action taken is sufficient when weighed against the relative importance of the observation or recommendation, internal auditors may make follow-up as part of the next engagement.
 - 12. Internal auditors ascertain whether actions taken on observations and recommendations remedy the underlying conditions. Follow-up activities should be appropriately documented and evidenced by the existence of a routinely updated exception tracking system, which could be a spreadsheet, database, or other tool that contains the prior audit observations, associated corrective action plan, status, and internal audit's confirmation, as described above. Typically, there are corrective action status reports prepared for senior management, and the head of agency or the governing body/ committee.

STANDARD 2600

Communicating the Acceptance of Risks

When the head of internal audit concludes that management has accepted a level of risk that may be unacceptable to the agency, the head of internal audit must discuss the matter with senior management. If the head of internal audit determines that the matter has not been resolved, the head of internal audit must communicate the matter to the head of agency or the governing body/audit committee.

Interpretation

The identification of risk accepted by management may be observed through an assurance or advisory engagement, monitoring progress on actions taken by management as a result of prior engagements, or other means. It is not the responsibility of the head of internal audit to resolve the risk.

Philippine Application Guidelines 2600

1. In monitoring the disposition of results and associated corrective actions, the head of internal audit may become aware of high risk observations that are not timely corrected or may represent more risk than the agency would normally tolerate and are, therefore, unacceptable to the agency.
2. However, the ongoing monitoring process is not the only way the head of internal audit identifies unacceptable risk. An effective head of internal audit employs several ways to stay abreast of organizational risks. For example, the head of internal audit may receive information from members of the internal audit service IAS regarding the significant risks they have identified during their assurance or advisory engagements. The agency may also employ an enterprise risk management (ERM) process to identify and monitor significant risks, and the head of internal audit may be involved with that process. Further, by building and maintaining a collaborative communicative network with the management, the head of internal audit may become aware of an emerging risk area in the agency. The head of internal audit also strives to keep up with industry trends and regulatory changes to help them recognize potential and emerging risks.

-
3. Regardless of how the unacceptable risk is identified, if the head of internal audit recognizes the risk to be at a high level that the agency would not normally tolerate, and if the head of internal audit believes that the risk is not being mitigated to an acceptable level, then he or she is required to communicate these situations to the head of agency or the governing body/audit committee. Prior to such a communication, the head of internal audit typically discusses the issue with the members of management responsible for the risk area to share concerns, understand management's perspective, and reach an agreed path to resolve the risk.
 4. If an agreement is not reached, then the head of internal audit must escalate the concern to the head of agency or the governing body/audit committee. After a similar discussion with the senior management, and the risk remains unresolved, the head of internal audit must communicate the issue to the head of agency or the governing body/audit committee. It is then the head of agency or the governing body/audit committee's decision on how to address the concern with senior management.
 5. The head of internal audit uses judgment in determining how to best and quickly to communicate such matters to whom, based on the issue's nature, urgency, potential ramifications, and any policies that may be in place. Example: Should the general counsel be consulted when a law or regulation have been violated? And should the risk be communicated in private to a senior executive or in a cross-functional meeting with many subject matter specialists in attendance?
 6. This Standard applies to highly significant risks that the head of internal audit judges to be beyond the agency's tolerance level. The risks may include the following:
 - 6.1 Those that may harm the agency's reputation;
 - 6.2 Those that could harm people;
 - 6.3 Those that would result in significant regulatory fines, limitations on business conduct, or other financial or contractual penalties;
 - 6.4 Material misstatements;
 - 6.5 Fraud or other illegal acts; and
 - 6.6 Significant impediments to achieving strategic objectives.

APPENDICES:

- Appendix 1 - COA Resolution No. 2018-007 dated February 1, 2018
- Appendix 2 - Code of Ethics
 - Appendix 2.1 - RA No. 6713 - Code of Conduct and Ethical Standard for Public Officials and Employees
 - Appendix 2.2 - Code of Ethics - Institute of Internal Auditors (IIA)
- Appendix 3 - References

Appendix 1



Republic of the Philippines
COMMISSION ON AUDIT
Commonwealth Avenue, Quezon City

RESOLUTION

No. : 2018-007
Date : FEB 01 2019

SUBJECT : Adoption of the Internal Auditing Standards for the Philippine Public Sector (IASPPS) and Internal Control Standards for the Philippine Public Sector (ICSPPS) in all government agencies

WHEREAS, Section 2(2), Article IX-D of the 1987 Constitution vests in the Commission on Audit (COA) the exclusive authority to promulgate auditing rules and regulations;

WHEREAS, Section 2(1), Article IX-D of the 1987 Constitution provides that where the internal control system of the audited agency is inadequate, the Commission may adopt such measures, including temporary or special pre-audit, as are necessary and appropriate to correct deficiencies;

WHEREAS, Items 3 and 4 of Section 25, Chapter 2 of Presidential Decree No. 1445, also known as the Government Auditing Code of the Philippines, mandate the COA to institute control measures and promulgate auditing rules and regulations;

WHEREAS, Section 4 of Republic Act No. 3456, or the Internal Auditing Act of 1962, approved on June 16, 1962, as amended by Republic Act No. 4177, provides that the Auditor General shall be responsible for the promulgation and enforcement of general policies, rules and regulations on internal auditing; and shall also develop for execution, working plans and training programs to maintain continuously the effectiveness of these internal audit services;

WHEREAS, Goal B of the COA Strategic Plan for 2016-2022 states that the Commission shall empower and enable government agencies through strengthening the Internal Control System and assisting in the effective implementation of internal audit services;

WHEREAS, COA Office Order No. 2016-301 dated April 13, 2016 created the Internal Auditing Research and Development Committee (IARDC) to develop the Internal Control Framework and the Philippine Internal Auditing Standards (PIAS);

WHEREAS, in COA Resolution No. 2016-016 dated September 30, 2016, this Commission resolved to adopt the Philippine Internal Auditing and Philippine Internal Control Frameworks for Public Sector to provide authoritative guidance essential for the professional practice of internal auditing and the criteria for establishing and evaluating internal controls;

WHEREAS, the Government Accounting and Auditing Manual Volume III containing the Internal Auditing Standards and The Handbook on the Internal Control Structure issued by

A handwritten signature in blue ink, appearing to be a stylized 'h' or similar character.

A handwritten signature in blue ink, appearing to be a stylized 'j' or similar character.

this Commission in 1991 and 2002, respectively, need to be updated to keep abreast with the new developments in internal controls and the practice of internal auditing;

WHEREAS, after study and review of the provisions of the International Organization of Supreme Audit Institutions Guidance for Good Governance (INTOSAI GOV), Committee of Sponsoring Organizations of the Treadway Commission (COSO) Internal Control-Integrated Framework (ICIF), National Guidelines on Internal Control System (NGICS), Philippine Government Internal Audit Manual (PGIAM), International Professional Practices Framework (IPPF) promulgated by the Institute of Internal Auditors (IIA), and other relevant laws, rules and regulations, the IARDC developed the Internal Auditing Standards for the Philippine Public Sector (IASPPS) and the Internal Control Standards for the Philippine Public Sector (ICSPPS);

WHEREAS, the IASPPS, as aligned with the prevailing international principles and standards, provides authoritative guidance essential for the professional practice of internal auditing, thereby enhancing the quality and uniformity in internal auditing practices by Philippine government agencies;

WHEREAS, the ICSPPS provides the criteria for establishing, implementing, monitoring, and evaluating internal controls that will enable Philippine government agencies to achieve their objectives on operations, reporting, compliance, and safeguarding of assets;

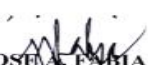
NOW, THEREFORE, this Commission resolves as it is hereby resolved, to adopt the IASPPS and ICSPPS in Annexes A and B, respectively, attached to this Resolution and made integral parts hereof.

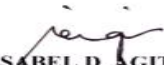
This Resolution shall take effect on February 1, 2018.

Done this 1st day of February, 2018 at Quezon City, Philippines.




MICHAEL G. AGUINALDO
Chairperson


JOSEFA FABIA
Commissioner


ISABEL D. AGITO
Commissioner

CODE OF ETHICS

**Republic of the Philippines
Congress of the Philippines
Metro Manila
Eighth Congress**

**REPUBLIC ACT NO. 6713
February 20, 1989**

AN ACT ESTABLISHING A CODE OF CONDUCT AND ETHICAL STANDARDS FOR PUBLIC OFFICIALS AND EMPLOYEES, TO UPHOLD THE TIME-HONORED PRINCIPLE OF PUBLIC OFFICE BEING A PUBLIC TRUST, GRANTING INCENTIVES AND REWARDS FOR EXEMPLARY SERVICE, ENUMERATING PROHIBITED ACTS AND TRANSACTIONS AND PROVIDING PENALTIES FOR VIOLATIONS THEREOF AND FOR OTHER PURPOSES

Be it enacted by the Senate and House of Representatives of the Philippines in Congress assembled:

Section 1. Title. - This Act shall be known as the "Code of Conduct and Ethical Standards for Public Officials and Employees."

Section 2. Declaration of Policies. - It is the policy of the State to promote a high standard of ethics in public service. Public officials and employees shall at all times be accountable to the people and shall discharge their duties with utmost responsibility, integrity, competence, and loyalty, act with patriotism and justice, lead modest lives, and uphold public interest over personal interest.

Section 3. Definition of Terms. - As used in this Act, the term:

(a) "Government" includes the National Government, the local governments, and all other instrumentalities, agencies or branches of the Republic of the Philippines including government-owned or controlled corporations, and their subsidiaries.

(b) "Public Officials" includes elective and appointive officials and employees, permanent or temporary, whether in the career or non-career

service, including military and police personnel, whether or not they receive compensation, regardless of amount.

(c) "Gift" refers to a thing or a right to dispose of gratuitously, or any act or liberality, in favor of another who accepts it, and shall include a simulated sale or an ostensibly onerous disposition thereof. It shall not include an unsolicited gift of nominal or insignificant value not given in anticipation of, or in exchange for, a favor from a public official or employee.

(d) "Receiving any gift" includes the act of accepting directly or indirectly, a gift from a person other than a member of his family or relative as defined in this Act, even on the occasion of a family celebration or national festivity like Christmas, if the value of the gift is neither nominal nor insignificant, or the gift is given in anticipation of, or in exchange for, a favor.

(e) "Loan" covers both simple loan and commodatum as well as guarantees, financing arrangements or accommodations intended to ensure its approval.

(f) "Substantial stockholder" means any person who owns, directly or indirectly, shares of stock sufficient to elect a director of a corporation. This term shall also apply to the parties to a voting trust.

(g) "Family of public officials or employees" means their spouses and unmarried children under eighteen (18) years of age.

(h) "Person" includes natural and juridical persons unless the context indicates otherwise.

(i) "Conflict of interest" arises when a public official or employee is a member of a board, an officer, or a substantial stockholder of a private corporation or owner or has a substantial interest in a business, and the interest of such corporation or business, or his rights or duties therein, may be opposed to or affected by the faithful performance of official duty.

(j) "Divestment" is the transfer of title or disposal of interest in property by voluntarily, completely and actually depriving or dispossessing oneself of his right or title to it in favor of a person or persons other than his spouse and relatives as defined in this Act.

(k) "Relatives" refers to any and all persons related to a public official or employee within the fourth civil degree of consanguinity or affinity, including bilas, inso and balae.

Section 4. *Norms of Conduct of Public Officials and Employees.* - (A) Every public official and employee shall observe the following as standards of personal conduct in the discharge and execution of official duties:

(a) Commitment to public interest. - Public officials and employees shall always uphold the public interest over and above personal interest. All government resources and powers of their respective offices must be employed and used efficiently, effectively, honestly and economically, particularly to avoid wastage in public funds and revenues.

(b) Professionalism. - Public officials and employees shall perform and discharge their duties with the highest degree of excellence, professionalism, intelligence and skill. They shall enter public service with utmost devotion and dedication to duty. They shall endeavor to discourage wrong perceptions of their roles as dispensers or peddlers of undue patronage.

(c) Justness and sincerity. - Public officials and employees shall remain true to the people at all times. They must act with justness and sincerity and shall not discriminate against anyone, especially the poor and the underprivileged. They shall at all times respect the rights of others, and shall refrain from doing acts contrary to law, good morals, good customs, public policy, public order, public safety and public interest. They shall not dispense or extend undue favors on account of their office to their relatives whether by consanguinity or affinity except with respect to appointments of such relatives to positions considered strictly confidential or as members of their personal staff whose terms are coterminous with theirs.

(d) Political neutrality. - Public officials and employees shall provide service to everyone without unfair discrimination and regardless of party affiliation or preference.

(e) Responsiveness to the public. - Public officials and employees shall extend prompt, courteous, and adequate service to the public. Unless otherwise provided by law or when required by the public interest, public officials and employees shall provide information of their policies and procedures in clear and understandable language, ensure openness

information, public consultations and hearings whenever appropriate, encourage suggestions, simplify and systematize policy, rules and procedures, avoid red tape and develop an understanding and appreciation of the socio-economic conditions prevailing in the country, especially in the depressed rural and urban areas.

(f) Nationalism and patriotism. - Public officials and employees shall at all times be loyal to the Republic and to the Filipino people, promote the use of locally produced goods, resources and technology and encourage appreciation and pride of country and people. They shall endeavor to maintain and defend Philippine sovereignty against foreign intrusion.

(g) Commitment to democracy. - Public officials and employees shall commit themselves to the democratic way of life and values, maintain the principle of public accountability, and manifest by deeds the supremacy of civilian authority over the military. They shall at all times uphold the Constitution and put loyalty to country above loyalty to persons or party.

(h) Simple living. - Public officials and employees and their families shall lead modest lives appropriate to their positions and income. They shall not indulge in extravagant or ostentatious display of wealth in any form.

(B) The Civil Service Commission shall adopt positive measures to promote (1) observance of these standards including the dissemination of information programs and workshops authorizing merit increases beyond regular progression steps, to a limited number of employees recognized by their office colleagues to be outstanding in their observance of ethical standards; and (2) continuing research and experimentation on measures which provide positive motivation to public officials and employees in raising the general level of observance of these standards.

Section 5. Duties of Public Officials and Employees. - In the performance of their duties, all public officials and employees are under obligation to:

(a) Act promptly on letters and requests. - All public officials and employees shall, within fifteen (15) working days from receipt thereof, respond to letters, telegrams or other means of communications sent by the public. The reply must contain the action taken on the request.

(b) Submit annual performance reports. - All heads or other responsible officers of offices and agencies of the government and of government - owned or controlled corporations shall, within forty-five (45) working days from the end of the year, render a performance report of the agency or office or corporation concerned. Such report shall be open and available to the public within regular office hours.

(c) Process documents and papers expeditiously. - All official papers and documents must be processed and completed within a reasonable time from the preparation thereof and must contain, as far as practicable, not more than three (3) signatories therein. In the absence of duly authorized signatories, the official next-in-rank or officer in charge shall sign for and in their behalf.

(d) Act immediately on the public's personal transactions. - All public officials and employees must attend to anyone who wants to avail himself of the services of their offices and must, at all times, act promptly and expeditiously.

(e) Make documents accessible to the public. - All public documents must be made accessible to, and readily available for inspection by, the public within reasonable working hours.

Section 6. *System of Incentives and Rewards.* - A system of annual incentives and rewards is hereby established in order to motivate and inspire public servants to uphold the highest standards of ethics. For this purpose, a Committee on Awards to Outstanding Public Officials and Employees is hereby created composed of the following: the Ombudsman and Chairman of the Civil Service Commission as Co-Chairmen, and the Chairman of the Commission on Audit, and two government employees to be appointed by the President, as members.

It shall be the task of this Committee to conduct a periodic, continuing review of the performance of public officials and employees, in all the branches and agencies of Government and establish a system of annual incentives and rewards to the end that due recognition is given to public officials and employees of outstanding merit on the basis of the standards set forth in this Act.

The conferment of awards shall take into account, among other things, the following: the years of service and the quality and consistency of performance, the obscurity of the position, the level of salary, the unique and exemplary quality of a certain achievement, and the risks or temptations inherent in the work. Incentives and rewards to government officials and employees of the

year to be announced in public ceremonies honoring them may take the form of bonuses, citations, directorships in government-owned or controlled corporations, local and foreign scholarship grants, paid vacations and the like. They shall likewise be automatically promoted to the next higher position with the commensurate salary suitable to their qualifications. In case there is no next higher position or it is not vacant, said position shall be included in the budget of the office in the next General Appropriations Act. The Committee on Awards shall adopt its own rules to govern the conduct of its activities.

Section 7. *Prohibited Acts and Transactions.* - In addition to acts and omissions of public officials and employees now prescribed in the Constitution and existing laws, the following shall constitute prohibited acts and transactions of any public official and employee and are hereby declared to be unlawful:

- (a) Financial and material interest. - Public officials and employees shall not, directly or indirectly, have any financial or material interest in any transaction requiring the approval of their office.
- (b) Outside employment and other activities related thereto. - Public officials and employees during their incumbency shall not:
 - (1) Own, control, manage or accept employment as officer, employee, consultant, counsel, broker, agent, trustee or nominee in any private enterprise regulated, supervised or licensed by their office unless expressly allowed by law;
 - (2) Engage in the private practice of their profession unless authorized by the Constitution or law, provided, that such practice will not conflict or tend to conflict with their official functions; or
 - (3) Recommend any person to any position in a private enterprise which has a regular or pending official transaction with their office.

These prohibitions shall continue to apply for a period of one (1) year after resignation, retirement, or separation from public office, except in the case of subparagraph (b) (2) above, but the professional concerned cannot practice his profession in connection with any matter before the office he used to be with, in which case the one-year prohibition shall likewise apply.

(c) Disclosure and/or misuse of confidential information. – Public officials and employees shall not use or divulge, confidential or classified information officially known to them by reason of their office and not made available to the public, either:

- (1) To further their private interests, or give undue advantage to anyone; or
- (2) To prejudice the public interest.

(d) Solicitation or acceptance of gifts. - Public officials and employees shall not solicit or accept, directly or indirectly, any gift, gratuity, favor, entertainment, loan or anything of monetary value from any person in the course of their official duties or in connection with any operation being regulated by, or any transaction which may be affected by the functions of their office.

As to gifts or grants from foreign governments, the Congress consents to:

- (i) The acceptance and retention by a public official or employee of a gift of nominal value tendered and received as a souvenir or mark of courtesy;
- (ii) The acceptance by a public official or employee of a gift in the nature of a scholarship or fellowship grant or medical treatment; or
- (iii) The acceptance by a public official or employee of travel grants or expenses for travel taking place entirely outside the Philippine (such as allowances, transportation, food, and lodging) of more than nominal value if such acceptance is appropriate or consistent with the interests of the Philippines, and permitted by the head of office, branch or agency to which he belongs.

The Ombudsman shall prescribe such regulations as may be necessary to carry out the purpose of this subsection, including pertinent reporting and disclosure requirements.

Nothing in this Act shall be construed to restrict or prohibit any educational, scientific or cultural exchange programs subject to national security requirements.

Section 8. *Statements and Disclosure.* - Public officials and employees have an obligation to accomplish and submit declarations under oath of, and the public has the right to know, their assets, liabilities, net worth and financial and business interests including those of their spouses and of unmarried children under eighteen (18) years of age living in their households.

(A) **Statements of Assets and Liabilities and Financial Disclosure.** - All public officials and employees, except those who serve in an honorary capacity, laborers and casual or temporary workers, shall file under oath their Statement of Assets, Liabilities and Net Worth and a Disclosure of Business Interests and Financial Connections and those of their spouses and unmarried children under eighteen (18) years of age living in their households.

The two documents shall contain information on the following:

- (a) real property, its improvements, acquisition costs, assessed value and current fair market value;
- (b) personal property and acquisition cost;
- (c) all other assets such as investments, cash on hand or in banks, stocks, bonds, and the like;
- (d) liabilities, and;
- (e) all business interests and financial connections.

The documents must be filed:

- (a) within thirty (30) days after assumption of office;
- (b) on or before April 30, of every year thereafter; and
- (c) within thirty (30) days after separation from the service.

All public officials and employees required under this section to file the aforestated documents shall also execute, within thirty (30) days from the date of their assumption of office, the necessary authority in favor of the Ombudsman to obtain from all appropriate government agencies, including the Bureau of Internal Revenue, such documents as may show their assets, liabilities, net worth, and also their business interests and financial connections in previous years, including, if possible, the year when they first assumed any office in the Government.

Husband and wife who are both public officials or employees may file the required statements jointly or separately.

The Statements of Assets, Liabilities and Net Worth and the Disclosure of Business Interests and Financial Connections shall be filed by:

- (1) Constitutional and national elective officials, with the national office of the Ombudsman;
- (2) Senators and Congressmen, with the Secretaries of the Senate and the House of Representatives, respectively; Justices, with the Clerk of Court of the Supreme Court; Judges, with the Court Administrator; and all national executive officials with the Office of the President.
- (3) Regional and local officials and employees, with the Deputy Ombudsman in their respective regions;
- (4) Officers of the armed forces from the rank of colonel or naval captain, with the Office of the President, and those below said ranks, with the Deputy Ombudsman in their respective regions; and
- (5) All other public officials and employees, defined in Republic Act No. 3019, as amended, with the Civil Service Commission.

(B) Identification and disclosure of relatives. - It shall be the duty of every public official or employee to identify and disclose, to the best of his knowledge and information, his relatives in the Government in the form, manner and frequency prescribed by the Civil Service Commission.

(C) Accessibility of documents. – (1) Any and all statements filed under this Act, shall be made available for inspection at reasonable hours.

- (2) Such statements shall be made available for copying or reproduction after ten (10) working days from the time they are filed as required by law.
- (3) Any person requesting a copy of a statement shall be required to pay a reasonable fee to cover the cost of reproduction and mailing of such statement, as well as the cost of certification.
- (4) Any statement filed under this Act shall be available to the public for a period of ten (10) years after receipt of the statement. After such period, the statement may be destroyed unless needed in an ongoing investigation.

(D) Prohibited acts. - It shall be unlawful for any person to obtain or use any statement filed under this Act for:

- (a) any purpose contrary to morals or public policy; or
- (b) any commercial purpose other than by news and communications media for dissemination to the general public.

Section 9. *Divestment.* - A public official or employee shall avoid conflicts of interest at all times. When a conflict of interest arises, he shall resign from his position in any private business enterprise within thirty (30) days from his assumption of office and/or divest himself of his shareholdings or interest within sixty (60) days from such assumption.

The same rule shall apply where the public official or employee is a partner in a partnership.

The requirement of divestment shall not apply to those who serve the Government in an honorary capacity nor to laborers and casual or temporary workers.

Section 10. *Review and Compliance Procedure.* – (a) The designated Committees of both Houses of the Congress shall establish procedures for the review of statements to determine whether said statements which have been submitted on time, are complete, and are in proper form. In the event a determination is made that a statement is not so filed, the appropriate Committee shall so inform the reporting individual and direct him to take the necessary corrective action,

- (b) In order to carry out their responsibilities under this Act, the designated Committees of both Houses of Congress shall have the power within their respective jurisdictions, to render any opinion interpreting this Act, in writing, to persons covered by this Act, subject in each instance to the approval by affirmative vote of the majority of the particular House concerned.

The individual to whom an opinion is rendered, and any other individual involved in a similar factual situation, and who, after issuance of the opinion acts in good faith in accordance with it shall not be subject to any sanction provided in this Act.

- (c) The heads of other offices shall perform the duties stated in subsections (a) and (b) hereof insofar as their respective offices are concerned, subject to the approval of the Secretary of Justice, in the case of the Executive

Department and the Chief Justice of the Supreme Court, in the case of the Judicial Department.

Section 11. *Penalties.* – (a) Any public official or employee, regardless of whether or not he holds office or employment in a casual, temporary, holdover, permanent or regular capacity, committing any violation of this Act shall be punished with a fine not exceeding the equivalent of six (6) months' salary or suspension not exceeding one (1) year, or removal depending on the gravity of the offense after due notice and hearing by the appropriate body or agency. If the violation is punishable by a heavier penalty under another law, he shall be prosecuted under the latter statute. Violations of Sections 7, 8 or 9 of this Act shall be punishable with imprisonment not exceeding five (5) years, or a fine not exceeding five thousand pesos (P5,000), or both, and, in the discretion of the court of competent jurisdiction, disqualification to hold public office.

(b) Any violation hereof proven in a proper administrative proceeding shall be sufficient cause for removal or dismissal of a public official or employee, even if no criminal prosecution is instituted against him.

(c) Private individuals who participate in conspiracy as co-principals, accomplices or accessories, with public officials or employees, in violation of this Act, shall be subject to the same penal liabilities as the public officials or employees and shall be tried jointly with them.

(d) The official or employee concerned may bring an action against any person who obtains or uses a report for any purpose prohibited by Section 8 (D) of this Act. The Court in which such action is brought may assess against such person a penalty in any amount not to exceed twenty-five thousand pesos (P25,000). If another sanction hereunder or under any other law is heavier, the latter shall apply.

Section 12. *Promulgation of Rules and Regulations, Administration and Enforcement of this Act.* - The Civil Service Commission shall have the primary responsibility for the administration and enforcement of this Act. It shall transmit all cases for prosecution arising from violations of this Act to the proper authorities for appropriate action: Provided, however, that it may institute such administrative actions and disciplinary measures as may be warranted in accordance with law. Nothing in this provision shall be construed as a deprivation of the right of each House of Congress to discipline its Members for disorderly behavior.

The Civil Service Commission is hereby authorized to promulgate rules and regulations necessary to carry out the provisions of this Act, including guidelines for individuals who render free voluntary service to the Government. The Ombudsman shall likewise take steps to protect citizens who denounce acts or omissions of public officials and employees which are in violation of this Act.

Section 13. *Provisions for More Stringent Standards.* - Nothing in this Act shall be construed to derogate from any law, or any regulation prescribed by any body or agency, which provides for more stringent standards for its official and employees.

Section 14. *Appropriations.* - The sum necessary for the effective implementation of this Act shall be taken from the appropriations of the Civil Service Commission. Thereafter, such sum as may be needed for its continued implementation shall be included in the annual General Appropriations Act.

Section 15. *Separability Clause.* - If any provision of this Act or the application of such provision to any person or circumstance is declared invalid, the remainder of the Act or the application of such provision to other persons or circumstances shall not be affected by such declaration.

Section 16. *Repealing Clause.* - All laws, decrees and orders or parts thereof inconsistent herewith, are deemed repealed or modified accordingly, unless the same provide for a heavier penalty.

Section 17. *Effectivity.* - This Act shall take effect after thirty (30) days following the completion of its publication in the Official Gazette or in two (2) national newspapers of general circulation.

Approved, **February 20, 1989.**

CODE OF ETHICS

Institute of Internal Auditors (IIA)

Internal auditors are expected to apply and uphold the following principles:

1. **Integrity**
The integrity of internal auditors establishes trust and thus provides the basis for reliance on their judgment.
2. **Objectivity**
Internal auditors exhibit the highest level of professional objectivity in gathering, evaluating, and communicating information about the activity or process being examined. Internal auditors make a balanced assessment of all the relevant circumstances and are not unduly influenced by their own interests or by others in forming judgments.
3. **Confidentiality**
Internal auditors respect the value and ownership of information they receive and do not disclose information without appropriate authority unless there is a legal or professional obligation to do so.
4. **Competency**
Internal auditors apply the knowledge, skills, and experience needed in the performance of internal audit services.

Rules of Conduct

1. Integrity
Internal auditors:
 - 1.1. Shall perform their work with honesty, diligence, and responsibility.
 - 1.2. Shall observe the law and make disclosures expected by the law and the profession.
 - 1.3. Shall not knowingly be a party to any illegal activity, or engage in acts that are discreditable to the profession of internal auditing or to the organization.

-
- 1.4. Shall respect and contribute to the legitimate and ethical objectives of the organization.
 2. Objectivity
Internal auditors:
 - 2.1. Shall not participate in any activity or relationship that may impair or be presumed to impair their unbiased assessment. This participation includes those activities or relationships that may be in conflict with the interests of the organization.
 - 2.2. Shall not accept anything that may impair or be presumed to impair their professional judgment.
 - 2.3. Shall disclose all material facts known to them that, if not disclosed, may distort the reporting of activities under review.
 3. Confidentiality
Internal auditors:
 - 3.1. Shall be prudent in the use and protection of information acquired in the course of their duties.
 - 3.2. Shall not use information for any personal gain or in any manner that would be contrary to the law or detrimental to the legitimate and ethical objectives of the organization.
 4. Competency
Internal auditors:
 - 4.1. Shall engage only in those services for which they have the necessary knowledge, skills, and experience.
 - 4.2. Shall perform internal audit services in accordance with the International Standards for the Professional Practice of Internal Auditing (Standards).
 - 4.3. Shall continually improve their proficiency and the effectiveness and quality of their services.

REFERENCES

Administrative Order No. 70 dated April 14, 2003

Strengthening the Internal Control Systems of Government Offices, Agencies, Government-Owned and/or Controlled Corporations, including Government Financial Institutions, State Universities and Colleges and Local Government Units

Administrative Order No. 119 dated March 29, 1989

Directing the Strengthening of the Internal Control Systems of Government Offices, Agencies, Government-Owned and/or Controlled Corporations and Local Government Units (GOCCs), in their Fiscal Operations

Administrative Order No. 278 dated April 28, 1992

Directing the Strengthening of the Internal Control Systems of Government Offices, Agencies, Government-Owned and/or Controlled Corporations, including Government Financial Institutions and Local Government Units, in their Operations

COA Handbook on Internal Control Structure, 2002

COA Resolution 2016-016 dated September 30, 2016

Adoption of the Philippine Internal Auditing Framework for Public Sector and Philippine Internal Control Framework for Public Sector

DBM Budget Circular No. 2004-4 dated March 22, 2004

Guidelines on the Organization and Staffing of Internal Auditing Units (IAUs)

DBM Circular Letter No. 2008-5 dated April 14, 2008

Guidelines in the Organization and Staffing of an Internal Audit Service/Unit and Management Division/Unit in Departments/Agencies/GOCCs/GFIs Concerned

DBM Circular Letter No. 2008-8 dated October 23, 2008

National Guidelines on Internal Control Systems (NGICS)

DBM Budget Circular No. 2011-5 dated May 9, 2011

Philippine Government Internal Auditing Manual (PGIAM)

DBM Local Budget Circular No.110 dated June 10, 2016

Internal Audit Manual for Local Government Units

Executive Order No. 292 s. 1987 dated July 25, 2087

Instituting the “Administrative Code of 1987”

Government Accounting and Auditing Manual: Volume III, 1991

Government Auditing Standards and Procedures and Internal Control System

INTOSAI GOV 9100

Guidelines for Internal Control Standards for the Public Sector

INTOSAI GOV 9110

Guidance for Reporting on the Effectiveness of Internal Controls: SAI Experiences in Implementing and Evaluating Internal Controls

INTOSAI GOV 9120

Internal Control: Providing a Foundation for Accountability in Government

INTOSAI GOV 9130

Guidelines for Internal Control Standards for the Public Sector – Further Information on Entity Risk Management

INTOSAI GOV 9140

Internal Audit Independence in the Public Sector

Memorandum Order No. 277, s. 1990

Directing the Department of Budget and Management to Promulgate the Necessary Rules, Regulations or Circulars for the Strengthening of the Internal Control Systems of Government Offices, Agencies, Government-owned or Controlled Corporations and Local Government Units

National Archives of the Philippines General Circular 1 and 2

Rules and Regulations Governing the Management of Public Records and Archives Administration and GRDS 2009: General Records Disposition Schedule Common to All Government Agencies

Presidential Decree No. 1 dated September 24, 1972

Reorganizing the Executive Branch of the National Government

Presidential Decree 1445 dated June 11, 1978

Ordaining and Instituting a Government Auditing Code of the Philippines

Republic Act 3456 dated June 16, 1962 (Internal Auditing Act of 1962)

An Act providing for the Creation, Organization and Operation of Internal Audit Services in All departments, Bureaus and Offices of the National Government

Republic Act 4177 dated March 26, 1965

An Act to Amend Sections Two, Three, and Four of the Republic Act numbered Three Thousand Four Hundred Fifty-Six, known as the “Internal Auditing Act of 1962”

Republic Act No. 6713 dated February 20, 1989

An Act Establishing A Code of Conduct and Ethical Standards for Public Officials and Employees, to Uphold the Time-Honored Principle of Public Office being a Public Trust, Granting Incentives and Rewards for Exemplary Service, Enumerating Prohibited Acts and Transactions and Providing Penalties for Violations Thereof and For Other Purposes

Republic Act No. 9184 (Government Procurement Reform Act)

An Act Providing for the Modernization, Standardization and Regulation of the Procurement Activities of the Government and for Other Purposes

Republic Act No. 10173 (Data Privacy Act of 2012) dated August 15, 2012

An Act Protecting Individual Personal Information in Information and Communications Systems in the Government and the Private Sector, Creating for this Purpose a National Privacy Commission, and for Other Purposes

The Institute of Internal Auditors Global: International Professional Practices Framework (IPPF), Practice Advisories, 2013 Edition

The Institute of Internal Auditors Global: International Professional Practices Framework (IPPF), Practice Guides, 2013 Edition

The Institute of Internal Auditors Global: International Professional Practices Framework (IPPF), 2017 Edition